FINAL COURSE

PAPER – 5

INDIRECT TAX LAWS

[RELEVANT FOR MAY 2026, SEPTEMBER 2026 AND JANUARY, 2027 EXAMINATION]

BOOKLET ON CASE SCENARIOS

BOARD OF STUDIES (ACADEMIC)

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA

This booklet has been prepared by the faculty of the Board of Studies (Academic). The objective of the booklet is to provide practice material to the students to enable them to prepare for the examination. In case students need any clarifications or have any suggestions to make for further improvement of the booklet, they may write to the Joint Director, Board of Studies (Academic).

All care has been taken to provide answers and its reasoning in a manner useful for the students. However, the booklet has not been specifically discussed by the Council of the Institute or any of its Committees and the views expressed herein may not be taken to necessarily represent the views of the Council or any of its Committees.

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BEFORE WE BEGIN.....

Under the New Scheme of Education and Training which was introduced on 1st July, 2023, 30% of the examination assessment is by the way of Objective Type Questions at Intermediate and Final level. Therefore, to provide hands-on practice for such type of questions, BOS launched MCQ Paper Practice Portal on 1st July, 2023. This online portal contains independent MCQs as well as case scenario based MCQs both for conceptual clarity and practice of the students.

In continuation to this handholding initiative and to provide quality academic inputs to the students to help them grasp the intricate aspects of the subject, the Board of Studies (Academic) has brought forth subject-wise booklets on Case Scenarios at the Intermediate and Final level. These booklets are meticulously designed to assist Chartered Accountancy (CA) students in their preparation of the CA course.

At Final level, the **'Booklet on Case Scenarios for Paper 5: Indirect Tax Laws'** contains the case scenarios based on the GST law which have been answered on the basis of the provisions of the Central Goods and Services Tax Act, 2017 (CGST Act, 2017) and the Integrated Goods and Services Act, 2017 (IGST Act, 2017) as amended by the Finance No. Act, 2025, including significant circulars and notifications issued and other legislative amendments made, which have become effective up to 31.10.2025. The case scenario-based MCQs are all application oriented MCQs and arise from the facts of the case. At the end of each case scenario followed by MCQs, we have also provided explanations/hints for each MCQ which will enable the students to evaluate their performance and identify areas requiring further attention.

This booklet is relevant for May 2026, September 2026 and January 2027 examinations. Please note that before working out the MCQs of this booklet, students have to be thorough with the provisions and concepts of the Goods and Services Tax law as discussed in the September, 2025 edition of the Study Material, which is based on the provisions of the CGST Act, 2017 and the IGST Act, 2017 as amended by the Finance Act, 2024 and Finance (No. 2) Act, 2024, including significant circulars and notifications issued and other legislative amendments made, which have become effective up to 30.04.2025, alongwith the Statutory Update for May 2026 examinations which are web-hosted at the BoS Knowledge Portal, containing the significant notifications, circulars and other legislative amendments made, from 01.05.2025 to 31.10.2025.

Students appearing for September 2026 and January 2027 examinations also need to go through the Statutory Update for September 2026 and January 2027 examinations respectively which will be web-hosted at the BoS Knowledge Portal, containing the significant notifications, circulars and other legislative amendments made, from 01.05.2025 to 28.02.2026 and from 01.05.2025 to 30.06.2026, respectively.

Unless otherwise specified, the section numbers and rules referred in the booklet pertain to the CGST Act, 2017 and the CGST Rules, 2017 respectively (except where the section numbers and rule numbers pertain to the IGST Act, 2017 and the IGST Rules, 2017). **It is important to note that the GST rates for goods and services mentioned in various questions are hypothetical and may not necessarily be the actual rates leviable on those goods and services.**

After attaining conceptual clarity by reading the Study Material (and Statutory Update, if applicable), you are expected to apply the concepts learnt in answering the MCQs given in this booklet. You have to read the case scenarios and the MCQs, identify the provisions of tax law involved, apply the provisions correctly in addressing the issue raised/making the computation required in the MCQ, and finally, choose the correct answer. This process of learning concepts and provisions of tax laws and solving MCQs based thereon will help you attain conceptual clarity and hone your application and analytical skills so that you are able to approach the examination with confidence and a positive attitude.

We are confident that this booklet will serve as a valuable companion in your preparation journey. We encourage students to make the most of this resource by engaging deeply with the scenarios, reflecting on the MCQs, and embracing the learning process.

Best wishes for your studies and success in the CA Final Examination!

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CASE SCENARIO 1

Vidhyut Corporation Ltd. is a Public Sector Undertaking (PSU) engaged in the business of generation of electricity from conventional & non-conventional sources. The Government of India holds 75% equity in the said company & balance equity is held by institutional and domestic investors. The company has taken separate registration under GST in each State where it has business operations. The company has its head office (HO) in Delhi & its power plants are located in the States of Bihar, Odisha & Chhattisgarh.

Following transactions were carried out by the company during the month of February:

Particulars	Delhi H.O. (₹)	Bihar plant (₹)	Odisha plant (₹)	Chhattisgarh plant (₹)
Sale of electrical energy to DISCOM	--	2,50,00,000	3,50,00,000	4,50,00,000
Bank interest received on saving bank account & fixed deposit	18,00,000	3,00,000	5,00,000	8,00,000
House rent recovered from the employees for residential accommodation provided to them	55,000	30,000	25,000	40,000
Rent collected from bank, ATM, post office & shops located in office premises	48,000	15,000	12,000	16,000
Sale of metal scrap (covered under Chapter 72) (excluding TCS @ 1% as per the Income-tax	-	85,000	65,000	45,000

Act, 1961) to Birla Scrappers, unregistered under GST				
Other Income	2,50,000	-	-	45,000

In addition to above information, following transactions were also carried out during the month of February:

(1) A supply order for stationery items was awarded by Delhi H.O. to M/s Stationery Mart, New Delhi for ₹ 3,36,000 (including GST @ 12%) in January.

The vendor supplied stationery items worth ₹ 44,800 (including GST @ 12%) & issued the tax invoice in February. Delhi H.O. had made the payment of the said bill in February by crediting the vendor's account for that amount on the same date in its books. The remaining amount was paid in April on supply of balance items.

(2) Odisha plant purchased office furniture for ₹ 2,80,000 during February from an unregistered dealer. Rate of GST on said furniture item is 18%.

(3) A Board meeting for raising term loan for project expansion was held in February. The Delhi H.O. paid ₹ 20,000 each as sitting fee to 4 independent directors (all registered under GST) who attended the meeting. Further, it paid ₹ 80,000 to one of these directors, who had rented the office building to Delhi H.O.

(4) For safety & security of its H.O. & power plants, the company engaged private security as well as CISF (Central Industrial Security Force). Following payments were made in February, in respect of said services:

Particulars	**Delhi H.O. (₹)**	**Bihar plant (₹)**	**Odisha plant (₹)**	**Chhattisgarh plant (₹)**
CISF	---	10,00,000 (paid on 7th February)	8,00,000 (paid on 15th February)	14,00,000 (paid on 5th February)

ABS Security Services Pvt. Ltd.	5,00,000 (paid on 11th February)	-	-	-

(5) The Bihar plant purchased a machinery in February from M/s Sahoo Enterprises, Patna (not registered under GST) for ₹ 86,000. Full payment was made in February. Rate of GST on the said machinery is 18%.

All the amounts mentioned above are excluding GST, wherever applicable (unless otherwise specified).

Based on the facts of the case scenario given above, choose the most appropriate answer to Q. Nos. 1 to 6 below:

MULTIPLE CHOICE QUESTIONS

1. The value of taxable supply on which GST is payable by Delhi H.O. under forward charge, for the month of February is __________.

   (a) ₹ 18,00,000

   (b) ₹ 2,98,000

   (c) ₹ 21,53,000

   (d) ₹ 48,000

2. The value of taxable inward supply on which GST shall be payable under reverse charge by Bihar power plant is _________.

   (a) ₹ 11,80,000

   (b) ₹ 10,00,000

   (c) ₹ 10,86,000

   (d) ₹ 10,30,000

3. The value of supply on which TDS under section 51 shall be deducted by Delhi H.O. while making payment to M/s Stationery Mart in February is __________.

   (a) ₹ 40,000

(b) ₹ 44,800

(c) ₹ 3,00,000

(d) TDS is not deductible since payment made in February is less than ₹ 2,50,000.

4. The value of taxable inward supply on which GST shall be payable under reverse charge by Delhi H.O. and Odisha plant is _________ and ________ respectively.

(a) ₹ 1,60,000 and ₹ 10,80,000

(b) ₹ 80,000 and ₹ 8,00,000

(c) ₹ 6,80,000 and ₹ 2,80,000

(d) ₹ 5,80,000 and ₹ 2,80,000

5. Which of the following statements is most appropriate with respect to sale of metal scrap by Chhattisgarh plant?

(a) GST on value of supply of ₹ 45,000 of metal scrap is payable by Birla Scrappers under reverse charge.

(b) GST on value of supply of ₹ 45,000 of metal scrap is payable by Chhattisgarh plant under forward charge.

(c) GST on value of supply of ₹ 45,450 of metal scrap is payable by Chhattisgarh plant under forward charge.

(d) Sale of metal scrap, on which TCS is being collected under Income-tax Act, 1961, is an exempt supply under GST.

6. Which of the following supplies is/are not taxable under reverse charge mechanism? Choose the most appropriate option.

(i) House rent recovered from the employees for residential accommodation provided to them.

(ii) Rent collected from bank, ATM, post office & shops located in office premises.

(iii) Sale of metal scrap (covered under Chapter 72) to Birla Scrappers.

(a) (i) and (ii)

(b) (i), (ii) and (iii)

(c) (i) and (iii)

(d) (ii) and (iii)

CASE SCENARIO 2

Vardhmaan Limited [hereinafter referred to as 'company'], registered in Delhi, has operations in multiple States across India. The company has taken separate GST registration in all the States where it operates. During the month of January, the tax team presented following information in its report to the management:

1. The company sold goods valuing ₹ 5 crore from its warehouse located at Kandla Port, Gujarat to a buyer located in Ahmedabad by way of transfer of title in goods. The responsibility of clearance of goods shall be on the buyer. The goods were imported by the company from Vietnam and were not cleared for home consumption since then.

2. The company got a favourable advance ruling order on a particular issue from the Authority for Advance Ruling, Rajasthan. The application was filed by the company through its registered place of business in Rajasthan.

3. The company received an order from the Adjudicating Authority in Maharashtra, wherein a demand of tax amounting to ₹ 1 crore and penalty amounting to ₹ 10 lakh and interest amounting to ₹ 25 lakh was confirmed by the Adjudicating Authority. The dispute in this case was similar to the issue for which a favourable order from Advance Ruling Authority was received by the company in the State of Rajasthan as discussed in para 2 above. The company feels that it has a strong case in the matter before the Appellate Authority.

4. The company has issued tax invoice in relation to certain supplies wherein the total tax collected from the recipients amounted to ₹ 3 crore. Subsequently, it was noticed that the supplies were not liable to GST and the amount has been wrongly collected by the company from the recipients of supply.

5. A special audit was initiated by the Chartered Accountant nominated by the State Tax authorities of Madhya Pradesh against the company in the State of Madhya Pradesh.

Based on the facts of the case scenario given above, choose the most appropriate answer to Q. Nos. 1 to 5 below:

MULTIPLE CHOICE QUESTIONS

1. In relation to the goods sold from its warehouse in Kandla, Gujarat, the company shall________________:

   (a) be liable to pay customs duty and IGST as applicable.

   (b) be liable to pay customs duty only.

   (c) be liable to pay IGST only.

   (d) not be liable to pay any tax or duty.

2. In relation to the advance ruling order received by the company in Rajasthan,

   (a) the order is binding on the company only in Rajasthan but on jurisdictional officers across all registrations of the company in India.

   (b) the order is binding on the company across all States in India.

   (c) the order is binding on the company and the jurisdictional officer, in Rajasthan.

   (d) the order is binding on the company and the jurisdictional officers across all registrations of the company in India.

3. In case the company prefers an appeal before the Appellate Authority against the order passed by Adjudicating Authority in Maharashtra, the amount of pre-deposit to be made by the company is __________.

   (a) ₹ 11 lakh

   (b) ₹ 13.5 lakh

   (c) ₹ 10 lakh

   (d) nil

4. In case where the tax has been wrongly collected by the company from the recipients,

   (a) the company shall pay such amount to the Government.

   (b) the company shall refund back the amount to the recipients.

(c) the company shall deposit such amount with the consumer welfare fund.

(d) the company can retain such amount with itself.

5. In case of special audit being conducted in the State of Madhya Pradesh,

(a) the remuneration of Chartered Accountant is payable by company as per agreed terms.

(b) the remuneration of Chartered Accountant is payable by the company as directed by the Commissioner of State Tax.

(c) the remuneration of the Chartered Accountant is payable by the Commissioner, but the expenses of the examination and audit of records shall be reimbursed by the company.

(d) expenses of the examination and audit of records, including the remuneration of Chartered Accountant, shall be paid by the Commissioner.

CASE SCENARIO 3

Super Lever Limited is engaged in manufacturing of taxable electronic goods. Its retail showroom located in Mumbai as well as two manufacturing units located in Mumbai and Nagpur are registered under same GSTIN under GST in the State of Maharashtra. The company has a manufacturing unit in Bangalore, registered under GST in the State of Karnataka and another retail showroom located in Ahmedabad, registered under GST in the State of Gujarat.

The company has provided the following details with regard for the month of October:

S. No.	Particulars	Retail Showroom at Mumbai (₹)	Mumbai unit (₹)	Nagpur unit (₹)
(i)	Sale of taxable goods	6,50,000	12,50,000	13,50,000
(ii)	Purchase of taxable raw material		12,70,000	11,80,000
(iii)	Payment made for security	-	1,50,000	1,10,000
(iv)	Interest received on fixed deposits with a nationalised bank			1,08,000
(v)	Sale of securities [Such securities were purchased for ₹ 2,75,000]		4,50,000	
(vi)	Sale of agricultural land in the vicinity of the manufacturing plant [Stamp duty was paid on ₹ 1,85,00,000]			1,85,00,000
(vii)	Sale of old factory building which was not used anymore [Stamp duty was paid on ₹ 75,00,000]		90,00,000	

Following additional information is provided by the company:

1. In case of Mumbai unit, payment for security services for the month of October has been made to Safe and Secure Solutions Pvt. Limited, a company not registered under GST. For Nagpur unit, the payment for security services for the month of October has been made to Vigilante Solutions, a partnership firm registered under GST.

2. October being Diwali month, the Retail Showroom at Mumbai has sold combo packs of food processors and electric irons at a discounted rate to boost its sales. Each combo pack has been sold at a price of ₹ 6,000. Out of the total sales of Retail Showroom reported in table above, ₹ 1,50,000 is on account of such combo packs. For this purpose, electric irons were specially procured by the Retail Showroom from the market since the company does not manufacture the same. Few electric irons have been sold individually as well. Total sales of such electric irons is ₹ 36,000, which is included in the sales reported in table above.

3. Nagpur unit issued credit notes for ₹ 1,80,000 to its buyers in the month of November towards discount on account of making timely payment. The buyers were aware of such discount at the time of sale in October. All the buyers reversed the proportionate input tax credit on receiving the discount except one buyer who received credit note for ₹ 23,000. Nagpur unit reported sales (taxable goods) of ₹ 16,00,000 in the month of November.

4. Further, in the month of December, Mumbai unit received ₹ 3,15,000 as interest on delayed payment of sale consideration from its buyers (GST is separately recovered on same, if applicable). The interest pertains to the sale made in the month of October. Mumbai unit reported sales (taxable goods) of ₹ 12,00,000 in the month of December.

5. Stock valued at ₹ 7,30,000 was transferred from Mumbai unit to Nagpur unit on October 16. Further, stock valued at ₹ 6,80,000 was also transferred from Bangalore unit to Retail Showroom at Ahmedabad on October 22. The same was billed to Ahmedabad Retail Showroom at ₹ 5,00,000.

6. On October 23, a truck carrying finished goods of the Mumbai unit was intercepted by the proper officer. The proper officer was of the view that the e-way bill was not prepared in accordance with the provisions of the GST law. The truck along with the goods was seized by the proper officer under section 129. The seizure order was passed on October 23 and the same was communicated to Mumbai unit on October 24.

For this case scenario, the applicable rate of GST on electric irons procured from the market is 18% and all other remaining goods is 12%. All the amounts mentioned in the case scenario are exclusive of taxes, wherever applicable.

Based on the facts of the case scenario given above, choose the most appropriate answer to Q. Nos. 1 to 6 below:

MULTIPLE CHOICE QUESTIONS

1. The value of taxable supply made by Nagpur unit during the month of October and its gross tax liability (without considering input tax credit) for the month of November is -

   (a) Value of taxable supply – ₹ 13,50,000; Gross tax liability - ₹ 1,70,400

   (b) Value of taxable supply – ₹ 11,70,000; Gross tax liability – ₹ 1,92,000

   (c) Value of taxable supply – ₹ 13,50,000; Gross tax liability – ₹ 1,73,160

   (d) Value of taxable supply – ₹ 12,78,000; Gross tax liability – ₹ 1,73,160

2. The value of taxable supply made by Mumbai unit during the month of October and its gross tax liability (without considering input tax credit) for the month of December is –

   (a) Value of taxable supply – ₹ 1,07,00,000; Gross tax liability - ₹ 1,81,800

   (b) Value of taxable supply – ₹ 15,65,000; Gross tax liability – ₹ 1,44,000

   (c) Value of taxable supply – ₹ 17,00,000; Gross tax liability – ₹ 1,81,800

   (d) Value of taxable supply – ₹12,50,000; Gross tax liability – ₹ 1,81,800

3. Which of the following statements is correct with regard to gross tax liability for outward supply made by Retail Showroom at Mumbai?

(a) The gross tax liability of Retail Showroom (without considering input tax credit) for the month of October is ₹ 89,160.

(b) The gross tax liability of Retail Showroom (without considering input tax credit) for the month of October is ₹ 80,160.

(c) The gross tax liability of Retail Showroom (without considering input tax credit) for the month of October is ₹ 78,000.

(d) The gross tax liability of Retail Showroom (without considering input tax credit) for the month of October is ₹ 73,680.

4. Value of exempt supply provided by Nagpur unit and Mumbai unit during the month of October is-

(a) Nagpur unit - ₹ 1,08,000; Mumbai unit – Nil

(b) Nagpur unit - ₹ 1,86,08,000; Mumbai unit – ₹ 94,50,000

(c) Nagpur unit - ₹ 1,86,08,000; Mumbai unit - ₹ 4,50,000

(d) Nagpur unit - ₹ 1,08,000; Mumbai unit - ₹ 4,50,000

5. Value of exempt supply provided by Nagpur unit and Mumbai unit for the purpose of reversing input tax credit under rules 42 and 43 during the month of October is-

(a) Nagpur unit - ₹ 1,08,000; Mumbai unit – ₹ 4,50,000

(b) Nagpur unit - ₹ 1,85,00,000; Mumbai unit – ₹ 75,04,500

(c) Nagpur unit - ₹ 1,86,08,000; Mumbai unit - ₹ 94,50,000

(d) Nagpur unit - ₹ 1,85,00,000; Mumbai unit – ₹ 79,50,000

6. The Mumbai unit wishes to file an appeal against the order passed by the proper officer authorising the seizure of the truck and the goods transported therein. Which of the following statements is correct in this context?

(a) There is no appellate remedy against the orders passed by the proper officer under section 129.

(b) The Mumbai unit can directly file an appeal before the High Court under the CGST Act, 2017 as the GST Appellate Tribunal is yet to be constituted.

(c) The Mumbai unit can file an appeal with the Appellate Authority on or before January 24 of the next calendar year.

(d) The Mumbai unit can file an appeal with the Revisional authority on or before January 23 of the next calendar year.

CASE SCENARIO 4

BCM Ltd., a public limited company ('Company'), registered in Uttar Pradesh, is engaged in manufacturing of Product A, Product B and Product C. Product A is exempt under GST while Product B and Product C are taxable under GST. Moreover, Company is engaged in making cross border supplies of taxable Product D procured domestically from local manufacturers. Further, it is engaged in supplying consultancy services.

Following information is provided by the Company for the month of January:

The Company manufactured Product A and exported 1,000 units of the same worth ₹ 8,00,000 to Germany.

The Company supplied Product C of value of ₹ 35,00,000 to Dhriti Ltd. Noida, Uttar Pradesh (including Product C worth ₹10,00,000 supplied to SEZ unit of Dhriti Ltd. in Noida).

The Company imported specialised heavy textile machinery from China on 2nd January, with CIF value of ₹ 55,00,000 and FOB value of ₹ 53,00,000. It sold the said machinery for ₹ 62,00,000 in high sea to Swadeshi Textiles, Delhi. While clearing the goods for home consumption, Swadeshi Textiles filed bill of entry for ₹ 63,00,000. After clearing the machinery for home consumption, Swadeshi Corporation sold the machinery to Gargi Industries for ₹ 70,00,000.

The Company purchased Product Z for ₹ 10,00,000 from Prism Corporation, Japan on 5th January and directly routed Product Z for supply to Ginsing Corporation, China for ₹ 12,00,0000 on 15th January.

The Company purchased Product D as a merchant exporter (taxable at the concessional rate of 0.1% (IGST) under *Notification No. 41/2017 IT(R) dated 23.10.2017*) for ₹ 7,00,000 vide a tax invoice dated 1st January from Shravan Ltd., a manufacturer registered in Maharashtra. Product D was removed on 2nd January from the premises of Shravan Ltd. supplied directly to a registered warehouse. Shravan Ltd. has procured inputs X and inputs Y worth ₹ 1,00,000 and ₹ 60,000 taxable @ CGST - 9%, SGST - 9% and IGST - 18% for manufacturing Product D. Product D was exported by the Company to Gates Inc. of USA. FOB value of Product D exported is ₹ 8,40,000.

The Company supplied consultancy services to its subsidiary company, XYZ Inc., located and registered in Florida, USA and to its branch office located in San Diego, USA for ₹ 12,00,000 and ₹ 24,00,000 (value of supply in both cases is determined as per rule 28 respectively).

Company sold a future derivative contract at NSE (National Stock Exchange) which was due in the month of January, for ₹ 20,00,000. Said contract had no delivery option.

Notes:

A. Rates of CGST, SGST and IGST on all inward and outward supplies unless otherwise specified are 6%, 6% and 12%.

B. All the figures given above are exclusive of GST, wherever applicable. The amounts given in respect of import and export transactions in rupees have been arrived after conversion thereof, though transactions were undertaken in convertible foreign currency.

C. BCM Ltd. makes zero-rated supplies under a bond or letter of undertaking (LUT).

D. BCM Ltd. wishes to avail all the concessions/benefits/exemptions available under the GST law.

Based on the facts of the case scenario given above, choose the most appropriate answer to Q. Nos 1 to 5 below:

MULTIPLE CHOICE QUESTIONS

1. Company can take ITC of _______________ on Product D procured by it as a merchant exporter.

   (a) IGST - ₹ 700

   (b) CGST - ₹ 350 and SGST - ₹ 350

   (c) CGST - ₹ 700 and SGST - ₹ 700

   (d) nil

2. If Company does not export Product D procured by it as a merchant exporter till _______, it cannot avail benefit of concessional rate under *Notification No. 41/2017 IT(R) dated 23.10.2017.*

   (a) 1st April of next financial year

   (b) 31st March of current financial year

   (c) 2nd April of next financial year

   (d) 3rd April of next financial year

3. Compute the value of zero-rated supplies made by the Company in January.

   (a) ₹ 93,40,000

   (b) ₹ 38,40,000

   (c) ₹ 1,05,40,000

   (d) ₹ 26,40,000

4. Assessable value of the machinery cleared for home consumption by Swadeshi Textiles is ____________.

   (a) ₹ 55,00,000

   (b) ₹ 63,00,000

   (c) ₹ 62,00,000

   (d) ₹ 70,00,000

5. Compute the value of exempt supply made by the Company in January for the purpose of reversal of input tax credit.

   (a) ₹ 8,00,000

   (b) ₹ 24,20,000

   (c) ₹ 67,00,000

   (d) ₹ 20,00,000

CASE SCENARIO 5

Vision Weave Private Limited manufactures taxable textile products. It has two manufacturing units in Kanpur and Agra - both in Uttar Pradesh, a manufacturing unit in Punjab, a retail showroom in Lucknow (Uttar Pradesh) and another retail showroom in Delhi. The company has the policy of obtaining single registration for all places of business located in a State.

The company has provided the following details with regard for the month of January:

(Amount in ₹)

S. No.	Particulars	Retail Showroom at Lucknow	Kanpur unit	Agra unit
(i)	Sale of taxable goods	6,50,000	12,50,000	13,50,000
(ii)	Purchase of taxable raw material	-	12,70,000	11,80,000
(iii)	Payment made for security personnel services	-	1,50,000	1,10,000
(iv)	Freight paid to Fleet Wave Cargo, an unregistered Goods Transport Agency	-	35,000	40,000
(v)	Freight paid to horse cart puller for intra-city transport of goods	5,000	-	-
(vi)	Loading & unloading charges paid to labourer	-	4,000	2,500
(vii)	Payment to Swift Ride Services Pvt. Ltd. towards rentals of four Innova cars (air conditioned) hired for senior officers of the manufacturing units	-	38,000	35,000
(viii)	Rent paid to Lucknow Municipal Corporation for the Retail Showroom	3,20,000	-	-

(ix)	Interest received on fixed deposits with a nationalized bank	-	-	1,08,000
(x)	Fees paid to the State Government for certification relating to safety of workers. Such certification is a statutory requirement for manufacturers of textile products.	-	15,000	15,000
(xi)	Sale of securities [Such securities were purchased for ₹ 10,50,000.]	-	12,00,000	-
(xii)	Sale of agricultural land in the vicinity of the manufacturing plant [Stamp duty was paid on ₹ 2,20,00,000.]	-	-	2,05,00,00 0
(xiii)	Sale of old factory building which was not used anymore [Stamp duty was paid on ₹ 81,00,000.]	-	96,00,000	-

Following additional information is provided by the company:

1. In case of Kanpur unit, payment for security services for the month of January has been made to Guardian Shield Security Pvt. Limited, a company not registered under GST. For Agra unit, the payment for security services for the month of January has been made to Peace Keeper Security Solutions, a partnership firm registered under GST.

2. Fleet Wave Cargo has issued the invoice for goods transportation services on January 05, on Kanpur unit and Agra unit. While Kanpur unit made the payment on January 27, Agra unit made the payment on March 28. Tax invoices are issued by Kanpur unit and Agra unit for goods transportation services on February 01 and January 29 respectively.

3. Stock valued at ₹ 7,30,000 was transferred from Kanpur unit to Agra unit on January 16. Further, stock valued at ₹ 6,80,000 was also transferred from Punjab unit to Retail Showroom at Delhi on January 22. The same was billed to Delhi Retail Showroom at ₹ 5,00,000.

All the amounts mentioned in the case scenario are exclusive of taxes, wherever applicable. Agra manufacturing unit and Retail showroom located in Delhi are eligible for full ITC.

Based on the facts of the case scenario given above, choose the most appropriate answer to Q. Nos. 1 to 5 below:

MULTIPLE CHOICE QUESTIONS

1. The aggregate value of inward supplies, which are exempt from GST, received by Kanpur and Agra units and Retails Showroom at Lucknow is-

   (a) ₹ 41,500

   (b) ₹ 1,91,500

   (c) ₹2,99,500

   (d) ₹ 35,000

2. Which of the following transactions undertaken by Kanpur and Agra units fall under Schedule III of the CGST Act, 2017?

   (i) Sale of agricultural land in the vicinity of the manufacturing plant

   (ii) Sale of old factory building which was not used anymore

   (iii) Sale of securities

   (iv) Interest received on fixed deposits with nationalized banks

   (a) (i) and (ii)

   (b) (iv)

   (c) (i), (ii) and (iv)

   (d) (i), (ii) and (iii)

3. The value of inward supplies received by Agra and Kanpur units and Retail Showroom at Lucknow of Vision Weave Private Limited during the month of January, on which GST is payable under reverse charge is -

   (a) Agra unit - ₹ 1,85,000; Kanpur unit - ₹ 2,23,000; Retail Showroom – ₹ 3,20,000

(b) Agra unit - ₹ 1,87,500; Kanpur unit - ₹ 2,27,000; Retail Showroom – Nil

(c) Agra unit - ₹ 1,50,000; Kanpur unit - ₹ 1,85,000; Retail Showroom – ₹ 3,20,000

(d) Agra unit - ₹ 1,50,000; Kanpur unit - ₹ 35,000; Retail Showroom – ₹ 3,20,000

4. The time of supply of goods transportation services provided by Fleet Wave Cargo is –

(a) Agra unit – January 5; Kanpur unit – January 5

(b) Agra unit – February 28; Kanpur unit – January 27

(c) Agra unit - January 29; Kanpur unit - January 27

(d) Agra unit - January 20 of year following the year; Kanpur unit – February 20

5. The value of supply made from Kanpur unit to Agra unit and from Punjab unit to Retail Showroom at Delhi during January is-

(a) Value of supply from Kanpur unit to Agra unit – ₹ 7,30,000; Value of supply from Punjab unit to Delhi Retail Showroom - ₹ 6,80,000

(b) Value of supply from Kanpur unit to Agra unit – Nil; Value of supply from Punjab unit to Delhi Retail Showroom – Nil

(c) Stock transfer between Kanpur unit and Agra unit is not a supply. Value of supply made vide stock transfer from Punjab unit to Delhi Retail Showroom is ₹ 5,00,000.

(d) Value of supply from Kanpur unit to Agra unit – ₹ 7,30,000; Value of supply from Punjab unit to Delhi Retail Showroom - ₹ 5,00,000

CASE SCENARIO 6

Data Limited commenced business of trading of taxable goods in the State of Assam on 1st April. Aggregate turnover of the company crossed ₹ 20 lakh on 31st May and ₹ 40 lakh on 15th July. The company made the application for registration under GST law on 25th July and the registration certificate was granted on 30th July. The company has opted to file return on monthly basis under regular scheme. The company was exclusively engaged in supply of taxable goods only.

The company had following input tax credit lying in the books related to input and input service on different dates:

Particulars	**Amount in (₹)**			
	30th May	**14th July**	**24th July**	**29th July**
Input held in stock	10,000	15,000	20,000	40,000
Input services	4,000	6,000	12,000	14,000

During the month of October, the company has installed solar panel at the office premises. Details regarding the installation of solar panel were as follow:

Particulars	**Amount**
List price of the solar panel	₹ 5,50,000
Additional information not adjusted or given effect in the list price	
(a) Trade discount recorded in invoice @ 3% on list price. (b) Local taxes paid ₹ 15,000. (c) Cost of packing, outward freight, loading-unloading and installation charges ₹ 12,000 as a condition of sale.	

Apart from the above, Data Limited received ₹ 2,00,000 as advance payment on 2nd October from Mr. Prem, a customer, with respect to the taxable supply of goods of ₹ 10,00,000. The company removed the goods on 9th October and issued the invoice on 10th October. Goods were received by Mr. Prem on 11th October and Mr. Prem had made the balance payment of ₹ 8,00,000 on 20th October through NEFT.

In addition to the above, due to oversight, the company failed to disclose a self-assessed outward supply of ₹ 2,00,000 while filing the GSTR-3B for the month of August. Balance of input tax credit for the month of August in the electronic credit ledger was of ₹ 10,000 each under CGST and SGST which remains till date of deposit of tax. Company filed the return for the month of August on the due date of return on 20th September. The company disclosed this supply in the return (GSTR 3B) for the month of January of next calendar year and paid the net tax (after set off of ITC of ₹ 10,000 each CGST and SGST) with interest in the Form GSTR 3B filed on 18th February of next calendar year.

The proper officer issued show cause notice on 25th February of next calendar year demanding the penalty for late deposit of tax on escaped supply relating the month of August.

Note: All amounts given above are exclusive of taxes, wherever applicable. All supplies are intra-State and chargeable to GST @ 9% each under CGST and SGST.

Based on the facts of the case scenario given above, choose the most appropriate answer to Q. Nos. 1 to 6 below:

MULTIPLE CHOICE QUESTIONS

1. Data Limited received the registration certificate on 30th July. Amount of input tax credit available that it would have been entitled to take was:

   (a) ₹ 15,000

   (b) ₹ 21,000

   (c) ₹ 54,000

   (d) ₹ 40,000

2. In relation to the transaction with Mr. Prem, time of supply of goods for purpose of payment of tax will be:

   (a) For ₹ 2,00,000 – 2nd October and for ₹ 8,00,000 - 9th October

   (b) 9th October for both ₹ 2,00,000 and ₹ 8,00,000

   (c) 10th October for ₹ 2,00,000 and ₹ 8,00,000

(d) For ₹ 2,00,000 – 2nd October and for ₹ 8,00,000 - 10th October

3. Amount of total penalty which could be leviable under section 74A with respect to the payment of tax on delayed disclosure of outward supply (total for both CGST and SGST) is:

(a) ₹ 20,000

(b) ₹ 3,600

(c) ₹ 10,000

(d) Nil

4. What is the effective date of registration of the company?

(a) 15th July

(b) 25th July

(c) 31st May

(d) 30th July

5. What is value of inward supply of solar panel under section 15?

(a) ₹ 5,45,500

(b) ₹ 5,60,500

(c) ₹ 4,90,500

(d) ₹ 4,75,500

6. Amount of total interest (CGST+SGST) to be paid (nearest to rupees one) under section 50 with respect to delayed disclosure of outward supply assuming 365 days in the year:

(a) ₹ 1,192 (₹ 596 each under CGST and SGST)

(b) ₹ 1,184 (₹ 592 each under CGST and SGST)

(c) ₹ 2,680 (₹ 1,340 each under CGST and SGST)

(d) ₹ 2,664 (₹ 1,332 each under CGST and SGST)

CASE SCENARIO 7

Mr. Pukhraj Gupta is a registered supplier of goods and services under GST in the State of Karnataka. He provided the following details of outward transactions belong to the current financial year:

Particulars	Amount (₹)
Taxable supply	1,40,00,000
Exempted supply	3,50,000
Interest received on unsecured loan (not included in above)	2,00,000
Transfer goods to the residence of his brother, a well-known professional.	Free of cost but the open market value is ₹ 40,000

During the month of April, Pukhraj Gupta provided the following outward supplies:

Particulars	Amount (₹)
Taxable supply of goods	4,00,000
Insurance agent service to Suraksha Insurance Company, registered under GST	30,000
Interest received for late payment from various customers	10,000
Recovery agent service to Vipul Limited, a trader of goods	40,000
Security service provided to Bachpan School (upto higher secondary), an unregistered person under GST, at its Annual Day function held at Vallabh Convention centre being outside the school campus.	50,000
Renting of motor vehicle designed to carry passenger provided to M Sea Limited wherein cost of fuel in included (applicable rate of CGST is 2.50% and SGST is 2.50%)	80,000
Received with reference to a contract of ₹ 5,00,000 for supply of taxable goods awarded by a public sector undertaking (PSU) registered under section 51 in the State of Tamil Nadu, goods were delivered in the State of Karnataka as per instruction of the PSU.	1,50,000

Further, on 20th April, he hired Perfect Planner of Japan to plan and organize his events under a composite contract of all events. First event was organized at Mumbai while second event was held at Paris (France)

In addition to the above, proper officer has issued an order under GST dated 10th April, and raised a demand of ₹ 33 lakh (Tax - ₹ 20 lakh, interest - ₹ 3 lakh and penalty ₹ 10 lakh) in respect of an intra-State transaction. The above amounts are related to the CGST only.

Pukhraj Gupta admitted the tax demand of ₹ 5 lakh and interest demand of ₹ 2 lakh and disputed the remaining tax and interest demand and entire penalty demanded. Pukhraj Gupta wants to file an appeal before the Appellant Authority.

All amounts given above are exclusive of taxes, wherever applicable.

Based on the facts of the case scenario given above, choose the most appropriate answer to Q. Nos. 1 to 5 below:

MULTIPLE CHOICE QUESTIONS

1. What is the taxable value of supply for the month of April, in the hands of Pukhraj Gupta?

   (a) ₹ 6,50,000

   (b) ₹ 6,10,000

   (c) ₹ 6 00,000

   (d) ₹ 5,60,000

2. Amount of TDS require to be deducted under section 51 by the PSU:

   (a) CGST ₹ 750 and SGST ₹ 750

   (b) IGST ₹ 3,000

   (c) CGST ₹ 1,500 and SGST ₹ 1,500

   (d) No TDS required to be deducted under section 51.

3. What is the maximum amount of pre-deposit (under CGST only) to be made for filing the appeal before the Appellant Authority under the GST law?

(a) ₹ 8.50 lakh

(b) ₹ 10 lakh

(c) ₹ 9.60 lakh

(d) ₹ 12.20 lakh

4. What is the aggregate turnover of the current financial year under section 2(6)?

(a) ₹ 1,45,90,000

(b) ₹ 1,45,50,000

(c) ₹ 1,43,50,000.

(d) ₹ 1,43,90,000

5. What is the place of supply in respect of transaction with Perfect Planner?

(a) Mumbai for both the events

(b) Karnataka for both the events

(c) For first event- Mumbai and for second event- Paris

(d) Japan for both the events

CASE SCENARIO 8

M/s Far Sites (hereinafter referred as FS) is a proprietorship firm registered under GST in Chandigarh and deals in supply of variety of goods including electronic goods and repair & maintenance thereof. FS furnishes following information for the month of December:

Outward supplies during the month of December are as under:

Particulars	**₹**
Supply of goods to unregistered persons in Chandigarh (Out of the aforesaid supply, goods worth ₹ 1,00,000 were not liable to GST. However, FS inadvertently charged GST on such goods and collected the same from the customers).	10,00,000
Supply of goods to registered suppliers located in Punjab	20,00,000
Repair & maintenance services provided to unregistered persons located in Haryana	7,00,000

Inward supplies during the month of December are as under:

Particulars	**₹**
Purchase of TV sets from registered suppliers. During unloading of said TV sets, five LED TVs and two QLED TVs valued to ₹ 2,00,000 got completely damaged, but the supplier refused to replace the same.	20,00,000
Purchase of washing machine from unregistered suppliers (Intra-State supply)	5,00,000
Transportation charges paid to Sri Logistics (unregistered GTA)	1,00,000

Further, the following information is also provided related to December:

(1) FS received security services from LML Limited, Chandigarh amounting to ₹ 50,000. LML Limited is an unregistered supplier.

(2) Rent of shop paid to Municipal Corporation of Chandigarh - ₹ 50,000

(3) Legal fee of ₹ 10,000 paid to Mr. Prakash, a Senior Advocate of Punjab and Haryana High Court for providing legal advice.

(4) FS procured old and used goods worth ₹ 5,00,000 on which GST is payable on reverse charge basis. The goods were received on 25th December. The supplier issued the invoice on 24th December and payment for the same was debited from the bank account of FS on 31st December. Since the accountant was on leave, the transaction was recorded in the books of accounts on 1st January.

Applicable rate of GST on all supplies was 18% except for transportation charges for which the applicable GST rate is 5%. Ignore bifurcation of CGST, SGST and IGST. Turnover of last financial year is ₹ 30 lakh.

There is no opening ITC available for the relevant tax period in the electronic credit ledger of FS. All the above information pertains to same financial year.

Note: All the above amounts are exclusive of GST, except wherever explicitly stated.

Based on the facts of the case scenario given above, choose the correct answer to Q. Nos. 1 to 4 below:

MULTIPLE CHOICE QUESTIONS

1. The total value of inward supplies on which GST is payable by FS under reverse charge for December is _____________.

   (a) ₹ 7,10,000

   (b) ₹ 6,60,000

   (c) ₹ 11,60,000

   (d) ₹ 12,10,000

2. The amount of eligible input tax credit, ignoring reversal under rule 42 or 43, if any, that can be availed by FS for December is _____________.

(a) ₹ 6,18,800

(b) ₹ 4,38,800

(c) ₹ 5,28,800

(d) ₹ 4,29,800

3. Net GST payable in cash (ignore bifurcation of CGST, SGST and IGST) by FS for the month of December is ____________.

(a) ₹ 3,73,800

(b) ₹ 3,86,800

(c) ₹ 1,84,800

(d) ₹ 3,42,000

4. What is the time limit for issuance of show cause notice in respect of the GST inadvertently charged and collected on the goods in December assuming that FS does not deposit the same with the Government?

(a) Within 2 years and 9 months from due date of filing annual return for the financial year.

(b) Within 4 years and 6 months from due date of filing annual return for the financial year.

(c) No time limit to issue the show cause notice.

(d) No show cause notice is required to be issued. The tax amount shall be refunded to the customers if the customer demands the same.

CASE SCENARIO 9

LLD & Co., a partnership firm, is engaged exclusively in manufacturing of electric equipment in the State of Gujarat. The firm became liable for registration on 14th April since its turnover exceeded the applicable threshold limit. It applied for registration on 16th May and was granted registration certificate on 20th May.

The firm had opted for composition levy under section 10 at the time of registration.

Its turnover for the quarter ending June (excluding the turnover till the date it becomes liable to register) was ₹ 82 lakh, out of which taxable supply was amounting to ₹ 80 lakh and exempt supply was amounting to ₹ 2 lakh. Its turnover crossed ₹ 150 lakh on 9th July and LLD & Co. had opted for withdrawal of composition scheme on the said date.

The firm provided a supply of equipment to GGY Ltd. (an unrelated limited company) on 20th July having market value of ₹ 21 lakh, wholesale value of ₹ 22 lakh and maximum retail price was ₹ 23 lakh. However, the transaction was made at ₹ 18 lakh.

During the month of June, LLD & Co. has received one taxable service covered under reverse charge under section 9(3) from a registered supplier Mr. Sachin Kumar in the course of intra-State supply. LLD & Co. failed to issue any document to Mr. Sachin Kumar relating to this transaction.

Other details for this particular inward service are as follows:

Particulars	**Date**
Supply of service	3rd June
Invoice raised by Mr. Sachin Kumar	9th July
Payment recorded in the books of LLD & Co.	7th August
Payment debited in the bank account of LLD & Co	14th August
Payment recorded in the books of Mr. Sachin Kumar	8th August
Payment credited in the bank account of Mr. Sachin Kumar	16th August

LLD & Co. has not opted QRMP Scheme

All the amounts given above are exclusive of taxes, wherever applicable. All the supplies referred above are intra-State and price is the sole consideration.

All the above information pertains to same financial year.

Based on the facts of the case scenario given above, choose the most appropriate answer to Q. Nos. 1 to 6 below:

MULTIPLE CHOICE QUESTIONS

1. The effective date of registration of LLD & Co. is:

   (a) 14th May

   (b) 16th May

   (c) 14th April

   (d) 20th May

2. LLD & Co. needs to furnish a statement containing details of stock of inputs/ inputs contained in semi-finished / finished goods on the withdrawal of composition scheme by:

   (a) 23rd July

   (b) 9th July

   (c) 8th August

   (d) 7th August

3. The value of supply of equipment under section 15(1) made by LLD & Co. to GGY Ltd. will be

   (a) ₹ 21 lakh

   (b) ₹ 18 lakh

   (c) ₹ 22 lakh

   (d) ₹ 23 lakh

4. The tax payable by LLD & Co. for the quarter ending June will be:

   (a) ₹ 40,000 each under CGST and SGST

   (b) ₹ 41,000 each under CGST and SGST

(c) ₹ 80,000 each under CGST and SGST

(d) ₹ 82,000 each under CGST and SGST

5. Time of supply for the purpose of payment of tax, for transaction with Mr. Sachin Kumar as per GST Laws will be:

(a) 07^{th} August

(b) 09^{th} July

(c) 08^{th} September

(d) 08^{th} August

6. Which of the following document is mandatory to be issued by LLD & Co., in relation to transaction with Mr. Sachin Kumar as per the GST law?

(a) Bill of supply

(b) Payment voucher

(c) Receipt Voucher

(d) Tax Invoice

CASE SCENARIO 10

Mr. Suraj Rao of Bhilwara (Rajasthan) is a registered person under GST and is filing monthly returns. His turnover for the preceding year was ₹ 1.25 crores. He is engaged in the business of various goods and services. He provided the details of following transactions/supplies undertaken by him during the month of February:

(i) He executed a hedging contract for a commodity with NCDEX at a price of ₹ 1,100 per unit for 600 units. Original contract of purchase of the commodity was made @ ₹ 1,000 per unit. On the date of expiry of future contract i.e. 28th February, the rate of commodity was ₹ 900 per unit. He squared off the contract without physical delivery of the commodity. He paid ₹ 2,000 each at the time of entry and exit off the future contract.

(ii) He provided repair and maintenance service related to generator to Mr. Rajendra on 5th February, involving both supply of goods being spare parts and supply of service being labour charges. He disclosed the value of goods at ₹ 10,800 and value of service at ₹ 25,000 separately in the invoice issued in this regard.

Details of inward supplies during the month:

(i) Purchase of goods for ₹ 20,00,000 from a registered person (it includes ₹ 5,00,000 towards purchase of goods which are exempted).

(ii) Purchased a truck for ₹ 8,00,000 for transportation of goods for delivery to customers. No depreciation was claimed on GST portion.

(iii) Incurred ₹ 3,50,000 on renovation of office building and debited the expenses (excluding the GST portion) in the Profit and Loss Account under repair and maintenance head.

(iv) Mr. Suraj Rao went to Surat, Gujarat for a business meeting which was mandatory under a law for the time being in force in February and stayed in a GST registered hotel named "A One Hotel" for few days. Room accommodation charges for ₹ 50,000 (taxable value) was paid for the stay.

Other information

(i) Due to the accountant on leave, GSTR-3B for the month of February, could not be filed on due date prescribed i.e. 20th March. It was filed on 31st March.

(ii) Suraj Rao collected an advance payment of ₹ 2,00,000 plus applicable GST for provision of service in the month of September. However, no tax was deposited on such advance money to the Government even though 5 months has elapsed.

All amounts given above are exclusive of taxes, wherever applicable.

All supplies are intra-State except otherwise mentioned. All the supplies of goods and services are chargeable to GST @ 9% each under CGST & SGST and @ 18% under IGST except spare parts which are chargeable @ 2.5% each under CGST & SGST and @ 5% under IGST.

All the above information pertains to same financial year.

Based on the facts of the case scenario given above, choose the most appropriate answer to Q. Nos. 1 to 4 below:

MULTIPLE CHOICE QUESTIONS

1. Value of outward supply of the contract executed with NCDEX will be:

   (a) ₹ 6,00,000

   (b) ₹ 5,40,000

   (c) ₹ 6,60,000

   (d) Nil

2. The amount of input tax credit that can be availed for stay in 'A One Hotel', Surat will be:

   (a) ₹ 9,000-CGST & ₹ 9,000-SGST

   (b) ₹ 9,000-IGST

(c) No input tax credit available

(d) ₹ 4,500-CGST & ₹ 4,500-SGST

3. The amount of total eligible input tax credit (ITC) for the month of February, will be:

(a) ₹ 4,86,000

(b) ₹ 4,77,000

(c) ₹ 4,23,000

(d) ₹ 4,14,000

4. The nature of supply and rate applicable for service provided to Mr. Rajendra will be:

(a) mixed supply and chargeable at the highest rate.

(b) composite supply and chargeable at the rate of principal supply.

(c) individual supply and chargeable at total of CGST and SGST at 5% for supply of spare parts and at 18% for supply of service.

(d) neither supply of goods nor supply of service.

CASE SCENARIO 11

M/s Jose & Co. (hereinafter referred as Firm) is a partnership firm registered under GST regular scheme in the State of Kerala. Firm is an original equipment manufacturer of motor pumps and engaged in supply of related goods and services all over India and supplies goods through the network its agents.

During the month of August, the firm made following outward transactions:

(i) Supplied moulds and dies owned by it to unrelated component manufacturers free of cost; market value of the same was ₹ 65,000.

(ii) Provided free training on e-invoice and e-way bill to all its agents free of cost; value of such training was ₹ 1,00,000.

It provided the following services during the month of September and received payment subject to deduction of TDS under GST law, as applicable:

(a) Water supply services provided to Kerala Water Resources Management Board, a Government Authority in which 85% of control was held by Kerala Government; total consideration was ₹ 2,50,000.

(b) Composite supply of goods and services provided to Kerala Government, in respect of an activity entrusted to a municipality under Article 243W of the Constitution, in which value of service constituted 25% of the value of said composite supply; total consideration was ₹ 3,00,000.

(c) Conducted training program for rain water harvesting for a consideration of ₹ 4,00,000. This service was provided to Central Government and 76% of the total expenditure of this program was borne by the Central Government.

During the month of October, the firm made a supply to its related concern valued under invoice at ₹ 5,00,000; whereas the market value was ₹ 8,00,000 and the recipient was eligible for full ITC. Value of like kind of supply was ₹ 7,00,000. Recipient intended to consume the supply for production purposes.

The firm entered into a contract for service of 100 pump motors on 15^{th} November for an amount of ₹ 5,00,000. Deadline for completing the contract was 15th January. However, due to some misunderstanding the contract was terminated on 20th December, when only 50% of the work was completed.

All the amounts given above are exclusive of taxes wherever applicable. All the supply referred above is intra-State unless specified otherwise. All the above information pertains to the same financial year.

Based on the facts of the case scenario given above, choose the most appropriate answer to Q. Nos. 1 to 5 below:

MULTIPLE CHOICE QUESTIONS

1. In respect of outward transactions made during the month of August, the taxable value of supply is _______.

   (a) ₹ 65,000

   (b) ₹ 1,00,000

   (c) ₹ 1,65,000

   (d) Nil

2. In respect of services provided during the month of September, the value of exempt supply is _______.

   (a) ₹ 2,50,000

   (b) ₹ 3,00,000

   (c) ₹ 4,00,000

   (d) ₹ 7,00,000

3. The amount of TDS under GST that will be deducted each under CGST and SGST against the supply made during the month of September is _______.

   (a) ₹ 7,000

   (b) ₹ 5,500

   (c) ₹ 3,000

   (d) ₹ 2,500

4. The value of supply made to a related concern during the month of October is _______.

(a) ₹ 5,00,000

(b) ₹ 6,30,000

(c) ₹ 7,00,000

(d) ₹ 8,00,000

5. Last date for issue of invoice against pump motors service contract which was terminated on 20th December is _______.

(a) 15th December

(b) 20th December

(c) 20th January

(d) 15th February

CASE SCENARIO 12

EchoWave Technologies Ltd., Coimbatore, Tamil Nadu, (hereinafter referred as EchoWave) exclusively manufactures and sells product 'Z' which is exempt from GST vide notifications issued under relevant GST legislations. The company sells product 'Z' only within Tamil Nadu and is not registered under GST. Further, all the inward supplies of EchoWave are taxable under forward charge.

The turnover of EchoWave in the previous year was ₹ 55 lakh. The company expects the sales to grow by 20% in the current year. Owing to the growing demand for the product, EchoWave decided to increase its production capacity and purchased additional machinery for manufacturing 'Z' on 1st April. The purchase price of such capital goods was ₹ 20 lakh exclusive of GST @ 18%.

However, effective from 1st August, exemption available on 'Z' was withdrawn by the Central Government and GST @ 12% was imposed thereon. The turnover of the company for the first quarter ended on 30th June was ₹ 50 lakh.

In October, it plans to launch a new taxable product 'Y'. It enters into a contract with Shine Ltd., an advertising company, located and registered in Gurugram, Haryana, to arrange the display of an advertisement of EchoWave's newly launched product 'Y' on a hoarding placed at any prominent location in Bengaluru, Karnataka for initial 3 months of the launch of the product. Shine Ltd., in turn, enters into a contract with the owner of Seaside Hotel located and registered in Bengaluru, Karnataka for display of the advertisement on a hoarding placed in the lawn of the hotel.

Based on the facts of the case scenario given above, choose the most appropriate answer to Q. Nos. 1 to 3 below:

MULTIPLE CHOICE QUESTIONS

1. Which of the following statements is correct with regard to liability of EchoWave to obtain registration under GST?

   (a) EchoWave is not liable to register on 1st August since its taxable turnover does not exceed the applicable threshold limit of ₹ 20 lakh till that date.

(b) EchoWave is not liable to register on 1st August since its taxable turnover does not exceed the applicable threshold limit of ₹ 40 lakh till that date.

(c) EchoWave becomes liable to register on 1st August since its taxable turnover exceeds the applicable threshold limit of ₹ 40 lakh till that date.

(d) EchoWave becomes liable to register on 30th June since its taxable turnover exceeds the applicable threshold limit of ₹ 40 lakh till that date.

2. Assuming that EchoWave is already registered with respect to certain taxable supplies being made by it along with manufacture of exempt product 'Z', other facts remaining the same, can it take ITC on additional machinery purchased exclusively for manufacturing 'Z'? If yes, then how much credit can be availed?

(a) Yes, ₹ 3,24,000

(b) Yes, ₹ 3,60,000

(c) Yes, ₹ 36,000

(d) No, ITC on additional machinery purchased exclusively for manufacturing 'Z' is not available.

3. The place of supply of service(s) provided (i) by Shine Ltd. to EchoWave and (ii) by Seaside Hotel to Shine Ltd.?

(a) (i) Tamil Nadu, (ii) Karnataka

(b) (i) Haryana, (ii) Karnataka

(c) (i) Tamil Nadu, (ii) Haryana

(d) (i) Tamil Nadu, (ii) Tamil Nadu

CASE SCENARIO 13

Mrs. Kajal, a registered supplier of Jaipur (Rajasthan), has made the following supplies in the month of January:

(i) Supply of a laptop along with the laptop bag to a customer of Mumbai for ₹ 55,000 (exclusive of GST).

(ii) Supply of 10,000 kits (at ₹ 50 each) amounting to ₹ 5,00,000 (exclusive of GST) to Ram Fancy Store in Kota (Rajasthan). Each kit consists of 1 hair oil, 1 beauty soap and 1 hair comb.

(iii) 100 kits are given as free gift to Jaipur customers (all unrelated) on the occasion of Mrs. Kajal's birthday. Each kit consists of 1 hair oil and 1 beauty soap. Cost of each kit is ₹ 35. Input tax credit has not been taken on the goods contained in the kit.

(iv) Event management services provided free of cost to her brother (wholly dependent on her) for his son’s marriage function in Indore (Madhya Pradesh). Cost of providing said services is ₹ 80,000.

(v) 1,400 chairs and 100 coolers hired out to Function Garden, Ajmer (Rajasthan) for ₹ 3,30,000 (exclusive of GST) including cost of transporting the chairs and coolers from Mrs. Kajal's godown at Jaipur to Function Garden, Ajmer.

All the above transactions are exclusive of GST, wherever applicable.

Based on the facts of the case scenario given above, choose the most appropriate answer to Q. Nos. 1 to 3 below:

MULTIPLE CHOICE QUESTIONS

1. Supply of laptop alongwith laptop bag and supply of 10,000 kits to Ram Fancy Store is _________ and ___________:

    (a) composite supply; mixed supply

    (b) composite supply; composite supply

    (c) mixed supply; mixed supply

(d) mixed supply; composite supply

2. 100 kits given as free gift to Jaipur customers are:

   (a) composite supply

   (b) mixed supply

   (c) individual supplies of hair oil and beauty soap

   (d) not supply at all

3. Event management service provided to Kajal’s brother is ___________ and service of transportation of the chairs and coolers from Mrs. Kajal's godown at Jaipur to Function Garden, Ajmer is ______________.

   (a) not supply at all; taxable supply to be taxed at the rate applicable for transportation of goods service.

   (b) taxable supply; exempt supply

   (c) taxable supply; taxable supply to be taxed at the rate applicable for service of renting of chairs and coolers.

   (d) not supply at all; exempt supply.

CASE SCENARIO 14

Mr. Dhinal Patel is registered under regular scheme of GST in Delhi. He is engaged in supply of various goods as well as services across the country on his own as well as through its agents' network also.

During the month of August, Mr. Dhinal Patel made following outward transactions:

(i) He gifted a watch, worth ₹ 50,000 to Mr. Sudipta Banerjee, an employee in recognition of his being awarded 'Employee of the Year'. No other gift was presented to Mr. Sudipta during the current financial year.

(ii) He provided free training on e-invoice and e-way bill to all its agents free of cost; cost incurred for providing such training was ₹ 1,00,000.

He provided the following services during the month of September wherein he received payment of full contract value subject to deduction of TDS under GST law, as applicable:

(a) Supplied printed books and printed post cards to a West Delhi Post Office [Out of total contract value of ₹ 9,72,000, contract value for supply of books (exempt from GST) is ₹ 7,00,000 and for supply of printed post cards (taxable under GST) is ₹ 2,72,000.

(b) Supplied service of maintenance of street-lights in Municipal area of East Delhi*

[The maintenance contract entered into with the Municipal Corporation of Delhi also involves replacement of defunct lights and other spares. However, the value of supply of goods is not more than 25% of the value of composite supply]. Contract value is ₹ 3,50,000.

*an activity in relation to any function entrusted to a Municipality under article 243W of the Constitution

(c) Supplied service of interior decoration of Andhra Bhawan located in Delhi. Service contract of value of ₹ 12,39,000 is entered into with the Government of Andhra Pradesh (registered only in Andhra Pradesh).

All above values are inclusive of GST @18%, wherever applicable.

Mr. Dhinal entered into a contract for supply of service with Saurashtra Associates on 1st June. He commenced the provision of service on 5th June and completed the provision of service on 10th October. Invoice is issued on 20th October. He received the payment by cheque on 15th October and entered it in his books the same day. Amount was credited in his bank account on 18th October. In the meantime, rate of GST applicable on said services was changed from 12% to 18% on 16th October.

Mr. Dhinal rents out a commercial building owned by him to Bharat for the month of October, for which he charges a rent of ₹ 19,50,000. Mr. Dhinal pays the maintenance charges of ₹ 1,00,000 (for the October month) as charged by the local society. These charges have been reimbursed to him by Bharat. Also, Mr. Dhinal has paid municipal tax of ₹ 2,85,000 which he has not charged from Bharat.

During the month of December, Mr. Dhinal hired the services of Sun Ltd., an event management company registered in Delhi, for organising two events, one in Bengaluru, Karnataka and another event in Japan.

Note: Assume that all the days covered in the above case are working days.

All the supplies referred above are intra-State unless specified otherwise.

Based on the facts of the case scenario given above, choose the most appropriate answer to Q. Nos. 1 to 6 below:

MULTIPLE CHOICE QUESTIONS

1. In respect of outward transactions made during the month of August, the value of supply is:

   (a) ₹ 1,00,000

   (b) ₹ 1,50,000

   (c) ₹ 50,000

   (d) Nil

2. The amount of TDS under GST law (without bifurcating into CGST, SGST and IGST) that will be deducted against the supply made during the month of September will be:

(a) Nil

(b) ₹ 43,406

(c) ₹ 26,932

(d) ₹ 21,000

3. The value of supply made to Bharat for the month of October will be:

(a) ₹ 19,50,000

(b) ₹ 22,35,000

(c) ₹ 23,35,000

(d) ₹ 20,50,000

4. The time of supply and applicable rate of GST applicable on services provided to Saurashtra Associates is:

(a) 10th October and 12%

(b) 15th October and 12%

(c) 18th October and 18%

(d) 16th October and 18%

5. Determine the place of supply of services availed from Sun Ltd. with respect to the event held in (i) Bengaluru, Karnataka and (ii) Japan.

(a) (i) Delhi and (ii) Delhi

(b) (i) Delhi and (ii) Japan

(c) (i) Bengaluru, Karnataka and (ii) Delhi

(d) (i) Bengaluru, Karnataka and (ii) Japan

6. Compute the value of exempt supply for the month of September.

(a) ₹ 3,50,000

(b) ₹ 10,50,000

(c) ₹ 7,00,000

(d) Nil

CASE SCENARIO 15

M/s All-in-One, a partnership concern and a registered supplier under GST, is engaged in providing various services under one roof. It is engaged in paying tax under regular scheme under GST law. The concern provides the following information pertaining to supply made/input services availed by it during the month of March:

S.No.	Particulars	₹
(i)	Provided Direct Selling Agent service to Y Bank Ltd.	4,00,000
(ii)	Provided security services (by way of supply of security personnel) to ABC Pvt. Ltd., a registered person under GST	60,000
(iii)	Provided security services (by way of supply of security personnel) to PSR Trust, an unregistered person under GST	1,00,000
(iv)	Provided renting of motor vehicle for transportation of passengers to Amaze Tours Ltd. and value of supply included cost of fuel	75,000
(v)	Provided renting of motor vehicle for transportation of passengers to Priti & Co., CA firm and value of supply included cost of fuel	40,000
(vi)	Availed representational service from PB and Co., a law firm towards a Consumer Court case	70,000

Rates of GST for both inward and outward supply is CGST/SGST@ 9% each except renting a motor vehicle, for which CGST/SGST @ 2.5% each is applicable. M/s All-in-One commenced its business from February. All the supplies are intra-State only. Ignore the provisions relating to input tax credit.

Based on the facts of the case scenario given above, choose the most appropriate answer to Q. Nos. 1 to 3 below:

CASE SCENARIO 16

Welcome Group Pvt. Ltd. (herein referred as WGPL) is engaged in supplying hospitality and advertising services. It has its Head Office in Maharashtra and branches in various States in India. Head Office and all branches are registered under GST.

WGPL Head Office in Maharashtra provided administrative and back-office support services in the month of August to its branch office in Kerala using the services of employees working at the head office. While issuing the tax invoice to the branch office, the head office did not include the salary cost of employees involved in providing such services. The branch office is eligible for full input tax credit.

Further, in the month of October, WGPL entered into a contract with Bright Ads LLP, registered in Rajkot, Gujarat, for displaying its advertisement on hoardings for an award event being organized at a convention center in Bhopal, Madhya Pradesh. The terrace of a hotel located nearby convention center on which the hoardings are to be displayed is taken on rent by Bright Ads LLP from the owner of the hotel - Mr. Kapoor (unregistered person based in Delhi). Bright Ads LLP raised a tax invoice on WGPL for advertisement services.

Based on the facts of the case scenario given above, choose the most appropriate answer to Q. Nos. 1 to 3 below:

MULTIPLE CHOICE QUESTIONS

1. Value of supply of administrative and back-office support services in the month of August by WGPL head office to its branch office in Kerala shall be ________.

   (a) Open market value of said services plus salary cost of employees.

   (b) 90% of price charged for said services supplied by branch office to its customers not being a related person.

   (c) Nil, since said services do not amount to supply.

   (d) Value declared in tax invoice issued by WGPL head office.

2. The place of supply of services provided by Bright Ads LLP to Welcome Group Pvt. Ltd. is:

(a) Bhopal, Madhya Pradesh

(b) Rajkot, Gujarat

(c) Mumbai, Maharashtra

(d) Delhi

3. The place of supply of the services provided by Mr. Kapoor to Bright Ads LLP is:

(a) Delhi

(b) Rajkot, Gujarat

(c) Bhopal, Madhya Pradesh

(d) Mumbai, Maharashtra

CASE SCENARIO 17

Venue Automobiles Pvt. Ltd (hereinafter referred as VAPL)., a company registered under GST in Delhi, is engaged in manufacturing and supply of automobiles and auto-accessories across India. The manufacturing plant is located in Indore, Madhya Pradesh.

In the financial year 2023-24, it had purchased the raw materials viz. metal sheets and sent the same for painting and plating to a registered job worker, Apex Surface Coaters (P) Ltd. These raw materials are sent directly from the place of business of supplier to the premises of job worker.

VAPL availed input tax credit on purchase of such items. The following transactions took place in this regard:

Value of goods sent to job worker	Input tax paid on such goods	Date of purchase of goods by VAPL	Date of receipt of goods by Apex Surface Coaters (P) Ltd.	Date of goods received back from Apex Surface Coaters (P) Ltd.
₹ 1,20,000	₹ 6,000	10-07-2023	15-07-2023	12-07-2024
₹ 4,80,000	₹ 24,000	25-09-2023	27-09-2023	13-10-2024
₹ 19,20,000	₹ 96,000	22-12-2023	25-12-2023	16-08-2025
₹ 24,00,000	₹ 1,20,000	21-01-2024	25-01-2024	23-01-2025
₹ 8,40,000	₹ 42,000	24-02-2024	26-02-2024	28-02-2025

Further, in the month of May 2025, the Department decided to conduct an assessment of the returns filed by VAPL. During the course of assessment proceedings, the proper officer observed certain irregularities in the returns filed by the company. Consequently, an adjudication order was issued raising a demand of IGST amounting to ₹ 1,200 crore. The order was issued on 23rd July 2025 and the same was communicated to VAPL on 28th July 2025.

Aggrieved by the assessment order, VAPL preferred an appeal before the Appellate Authority (AA) on 30th July 2025.

The Appellate Authority (AA) passed an order against VAPL demanding IGST of ₹ 1,200 crore on 25th August 2025 and the order was communicated to VAPL on 29th August 2025. VAPL wishes to file an appeal against the order of the AA. The company admits the liability of ₹ 100 crore but wishes to litigate the balance demand amount and intends to file an appeal to the GST Appellate Tribunal.

Based on the facts of the case scenario given above, choose the most appropriate answer to Q. Nos. 1 to 3 below:

MULTIPLE CHOICE QUESTIONS

1. Determine the total amount to be added to the output tax liability of VAPL in accordance with section 143. Ignore the different point of times when the amount is added to the output tax liability.

   (a) ₹ 2,88,000/- + interest @ 18%

   (b) ₹ 2,88,000/- + interest @ 24%

   (c) ₹ 1,62,000/- + interest @ 24%

   (d) ₹ 1,62,000/- +interest @ 18%

2. The total amount of pre-deposit required to be paid by VAPL for filing appeal before the GST Appellate Tribunal is __________.

   (a) ₹ 100 crore

   (b) ₹ 120 crore

   (c) ₹ 140 crore

   (d) ₹ 110 crore

3. Last date up to which VAPL can file the appeal to GST Appellate Tribunal against the order of Appellate Authority is __________.

   (a) 25th October 2025

   (b) 29th November 2025

   (c) 25th November 2025

   (d) 29th September 2025

CASE SCENARIO 18

Opulenza Ltd., a registered supplier located in the State of Madhya Pradesh, is engaged in supply of taxable goods. It has been regularly complying with its statutory obligations under the GST law. For the financial year 2024–25, it duly filed all its monthly GST returns within the prescribed timelines.

In the course of the scrutiny of its returns for the said financial year conducted in August 2025, the proper officer noticed an inadvertent short payment of CGST and SGST totalling to ₹ 4,60,000 pertaining to the month of October 2024, on account of a *bonafide* error. Before issuance of the show cause notice by the proper officer, Opulenza Ltd. paid the tax of ₹ 1,00,000 (₹ 50,000 CGST and ₹ 50,000 SGST) on the basis of its own ascertainment along with applicable interest and with penalty, if any, on 15th September 2025 and informed the proper officer in writing of such payment.

In the ordinary course of its business operations, on 10th October 2025, Opulenza Ltd. engages Malhotra & Sons as an agent to sell goods on its behalf. Acting in such capacity, Malhotra & Sons sold goods to Bravion Associates on 25th October 2025, on behalf of Opulenza Ltd.

Subsequently, in January 2026, in connection with a separate enquiry initiated against Opulenza Ltd., Sudarshan Chaturvedi, the Chief Executive Officer (CEO) of the company, was issued a summon by the Central Tax Officer. The summon required him to appear in person and produce the books of accounts of Opulenza Ltd. for the purposes of the enquiry being conducted in respect of the said company.

Note – Assume that the due date for furnishing annual return has not been extended and limitation period for issuance of order under section 74A has not been extended by the Commissioner.

Based on the facts of the case scenario given above, choose the most appropriate answer to Q. Nos. 1 to 5 below:

MULTIPLE CHOICE QUESTIONS

1. The last date by which show cause notice can be issued by the proper officer for the amount of tax short paid by Opulenza Ltd. is:

   (a) 30th September 2028

   (b) 31st December 2028

   (c) 30th June 2029

   (d) 31st March 2029

2. If the short payment of tax is on account of fraud, other facts remaining the same, the last date by which show cause notice can be issued by the proper officer for the amount of tax short paid by Opulenza Ltd. is:

   (a) 30th September 2028

   (b) 31st December 2028

   (c) 30th June 2029

   (d) 31st March 2029

3. The amount of penalty, if any, payable on the payment of tax of ₹ 1,00,000 by Opulenza Ltd. on the basis of its own ascertainment along with applicable interest on 15th September 2025 is:

   (a) Nil

   (b) ₹ 10,000

   (c) ₹ 15,000

   (d) ₹ 20,000

4. ___________________ is/are liable to pay the GST on sale of goods by Malhotra & Sons in terms of section 86 in case GST on said supply remains unpaid.

   (a) Only Opulenza Ltd., being the principal

   (b) Only Malhotra & Sons, being the supplier of goods

   (c) Opulenza Ltd. and Malhotra & Sons, jointly and severally

(d) Bravion Associates, being the recipient of goods

5. Maximum penalty that can be imposed on Sudarshan Chaturvedi is _______________ each under CGST and SGST.

   (a) ₹ 10,000

   (b) ₹ 25,000

   (c) ₹ 50,000

   (d) Penalty equal to tax involved.

CASE SCENARIO 19

CoreValue Traders is engaged in supply of taxable goods. It has its head office in Uttar Pradesh and branches in Rajasthan and Bihar. It is registered under GST in Uttar Pradesh, Rajasthan and Bihar. Moreover, it has obtained registration as an ISD (Input Service Distributor) in Uttar Pradesh for distribution of credit pertaining to services billed commonly at the head office but utilized by branches also.

With effect from 1st September of the current financial year, the regular GST registration of CoreValue Traders in Uttar Pradesh is cancelled retrospectively. The cancellation order is passed on 15th September of current financial year. At the time of cancellation, the supplier has not availed ITC on certain eligible invoices issued in February and March of the preceding financial year for inward supplies of taxable goods on which ITC is otherwise available under GST law. Further, ISD (Input Service Distributor) registration is also cancelled with effect from 1st September of the current financial year with an order dated 15th September of said financial year.

Subsequently, on filing an application for revocation, the cancellation of registration is revoked by the Proper Officer on 15th December of the current financial year.

The firm wishes to furnish its GSTR-3B return for the month of September on 21st December of the current financial year and wishes to claim ITC on the said invoices of February and March of preceding financial year in this return.

Note - Annual return for the current financial year is filed on 31st December of the current financial year.

Based on the facts of the case scenario given above, choose the most appropriate answer to Q. Nos. 1 to 3 below:

MULTIPLE CHOICE QUESTIONS

1. In respect of the cancellation of regular registration in Uttar Pradesh, last date for filing the final return is:

   (a) 1st December

(b) 15th December

(c) 30th November

(d) 14th December

2. Which of the following statements is correct in relation to final return to be filed by CoreValue Traders, upon cancellation of ISD registration?

   (a) Final Return must be filed on or before 1st December.

   (b) Final Return must be filed on or before 15th December.

   (c) Final return must be filed on or before 30th November.

   (d) No final return is required to be filed.

3. CoreValue Traders is entitled to claim ITC in respect of invoices issued in February and March of the preceding financial year in the return for the month of September furnished upto ____________ of the current financial year.

   (a) 30th November

   (b) 14th January

   (c) 31st December

   (d) ITC in respect of invoices issued in February and March of the preceding financial year cannot be claimed in current financial year.

CASE SCENARIO 20

SwarSadhna Pvt. Ltd., a company registered under GST in Ludhiana, Punjab, is engaged in the business of organising musical events and cultural programmes. The company is owned and promoted by Pt. Hariprasad Tiwari, a renowned classical singer of national repute. With a view to promote classical music amongst youth of the country, SwarSadhna Pvt. Ltd. decided to organise a live music event titled "Hariprasad Tiwari Music Concert" at Gurugram, Haryana.

For the purpose of planning, coordination and execution of the event, SwarSadhna Pvt. Ltd. entered into a contractual arrangement with Supriya (P) Ltd., an event management company registered under GST in Delhi. As per the terms of the agreement, Supriya (P) Ltd. agreed to provide comprehensive event management services, including venue booking, logistics and on-ground arrangements, for a total consideration of ₹ 10,00,000.

In order to host the concert, Supriya (P) Ltd. booked the lawns of Hotel Dumdum, a hotel registered under GST in Gurugram, Haryana, for holding the music concert. The hotel charged a lump-sum consideration of ₹ 4,00,000 for providing the venue and related facilities.

SwarSadhna Pvt. Ltd. fixes the entry fee for the music concert at ₹ 5,000 per person. A total of 400 tickets were sold to the general public for attending the concert, resulting in gross ticket collections of ₹ 20,00,000.

Applicable rate of GST on all supplies is CGST -9%, SGST-9% and IGST-18%.

Based on the facts of the case scenario given above, choose the most appropriate answer to Q. Nos. 1 to 3 below:

MULTIPLE CHOICE QUESTIONS

1. Place of supply of services provided by SwarSadhna Pvt. Ltd. to audiences by way of admission to music concert and tax payable on said services is ________ and ________.

   (a) respective location of the audience; tax payable will depend on nature of supply.

(b) Ludhiana, Punjab; CGST – ₹ 1,80,000 and SGST – ₹ 1,80,000

(c) Gurugram, Haryana; IGST – ₹ 3,60,000

(d) Gurugram, Haryana; CGST – ₹ 1,80,000 and SGST – ₹ 1,80,000

2. Place of supply of services provided by Supriya (P) Ltd. to SwarSadhna Pvt. Ltd. by way of organising the music concert and tax payable on said services is ________ and ________.

   (a) Delhi; CGST – ₹ 90,000 and SGST – ₹ 90,000

   (b) Ludhiana, Punjab; IGST – ₹ 1,80,000

   (c) Gurugram, Haryana; CGST – ₹ 90,000 and SGST – ₹ 90,000

   (d) Delhi; IGST – ₹ 1,80,000

3. Place of supply of services provided by Hotel Dumdum to Supriya (P) Ltd. by way of accommodation in the Hotel lawns for organising the music concert and tax payable on said services is ________ and ________.

   (a) Delhi; IGST – ₹ 72,000

   (b) Ludhiana, Punjab; IGST – ₹ 72,000

   (c) Gurugram, Haryana; CGST – ₹ 36,000 and SGST – ₹ 36,000

   (d) Gurugram, Haryana; IGST – ₹ 72,000

CASE SCENARIO 21

Supernova India Limited is a 100% subsidiary of Supernova LLC, Japan, registered under GST in the State of Gujarat. Supernova Inc., Singapore, is another subsidiary of Supernova LLC, Japan, and is engaged in supply of industrial goods to customers across the world.

In India, Supernova Inc., Singapore, sells the goods to a sub-contractor registered under GST in the name of Alpha Limited in the State of Maharashtra. Alpha Limited imports the goods sold by Supernova Inc., Singapore and carries out the required technical process on such goods in the factory located in Maharashtra.

After processing of goods by Alpha Limited, the goods are sold by Alpha Limited to Supernova India Limited for further sales to end customers.

As a holding company, Supernova LLC, Japan, recovers an amount equivalent to 20% of the sales made by Supernova India Limited as commission on monthly basis.

During the month of January, Alpha Limited imported the goods worth ₹ 10,00,000 from Supernova Inc., Singapore. The inter-State purchases of Alpha Limited from domestic market amounted to ₹ 2,00,000 during the month of January. The value of processed goods sold by Alpha Limited to Supernova India Limited amounted to ₹ 10,00,000. Further, Supernova India Limited paid an additional amount equivalent to ₹ 2,00,000 for transportation and handling of goods to third party (a Goods Transport Operator), which was contractually agreed to be paid by Alpha Limited. Alpha Limited has also charged an amount equivalent to ₹ 12,000 on such processed goods as miscellaneous municipal levy (other than GST) payable in the State of Maharashtra.

Supernova India Limited sold the goods purchased from Alpha Limited in the month of January as per the details provided below:

1. ₹ 6,00,000 worth goods to X Ltd, a customer located in the State of Rajasthan
2. ₹ 8,00,000 worth goods to Y Ltd, a customer located in the State of Gujarat

There is no opening stock and closing stock for the month of January with Supernova India Limited.

Further, an employee of Supernova India Limited had visited the manufacturing unit of Alpha Limited in Mumbai, Maharashtra and had stayed in the hotel located in Mumbai, Maharashtra, in the month of February. At the time of checkout from hotel, the invoice was issued for an amount equivalent to ₹ 1,00,000. The hotel had issued invoice in the name of Supernova India Limited and GST was charged at the rate of 9% CGST and 9% SGST on total invoice amount of ₹ 1,00,000. Out of such amount, the amount recoverable from the employee towards non-official stay by Supernova India Limited was ₹ 50,000.

Fun Events Ltd., an event management company, located and registered at New Delhi, had organized a cultural event in the month of February for Supernova India Limited, in Mauritius.

The opening balance of input tax credit of both Alpha Limited as well as Supernova India Limited for the relevant tax periods is nil. Further, there is no other inward or outward supply transaction for Alpha Limited in January and February apart from the aforementioned transactions. Subject to the information given above, assume that all the other conditions necessary for availing ITC have been fulfilled.

All the above transactions are exclusive of GST, wherever applicable. GST is applicable in the aforesaid case scenario at the following rates unless otherwise specified:

I. Intra-State supply – 9% CGST and 9% SGST

II. Inter-State supply – 18% IGST

The rate of basic customs duty on import of goods is nil. However, IGST is applicable on import of goods. No additional duty or cess is applicable on the import of goods or services.

Based on the facts of the case scenario given above, choose the most appropriate answer to Q. Nos. 1 to 4 below:

MULTIPLE CHOICE QUESTIONS

1. The total GST liability (net of input tax credit, if any), of Alpha Limited for the month of January payable through GSTN portal is:

   (a) ₹ 2,18,160 payable as IGST.

   (b) nil.

   (c) ₹ 2,160 payable as IGST.

   (d) ₹ 1,09,080 payable as CGST and ₹ 1,09,080 payable as SGST.

2. What shall be the gross IGST liability i.e. without any adjustment of input tax credit, if any, of Supernova India Limited for the month of January?

   (a) ₹ 1,08,000

   (b) Nil

   (c) ₹ 1,58,400

   (d) ₹ 50,400

3. Whether input tax credit is available on the GST paid by Supernova India Limited on the invoice amounting to ₹ 1,00,000 to the hotel located in Mumbai, Maharashtra, for stay of the employee? If yes, please specify the amount of input tax credit available.

   (a) Yes, as ₹ 9,000 CGST and ₹ 9,000 SGST

   (b) Yes, as ₹ 18,000 IGST

   (c) Input tax credit is not available

   (d) Yes, as ₹ 4,500 CGST and ₹ 4,500 as SGST

4. Whether GST is applicable on the event organized by Fun Events Ltd. for Supernova India Limited in Mauritius and what is the place of supply in such case?

   (a) GST is applicable and the place of supply is New Delhi.

   (b) GST is applicable and the place of supply is Gujarat.

   (c) GST is not applicable and the place of supply is Mauritius.

   (d) GST is applicable and the place of supply is Mauritius.

CASE SCENARIO 22

Doodle Inc. is an entity incorporated in USA and is engaged in provision of various information technology related services directly as well as through its subsidiaries located across the world. In India, Doodle India, a subsidiary of Doodle Inc., is registered under GST in the State of Karnataka under GST and is providing services to various customers in India.

Doodle Inc. provides cloud-based storage services to its customers (business entities and non-business entities) in India. The customers can subscribe to the services by making online payment directly to Doodle Inc.'s bank account through internet banking and other modes. The terms and conditions for such services are entered between Doodle Inc. and the customer directly without involvement of any third party.

In case of any issue, the customers can call and log the issue at the customer help centre which is operated by Doodle India on principal to principal basis. For operation of such customer help centre, Doodle India is paid on cost plus 10% basis by Doodle Inc. on monthly basis.

Further, Doodle India is engaged in promotion and marketing of cloud-based storage services on principal-to-principal basis in India for Doodle Inc. The payment for such services is made by Doodle Inc. to Doodle India on monthly basis at cost plus 20%. The promotional and marketing activities are carried out in the name of Doodle Inc., without any reference to operations of Doodle India.

Doodle Inc. owns online space for advertisement on internet. Doodle Inc. has agreed to sell such online advertising space to Doodle India for an amount of ₹ 5,00,00,000 per month. Doodle India sells such advertising space to its customers in India on its own account. The contractual arrangement for sale of such advertising space is between the customer and Doodle India.

Doodle Inc. provides technology support to Doodle India and charges royalty from Doodle India for such technology support at a fixed charge of ₹ 25,00,000 per month. The royalty paid is exclusively related to the business of advertising space of Doodle India.

In addition to above information, during the month of January:

(I) Doodle India has incurred following expenses:

1. Expenses exclusively related to operation of call centre – ₹ 75,00,000

2. Expenses exclusively related to promotion and marketing services for Doodle Inc. – ₹ 50,00,000

(II) Doodle India earned an income of ₹ 8,00,00,000 from sale of online advertising space in India.

(III) Doodle Inc. earned an income of ₹ 10,00,00,000 from non-taxable online recipient customers, from cloud-based storage services in India.

The opening balance of input tax credit for the relevant tax period for Doodle India and Doodle Inc. is nil.

Note: In the aforesaid case scenario,

(i) GST is applicable on all inward and outward supplies in the aforesaid case scenario @ 18%, unless otherwise specified. Ignore CGST, SGST and IGST bifurcation for the sake of simplicity.

(ii) Subject to the information given above, assume that all the other conditions necessary for availing ITC have been fulfilled.

(iii) All the amounts are exclusive of GST, wherever applicable, unless otherwise provided.

(iv) Exports made by Doodle India, if any, are through furnishing of LUT without payment of IGST.

(v) Payments for all services received by Doodle Inc. from Doodle India are made in convertible foreign exchange.

Based on the facts of the case scenario given above, choose the most appropriate answer to Q. Nos. 1 to 4 below:

MULTIPLE CHOICE QUESTIONS

1. What shall be the output tax liability, without any adjustment of input tax credit, if any, by Doodle India for the month of January?

   (a) ₹ 1,44,00,000

   (b) ₹ 2,38,50,000

   (c) ₹ 1,69,65,000

   (d) ₹ 1,66,50,000

2. Please select the correct statement specifically in relation to sale of online advertisement space service provided by Doodle Inc. to Doodle India:

   (a) Doodle Inc is providing online information and database access or retrieval service and is thus, required to register in India under GST and discharge GST on forward charge basis.

   (b) Doodle Inc is providing online information and database access or retrieval service electronically and place of supply in such case is the location of supplier which is outside taxable territory in present scenario. Therefore, no GST is payable on such services.

   (c) Doodle Inc. is providing online information and database access or retrieval service and tax on the same is to be paid by Doodle India on reverse charge basis.

   (d) Doodle Inc. is providing online information and database access or retrieval service and tax on the same is to be paid by Doodle India in capacity of an agent of Doodle Inc.

3. What shall be the amount of GST payable by Doodle Inc. for the month of January?

   (a) Nil

   (b) ₹ 1,80,00,000

   (c) ₹ 1,84,50,000

   (d) ₹ 2,74,50,000

4. What shall be the total input tax credit that can be availed by Doodle India from the transactions undertaken in the month of January?

(a) ₹ 90,00,000

(b) ₹ 1,20,15,000

(c) ₹ 1,17,00,000

(d) ₹ 27,00,000

CASE SCENARIO 23

Abhivyakti Pvt Ltd. is engaged in the supply of food products under the brand name “Super Foods”. It has a plant at Howrah, West Bengal. It is a registered supplier under GST and is a monthly return filer. It has allotted residential quarters to its employees within the plant premises. The aggregate turnover of the company during the preceding financial year was ₹ 7.50 crore.

Following details are provided by the company for the month of September:

Particulars	**Amount (₹)**
Sale of ‘Super Foods’ food products (Note 1)	60,00,000
Purchase of raw material from the market	14,00,000
Rent received from its employees for residential quarters allotted to them for residence	10,000
Electricity charges paid to West Bengal State Electricity Board	1,60,000
Security services provided by M/s Suraksha Security, Kolkata (a partnership firm registered under GST)	1,00,000
Interest on delayed payment collected from customers	3,500
Interest received on fixed deposit in a bank	8,600
Payment to Kolkata Chamber of Commerce (a non-body corporate registered under GST) towards sponsorship for Investor Summit at Kolkata	25,000
Licence fee paid to Food & Safety Standard Authority of India (FSSAI)	25,000
Legal fee paid to advocate, Mr. Dhruv Banerjee	30,000
Transportation charges paid to an unregistered goods transport operator for transportation of raw material from mandi to factory	40,000
Transportation charges paid to a local truck owner (not a GTA) for transportation of finished products from factory to distributors	50,000

Following additional information has also been provided by the company:

(1) Out of the total sales, food products worth ₹ 3,50,000 (10,000 kg) were supplied to Department of School Education, Govt. of West Bengal for further supply to affected families during flood in the State. A price-linked subsidy of ₹10 per kg was received from Govt. of West Bengal for the said supply which has not been considered in the total sales of ₹ 60,00,000.

(2) The company had awarded a maintenance contract to Supreme Power Ltd., Delhi on 10th June, for repair of central air conditioner unit installed in the factory, for ₹ 60,000 with a completion period of 30 days. The maintenance work was completed on 8th July. However, due to some dispute regarding quality of work, invoice was issued by Supreme Power Ltd. only on 5th September and payment was released on 15th September.

(3) The proper officer levied on the company a penalty of ₹ 5,000 for wrongful utilization of ITC of ₹ 5,000.

(4) The company had deposited the tax liability for the month of August amounting to ₹ 3,30,730 on 28th September.

Note- All the above amounts are exclusive of GST, wherever applicable, unless specified otherwise. Applicable rate of GST is 18%.

Based on the facts of the case scenario given above, choose the most appropriate answer to Q. Nos. 1 to 5 below:

MULTIPLE CHOICE QUESTIONS

1. The value of taxable outward supply made by Abhivyakti Pvt Ltd. in the month of September is -

   (a) ₹ 61,48,100

   (b) ₹ 59,03,500

   (c) ₹ 61,39,500

   (d) ₹ 59,35,500

2. The value of taxable supply received by Abhivyakti Pvt Ltd. in the month of September on which GST is payable under reverse charge is-

(a) ₹ 1,55,000

(b) ₹ 1,73,000

(c) ₹ 1,30,000

(d) ₹ 2,45,000

3. What is the time of supply of services provided by Supreme Power Ltd.?

(a) 10^{th} June

(b) 5^{th} September

(c) 15^{th} September

(d) 8^{th} July

4. The amount of interest payable by Abhivyakti Pvt Ltd. under section 50 of the CGST Act, 2017 for delay in payment of tax for the month of August is _____________ (rounded off). Consider the year to be of 365 days.

(a) ₹ 4,961

(b) ₹ 1,305

(c) ₹ 4,567

(d) ₹ 1,142

5. In the context of the imposition of penalty on Abhivyakti Pvt. Ltd. by the proper officer of ₹ 5,000, which of the following statements is correct?

(a) Penalty is leviable since the offence is not a "minor breach".

(b) Penalty is not leviable since the offence is a "minor breach".

(c) Penalty is leviable even though the offence is a minor breach.

(d) No penalty is leviable for such offence; only interest is payable by adding the ITC amount wrongfully utilized to the output liability.

CASE SCENARIO 24

Mr. Ashok, proprietor of M/s Office-Linc Enterprises, is engaged in trading of office stationery items in its stationery store located at Salt Lake City, Kolkata. The said store is taken on lease from Kolkata Municipal Corporation (KMC).

During the previous financial year, the turnover of M/s Office-Linc Enterprises was ₹ 14 lakh. Mr. Ashok supplies goods within the State of West Bengal only, but purchases stationery items mostly from Delhi & Mumbai. He owns a duplex house in New Town, Kolkata. He stays on the ground floor & has let out the first floor to an employee of IDICI Bank, registered in Delhi, for residential purposes. The rent for the same is paid by IDICI Bank to Mr. Ashok.

During the financial year 2025-26, he applied for GST registration on voluntary basis on 2nd April, 2025 and the registration was granted to him w.e.f. 9th April, 2025.

The details of his stock position during current financial year is as under:

Particulars	2nd April, 2025	8th April, 2025
Office stationery items purchased from a registered dealer	₹ 1 lakh	₹ 1 lakh
Books, periodicals, journals, newspaper, maps etc.	₹ 0.20 lakh	₹ 0.30 lakh

The details of transactions carried out by Mr. Ashok during the current financial year is furnished hereunder:

Particulars	1st April, 2025 to 8th April, 2025 (₹ in lakh)	9th April, 2025 to 31st March, 2026 (₹ in lakh)
Sale of office stationery items (Intra-State supply to registered persons)	3	84
Sale of office stationery items (Intra-State supply to unregistered persons)	2	14
Legal fees paid to advocate in Kolkata	-	0.10

Purchase of stationery items (Intra-State supply received from registered person)	3	74
Purchase of furniture for use in own office (from an unregistered dealer of Kolkata)	-	1
Purchase of stationery items from a registered dealer of Delhi	1	18
Lease rent of the stationery store paid to Kolkata Municipal Corporation (KMC)	-	1.20
Transportation charges paid to M/s Gati Transporters, a GTA in Kolkata, who has not exercised the option to pay tax itself (tax is payable @ 5%)	0.10	1.50
Interest paid on borrowings from BBI Bank, Kolkata	0.20	1.80
Accrued interest on Fixed deposit with BBI Bank, Kolkata	-	0.16
Rent received from IDICI Bank for its employee	-	2.40

Mr. Ashok went to Mumbai, Maharashtra for a business meeting in February, 2026 and stayed in Hotel Blue Pines for a week. Hotel charged ₹ 1,00,000 (taxable value) for the stay.

All the amounts given above are exclusive of GST, wherever applicable, unless otherwise provided. Assume that there is no other outward or inward supply transaction apart from aforesaid transactions in the current financial year. GST is applicable on all inward and outward supplies, except on services of transportation of goods, at the following rates:

I. Intra-State supply – 6% CGST and 6% SGST

II. Inter-State supply – 12% IGST

Based on the facts of the case scenario given above, choose the most appropriate answer to Q. Nos. 1 to 5 below:-

MULTIPLE CHOICE QUESTIONS

1. The value of outward supply tax on which GST is payable by Mr. Ashok for the financial year 2025-26 is ______.

   (a) ₹ 98 lakh

   (b) ₹ 100.40 lakh

   (c) ₹ 102.40 lakh

   (d) ₹ 108 lakh

2. Which of the following statements is correct in terms of the facts of the case scenario given above?

   (a) Mr. Ashok cannot opt to pay tax in the FY – 2026-27 under composition scheme under section 10(1) and 10(2) of the CGST Act, 2017.

   (b) Mr. Ashok is entitled to take the ITC of inputs held in stock on 1st April, 2025.

   (c) Mr. Ashok shall be liable to pay GST under reverse charge under section 9(4) of the CGST Act during the financial year 2025-26 in respect of purchases made from unregistered persons.

   (d) Mr. Ashok is entitled to take the ITC of inputs held in stock on 8th April, 2025.

3. The value of supply on which Mr. Ashok is liable to pay GST under reverse charge for the financial year 2025-26 is _____________.

   (a) ₹ 1,60,000

   (b) ₹ 2,80,000

   (c) ₹ 1,30,000

   (d) ₹ 2,70,000

4. Which of the following inward supply is not subject to payment of tax under reverse charge mechanism?

   (i) Shop rent paid to KMC

(ii) Legal fee paid to advocate

(iii) Purchase of stationery items from unregistered person

(iv) Transportation charges paid to M/s Gati Enterprises

Choose the most appropriate option.

(a) (i) and (ii)

(b) (iii)

(c) (ii) and (iii)

(d) (i) and (iii)

5. Whether input tax credit is available on the GST paid by Mr. Ashok on the taxable value of ₹ 1,00,000 charged by Hotel Blue Pines located in Mumbai, Maharashtra, for his stay? If yes, please specify the amount of input tax credit available.

(a) Yes, ₹ 3,000 - CGST and ₹ 3,000 - SGST

(b) Yes, ₹ 12,000 - IGST

(c) Yes, ₹ 6,000 - CGST and ₹ 6,000 - SGST

(d) No input tax credit is available.

CASE SCENARIO 25

XYZ Ltd. is registered with the jurisdictional GST authorities in the State of Rajasthan and operates in multiple businesses. The principal business of XYZ Ltd. is that of fabricating and installing the body for large transportation vehicles. The chassis of the vehicles are provided by the customers to XYZ Ltd. XYZ Ltd. procures the material for fabrication and installs the same on the chassis against a lumpsum agreed amount for material as well as services.

In addition to the above business, XYZ Ltd., registered as GTA, is also engaged in providing services of transportation of goods by road through its own fleet of trucks. It has not exercised the option to pay tax on said services. GST is applicable on such services @ 5%.

During the month of January, XYZ Ltd. undertook the following transactions:

(i) Provided services of transportation of goods to A Ltd., a registered person under GST in the State of Gujarat and received an amount of ₹ 10,00,000 as consideration for the same.

(ii) Purchased tyres for its own fleet of trucks used for providing services of transportation of goods by road and paid an amount of ₹ 1,00,000 for such purchases.

(iii) Purchased a machinery with an advance technology for fabrication of body for luxury buses amounting to ₹ 50,00,000.

(iv) XYZ Ltd. procured certain engineering services for its fabrication business through electronic mode from Lummus Inc., a company located in Italy. The consideration paid to Lummus Inc. was ₹ 15,00,000.

Further, certain goods to be used for fabrication business were sent by XYZ Ltd. for carrying out repair work on the same to Lummus Inc. The consideration paid for such repair work was ₹ 5,00,000.

(v) Provided services of transportation of goods to ABC Ltd., its related party and received an amount of ₹ 5,00,000. The arm's length amount of such services provided to third party unrelated customers was ₹ 7,00,000.

(vi) XYZ Ltd. sold scrap relating to fabrication business amounting to ₹ 5,00,000.

(vii) Purchased goods relating to fabrication business for ₹ 10,00,000 out of which goods worth ₹ 1,00,000 were stolen from the premises of XYZ Ltd.

(viii) Received an advance of ₹ 10,00,000 for fabrication work on new chassis and ₹ 3,00,000 towards transportation of goods services from W Ltd., a registered person under GST in the State of Madhya Pradesh.

The opening balance of input tax credit for the relevant tax period for XYZ Ltd. is nil. All the above amounts are exclusive of GST, wherever applicable.

The applicable GST rate on all inward and outward supplies is 18% unless specified otherwise. Subject to the information given above, assume that all the other conditions necessary for availing ITC have been fulfilled.

Based on the facts of the case scenario given above, choose the most appropriate answer to Q. Nos. 1 to 4 below:

MULTIPLE CHOICE QUESTIONS

1. Determine the GST liability of XYZ Ltd. on services of transportation of goods provided to ABC Ltd.

   (a) Nil

   (b) ₹ 90,000

   (c) ₹ 1,26,000

   (d) ₹ 36,000

2. Determine the net GST liability, payable in cash, of XYZ Ltd. for the month of January.

   (a) ₹ 5,40,000

   (b) ₹ 2,70,000

   (c) Nil

   (d) ₹ 7,38,000

3. What shall be the total eligible input tax credit available to XYZ Ltd. for the month of January?

   (a) ₹ 10,80,000

   (b) ₹ 10,62,000

   (c) ₹ 13,32,000

   (d) ₹ 9,00,000

4. Whether Lummus Inc. is required to obtain registration in India to discharge GST liability? If yes, compute the amount of GST liability to be discharged by it in the month of January?

   (a) Yes, as online information database access and retrieval service provider. GST payable is ₹ 3,60,000

   (b) Yes, as online information database access and retrieval service provider. GST payable is ₹ 2,70,000

   (c) No, Lummus Inc. is not required to obtain GST registration in India for discharging GST liability. GST liability of Lummus Inc. is nil.

   (d) Yes, as normal taxpayer. GST payable is ₹ 3,60,000

CASE SCENARIO 26

Bhakti & Sons of Kolkata, a partnership firm registered under GST, deals in supply of electronic goods such as TV, refrigerator, washing machine etc. It also provides services of repair and maintenance of said goods. Its aggregate turnover during the preceding financial year was ₹ 4.2 crore. It furnishes following information for the month of December:

Outward supplies during the month of December are as under:

Particulars	**Amount (₹ in lakh)**
Supply of goods to unregistered persons residing in & around Kolkata	12
Supply of goods to an unregistered dealer of Bihar	6
Supply of goods to registered dealers in West Bengal	28
Repair & maintenance services provided to unregistered persons	4

Inward supplies during the month of December are as under:

Particulars	**Amount (₹ in lakh)**
Purchase of TV sets from registered dealers (Inter-State supply) [During unloading of said TV sets, one LED TV costing ₹ 25,000 was damaged, but the dealer refused to replace the same.]	30
Purchase of refrigerators from registered dealers (Intra-State supply)	4
Purchase of washing machine from unregistered dealers (Intra-State supply)	2
Transportation charges paid to Om Logistics (unregistered GTA)	2

Payment made to Star Security Services Pvt Ltd. (not registered under GST) for providing security services	0.50
Loading & unloading charges paid to labourer	0.10
Shop rent paid to Kolkata Municipal Corporation	0.30
Fee paid to Mr. Das, a Senior Advocate of Kolkata High Court for legal service	0.10

Following additional information is also provided:

(a) The Assistant Commissioner of Commercial Tax, Kolkata has issued a show cause notice (SCN), to Bhakti & Sons due to non-display of registration certificate in a prominent location & GSTIN on name board at the entry of its principal place of business. Bhakti & Sons' plea is that the display of GSTIN to general public is not mandatory as it is required for the knowledge of the customers only & the same is already mentioned in the tax invoice.

(b) Bhakti & Sons paid the sponsorship fee of ₹ 5,00,000 to Finmin Ltd., registered in Kolkata, for an entertainment event organised by Finmin Ltd. in Assam, in the month of October.

(c) GST is applicable on all inward and outward supplies in the aforesaid case scenario @ 18%, except transportation of goods service which attracts GST @ 5%. Ignore CGST, SGST and IGST bifurcation for the sake of simplicity.

(d) There is no opening ITC available for the relevant tax period in the electronic credit ledger of Bhakti & Sons.

(e) All the goods purchased by Bhakti & Sons is ex-shop and it arranges its own transportation through GTA.

Note: All the above amounts are exclusive of GST, wherever applicable.

Based on the facts of the case scenario given above, choose the most appropriate answer to Q. Nos. 1 to 6 below:

MULTIPLE CHOICE QUESTIONS

1. Which of the following statements is true in respect of the sponsorship fee paid by Bhakti & Sons to Finmin Ltd.?

   (a) Bhakti & Sons is liable to pay IGST of ₹ 90,000.

   (b) Finmin Ltd. is liable to pay IGST of ₹ 90,000.

   (c) Bhakti & Sons is liable to pay CGST and SGST of ₹ 45,000 each.

   (d) Finmin Ltd. is liable to pay CGST and SGST of ₹ 45,000 each.

2. Assuming that Bhakti & Sons has an SEZ unit also located in Uttar Pradesh apart from the regular Domestic Tariff Area (DTA) unit located in Kolkata (both having same PAN). Assume additional turnover of it's SEZ unit is ₹ 2 crore in the preceding financial year in addition to the aggregate turnover of DTA unit of Kolkata of ₹ 4.2 crore of the preceding financial year. Which of the following statements is correct in respect of e-invoicing requirements?

   (a) E-invoicing is not applicable to both SEZ and DTA units.

   (b) E-invoicing is applicable to both SEZ and DTA units.

   (c) E-invoicing is applicable to SEZ unit and DTA unit is exempt from e -invoicing.

   (d) E-invoicing is applicable to DTA unit and SEZ unit is exempt from e -invoicing.

3. The total value of inward supplies on which GST is payable by Bhakti & Sons under reverse charge for December is __________.

   (a) ₹ 2.40 lakh

   (b) ₹ 2.10 lakh

   (c) ₹ 2.90 lakh

   (d) ₹ 3.00 lakh

4. The total input tax credit that can be availed by Bhakti & Sons for December is ______________.

   (a) ₹ 6,97,500

(b) ₹ 6,24,700

(c) ₹ 6,86,700

(d) ₹ 6,95,700

5. Total GST payable in cash by Bhakti & Sons for the month of December, assuming that no ITC is claimed/availed by it is ___________.

(a) ₹ 9,17,200

(b) ₹ 9,43,200

(c) ₹ 9,26,200

(d) ₹ 9,20,800

6. The penalty that may be leviable for failure to display registration certificate in a prominent location & GSTIN on name board at the entry of its principal place of business by Bhakti & Sons is ___________.

(a) ₹ 5000

(b) ₹ 10,000

(c) ₹ 25,000

(d) Nil

CASE SCENARIO 27

Varun Associates is a supplier registered under GST in Delhi. It is engaged in manufacture of Product A and Product B. Product A is a taxable product whereas Product B is an exempt product. It is also engaged in manufacture of Product C, a taxable product, which is exported by it to other countries without payment of tax under Letter of Undertaking.

It has furnished following information regarding purchase of the machineries for his manufacturing business:

Date of purchase	Machinery	Amount (₹) (exclusive of taxes)	
1st April, 2022	Machinery X	10,00,000	Exclusively used for manufacturing Product A
1st October, 2023	Machinery Y	15,00,000	Exclusively used for manufacturing Product B
1st May, 2024	Machinery Z	20,00,000	Exclusively used for zero-rated supply of Product C

From 1st April, 2025, Varun Associates started using Machinery Y for manufacturing Product A as well.

All the purchases and sales are inter-State and rate of IGST applicable on all purchases and sales is 18%. Subject to the information given above, assume that all the other conditions necessary for availing ITC have been fulfilled and Varun Associates has not claimed depreciation on the GST paid on the purchase of the machinery.

Based on the facts of the case scenario given above, choose the most appropriate answer to Q. Nos. 1 to 5 below:

MULTIPLE CHOICE QUESTIONS

1. Determine the amount of input tax which has been credited to electronic credit ledger during the financial year 2022-23.

(a) ₹ 1,80,000

(b) ₹ 3,60,000

(c) ₹ 8,10,000

(d) ₹ 5,40,000

2. Determine the amount of GST, paid on purchase of a machinery, which has not been credited to electronic credit ledger during the financial years 2022-23, 2023-24 and 2024-25.

(a) ₹ 6,30,000

(b) ₹ 3,60,000

(c) ₹ 8,00,000

(d) ₹ 2,70,000

3. Amount of ineligible ITC in respect of Machinery Y, i.e. 'T_{ie}', as per rule 43 of the CGST Rules, 2017, to be added to the output tax liability is ___________.

(a) ₹ 4,81,000

(b) ₹ 1,89,000

(c) ₹ 81,000

(d) ₹ 72,000

4. What is the time-period up to which common credit needs to be computed for Machinery Y?

(a) 31st March, 2030

(b) 30th September, 2028

(c) 31st March, 2032

(d) 30th September, 2032

5. The amount of common credit in respect of Machinery Y is _________.

(a) ₹ 2,02,500

(b) ₹ 2,70,000

(c) ₹ 6,30,000

(d) ₹ 4,90,500

CASE SCENARIO 28

M/s Gopi Narayan & Company is a partnership firm of advocates, registered under GST in Mumbai, Maharashtra. In the month of April, the firm has supplied services amounting to ₹ 15 lakh. The following information is provided in relation to the some of the services provided:

S. No.	Particulars	Value of service (₹)
1.	Herbal Power (P) Ltd. (Registered in Telangana in the preceding financial year as per the provisions of section 22 of the CGST Act, 2017) Provided consultation for preparation of an affidavit in relation to construction of a hotel building in the State of Maharashtra.	50,000
2.	Veranta India (P) Ltd. (Registered in Gujarat in the preceding financial year as per the provisions of section 22 of the CGST Act, 2017) Filed a suit in the Gujarat High Court on behalf of the company	200,000
3.	Ms. Saloni (Registered under GST as a salon service provider in Maharashtra in the preceding financial year as per the provisions of section 22 of the CGST Act, 2017) Legal service amounting to ₹ 1 lakh was provided in the month of February for which invoice was issued on 15th February. However, payment is made by the client on 5th April. The firm has charged ₹ 10,000 as penalty (exclusive of GST) for delayed payment of consideration. Said penalty is also paid by the client on 5th April. Apart from this, as per the agreement with the client, the firm had paid ₹ 20,000 as attestation charges on behalf of the client, mentioned separately on the invoice, which were reimbursed by the client in the month of February itself.	-

Note: The turnover of M/s Gopi Narayan & Company in the previous financial year was ₹ 50 lakh. The firm is engaged solely in providing legal services and it does not import/export any services from/to outside India.

Based on the facts of the case scenario given above, choose the most appropriate answer to Q. Nos. 1 to 3 below:

MULTIPLE CHOICE QUESTIONS

1. Whether the service provided to Veranta India (P) Ltd. is exempt under GST? If not, whether tax is payable under reverse charge?

   (a) Yes, all services provided by an advocate firm are exempt from GST.

   (b) No, since service is provided to a business entity that is registered under GST in the preceding financial year as per the provisions of section 22 of the CGST Act, 2017. Further, tax shall be payable by M/s Gopi Narayan & Company under forward charge.

   (c) Yes, any service provided by an advocate firm to a business entity is exempt under GST.

   (d) No, since service is provided to a business entity that is registered under GST in the preceding financial year as per the provisions of section 22 of the CGST Act, 2017. Further, tax shall be payable by Veranta India (P) Ltd. under reverse charge.

2. What shall be the value of supply provided to Ms. Saloni in terms of section 15 of the CGST Act, 2017?

   (a) ₹ 1,10,000

   (b) ₹ 1,00,000

   (c) ₹ 1,30,000

   (d) ₹ 1,20,000

3. What shall be the time of supply for supplies made to Ms. Saloni in respect of original amount ₹ 1 lakh and penalty amount of ₹ 10,000? Given financial year is not a leap year.

   (a) For whole amount of ₹ 1,10,000: 15th February

(b) For ₹ 1 lakh: 15th February and for ₹ 10,000: 5th April

(c) For whole amount of ₹ 1,10,000: 5th April

(d) For ₹ 1 lakh: 15th April and for ₹ 10,000: 5th April

CASE SCENARIO 29

Mr. Veera is a trader of readymade garments and is registered under GST in the State of Uttar Pradesh.

His turnover is ₹ 1,80,00,000 during the current financial year. The composition of his turnover is as under-

(a) Intra-State - ₹ 80,00,000

(b) Inter-State - ₹ 1,00,00,000 [including exempt supplies of ₹ 15,00,000]

His inward supplies are as under-

(a) Inter-State - ₹ 1,00,30,000 [including ₹ 20,00,000 exclusively used for exempt supplies]

(b) Intra-State ₹ 46,00,000 [including ₹ 15,00,000 exclusively used for taxable supplies]

Apart from above, Mr. Veera has undertaken following transactions during the current financial year:

1. He purchased a pick-up van for the purpose of delivery of goods to his customers for ₹ 1,70,000.

2. He got his showroom renovated (debited all expenses under repairs and maintenance) and spent money as under-

Labour charges	₹ 3,60,000
Architect fees	₹ 80,000
Wooden flooring	₹ 4,00,000
Miscellaneous expenses	₹ 1,62,000

3. He purchased some T-shirts for ₹ 1,80,000 (taxable under GST). After one week, he gave them away free to its customers to promote his business.

4. He also sold his shares during the year for ₹ 10 crore and bought a house from that money.

5. The rates of tax are 9% (CGST), 9% (SGST) and 18% (IGST) on all inward/ outward supplies.

6. All the amounts given above are exclusive of taxes, wherever applicable.

7. The opening balance of input tax credit for the relevant tax period of Mr. Veera is Nil. Subject to the information given above, assume that all the other conditions necessary for availing ITC have been fulfilled.

Based on the facts of the case scenario given above, choose the most appropriate answer to Q. Nos. 1 to 4 below:-

MULTIPLE CHOICE QUESTIONS

1. Compute value of exempt outward supply (for the purpose of reversal of ITC) by Mr. Veera during the current financial year.

   (a) ₹ 10,00,000

   (b) ₹ 15,00,000

   (c) ₹ 25,00,000

   (d) ₹ 20,00,000

2. Which of the following statements is true?

   (a) Mr. Veera cannot claim ITC on van purchased for delivery of goods, expenses incurred on renovation of showroom and T-shirts distributed free of cost.

   (b) Mr. Veera can claim ITC on van purchased for delivery of goods and T-shirts distributed free of cost, but cannot claim ITC on expenses incurred on renovation of showroom.

   (c) Mr. Veera can claim ITC on van purchased for delivery of goods, expenses incurred on renovation of showroom and T-shirts distributed free of cost.

   (d) Mr. Veera can claim ITC on van purchased for delivery of goods and expenses incurred on renovation of showroom, but cannot claim ITC on T-shirts distributed free of cost.

3. Calculate the amount of input tax credit credited to electronic credit ledger of Mr. Veera (ignore individual heads of CGST/SGST/IGST).

   (a) ₹ 24,84,360

(b) ₹ 22,73,400

(c) ₹ 23,04,000

(d) ₹ 24,53,760

4. Compute the amount of common credit as per rules 42 and 43 of the CGST Rules, 2017.

   (a) ₹ 20,03,400

   (b) ₹ 22,14,360

   (c) ₹ 20,34,000

   (d) ₹ 21,83,760

CASE SCENARIO 30

Mr. Venkat, a practicing Chartered Accountant, based in Hyderabad, is registered under GST in the State of Telangana.

He undertook following transactions/activities during the current financial year:

(1) He provided consultancy services to Kuick Tours, a UK based entity engaged in the business of e-commerce in the field of tour and travels, having its office at UK. Kuick Tours paid a sum of Euro 95,000 to Mr. Venkat billed @ ₹ 75 per Euro. Mr. Venkat made travel to UK several times during the year and incurred Euro 5,000 @ ₹ 75 as incidental expenses (including VAT paid ₹ 10,000) which was ultimately charged from Kuick Tours. Kuick Tours also paid a sum of EURO 5,000 @ ₹ 75 to Mr. Venkat as interest on account of delay in payment of agreed consideration.

Mr. Venkat also hired the services of a professional firm based in UK to complete the assignment of providing services to Kuick Tours and paid Euro 10,000 @ ₹ 75. This was not recovered from Kuick Tours.

(2) Mr. Venkat's taxable earnings for services provided in India for the financial year are ₹ 85,00,000. In addition to this, Mr. Venkat also provided return filing services free of charge in the month of July to Indian residents who were economically weaker. Open market value of such services was ₹ 1,40,000.

Further, in July, Mr. Venkat also provided financial services to his real brother Mr. Kamath who is working at an IT company and earning handsomely, for ₹ 75,000 (invoice raised at open market value). However, Mr. Venkat offered him 90% discount on the invoice raised to him. Therefore, Mr. Kamath paid ₹ 7,500 only.

(3) Dumdum Electricals Ltd., registered under GST in Guwahati, Assam approached Mr. Venkat to impart GST training to its accounts and finance personnel. Mr. Venkat imparted the said training to 50 employees of Dumdum Electricals Ltd. at a conference room of Swaraj Hotel located in Siliguri, West Bengal on 25th August.

Notes: The rates of tax are 9% (CGST), 9% (SGST) and 18% (IGST) on all inward/ outward supplies. All the amounts given above are exclusive of taxes, wherever applicable.

Based on the facts of the case scenario given above, choose the most appropriate answer to Q. Nos. 1 to 4 below:-

MULTIPLE CHOICE QUESTIONS

1. Compute the value of supply made by Mr. Venkat to Kuick Tour (in Euros).

   (a) 1,20,000

   (b) 1,05,000

   (c) 1,15,000

   (d) 1,25,000

2. Compute aggregate turnover of Mr. Venkat for the current financial year.

   (a) ₹ 1,78,75,000

   (b) ₹ 1,86,25,000

   (c) ₹ 1,63,82,500

   (d) ₹ 1,80,90,000

3. What is value of supply made by Mr. Venkat to Mr. Kamath if Mr. Kamath is the son of Mr. Venkat and not his brother and supply is made free of cost, other facts remaining the same?

   (a) ₹ 7,500

   (b) ₹ 75,000

   (c) Not a supply since they are related

   (d) Value cannot be determined

4. The place of supply of the GST training imparted by Mr. Venkat to the accounts and finance personnel of Dumdum Electricals Ltd. is __________.

   (a) Hyderabad, Telangana

   (b) Guwahati, Assam

(c) Siliguri, West Bengal

(d) Either (a) or (b), at the option of Mr. Venkat

CASE SCENARIO 31

Jaskaran, a registered supplier of Delhi, is engaged in supplying a bouquet of taxable goods and services. He has made the following supplies in the month of January:

S. No.	Particulars	Amount* (₹)
(i)	Supply of 20,000 packages at ₹ 30 each to Sukhija Gift Shop in Punjab [Each package consists of 2 chocolates, 2 fruit juice bottles and a packet of toy balloons]	6,00,000
(ii)	500 packages each consisting of 1 chocolate and 1 fruit juice bottle given as free gift to Delhi customers on the occasion of Lohri [Cost of each package is ₹ 12, but the open market value of such package of goods and of goods of like kind and quality is not available. Input tax credit has not been taken on the items contained in the package]	
(iii)	Catering services provided to elder brother free of cost for his business function in Delhi [Cost of providing said services is ₹ 55,000, but the open market value of such services and of services of like kind and quality is not available.]	

*excluding GST

Following additional information has been furnished by Jaskaran:

1. Penalty of ₹ 10,000 was collected in lumpsum in the month of March from Sukhija Gift Shop since the payment was received with a delay of 60 days.

2. One of the old customers of Jaskaran – Mr. Bahubali of Delhi- approached him requesting him to arrange the transportation of the goods purchased by him from a local supplier. Jaskaran arranged the transportation of said goods for Mr. Bahubali through a truck owned by him for local transport of goods. Jaskaran did not issue a consignment note to Mr. Bahubali.

3. Assume the rates of GST to be as under:

Goods/services supplied	CGST[11]	SGST	IGST
Chocolates	9%	9%	18%
Fruit juice bottles	6%	6%	12%
Toy balloons	2.5%	2.5%	5%
Catering service	9%	9%	18%

Based on the facts of the case scenario given above, choose the most appropriate answer to Q. Nos. 1 to 4 below:-

MULTIPLE CHOICE QUESTIONS

1. GST payable on packages supplied to Sukhija Gift Shop in January and in March is (1) ________ and (2) _________ respectively.

   (a) (1) IGST - ₹ 1,09,526; (2) nil

   (b) (1) CGST - ₹ 54,763; SGST - ₹ 54,763; (2) nil

   (c) (1) IGST - ₹ 1,08,000; (2) IGST - ₹ 1,526

   (d) (1) CGST - ₹ 54,000; SGST - ₹ 54,000; (2) CGST - ₹ 763; SGST - ₹ 763

2. GST on services of transportation of goods provided by Jaskaran to Mr. Bahubali:

   (a) is payable by Mr. Bahubali @ 5%.

   (b) is payable by Jaskaran @ 12%.

   (c) is payable by Mr. Bahubali @ 12%.

   (d) is not payable at all.

3. Supply of 500 packages given as free gift to Delhi customers on the occasion of Lohri is ______________.

   (a) a mixed supply

   (b) not a supply under the GST law

   (c) a composite supply

[11] Hypothetical rates of GST have been taken

(d) a separate supply of chocolate and fruit juice bottle

4. For the purposes of GST law, value of supply of catering services provided by Jaskaran to his elder brother free of cost for his business function in Delhi is ____________.

(a) ₹ 60,500

(b) ₹ 55,000

(c) ₹ 60,500 or ₹ 55,000, whichever is lower

(d) nil as catering services provided by Jaskaran to his elder brother is not a supply.

CASE SCENARIO 32

Sudershan Transport Agency (P) Ltd. (hereinafter referred to as "STAL"), registered under GST in Jaipur, Rajasthan, is providing services by way of transportation of goods by road for which it issues consignment notes, to all the sectors of industries.

It maintains trucks, trollers, advance carriages for heavy loads, lorries and small tractors, for the purpose of transportation and renting purposes. It also maintains special vehicles which has special storage features and other advance facilities for transporting defence equipments and other complex machineries, chemical and food products.

It has provided the following details for the current financial year:

(i) STAL rendered transportation services to farmers in Rajasthan for transportation of agricultural produce to nearby cities for ₹ 2,00,000.

(ii) STAL gave buses on rent to ABC Travels who provided services of transport of students, staff and faculty to a higher secondary school in Rajasthan affiliated to CBSE. STAL charged ₹ 5,00,000 for the same during the year.

(iii) STAL also had entered into a contract with local authority in Rajasthan to provide services by way of transportation of relief material to flood affected victims for which ₹ 2,50,000 is charged.

(iv) Manimani Bank, (registered in Bhubaneshwar, Orissa) sent its branch manager Mr. Champak on one year deputation on a special project to Bhopal, Madhya Pradesh. Mr. Champak's family is stationed in Kanpur (U.P.). Manimani Bank enters into a contract with STAL for transportation of the household goods of Mr. Champak from Kanpur to Bhopal for ₹ 1,50,000.

(v) STAL transported defence equipments to a military camp based in Rajasthan and amount charged for such services is ₹ 5,50,000.

(vi) STAL provided service of transportation of goods to a co-operative society in Rajasthan which was newly constituted and hence was not registered under GST law and the amount charged was ₹ 3,00,000. While transporting the goods of the said co-operative society, STAL generated e-way bill on Monday at 12:04 am. The goods were to be transported for a distance of 220 km.

(vii) STAL owns and maintains its own petrol pump in Rajasthan wherein the revenue from supply of petrol was ₹ 20,00,000.

Note: All the above amounts are exclusive of GST, wherever applicable, unless otherwise specified.

Based on the facts of the case scenario given above, choose the most appropriate answer to Q. Nos. 1 to 5 below:

MULTIPLE CHOICE QUESTIONS

1. Determine the value of outward supplies made by STAL which are exempt from GST as per section 2(47).

   (a) ₹ 35,00,000

   (b) ₹ 15,00,000

   (c) ₹ 16,00,000

   (d) ₹ 5,50,000

2. Determine the place of supply of the services of transportation of household goods of Mr. Champak provided by STAL.

   (a) Jaipur, Rajasthan

   (b) Bhubaneshwar, Orissa

   (c) Kanpur, Uttar Pradesh

   (d) Bhopal, Madhya Pradesh

3. Calculate the aggregate turnover of STAL for the current financial year.

   (a) ₹ 35,00,000

   (b) ₹ 39,50,000

   (c) ₹ 19,50,000

   (d) ₹ 38,00,000

4. Determine the period of validity of e-way bill generated by STAL for transporting the goods of the co-operative society.

   (a) Tuesday-Wednesday at 12.00 midnight

   (b) Wednesday-Thursday at 12.00 midnight

   (c) Wednesday at 12.00 noon

   (d) Wednesday at 2.00 pm

5. Whether tax is required to be deducted under section 51 of the CGST Act, 2017 for the service provided by STAL to local authority in Rajasthan?

   (a) No; since the value of contract is not less than ₹ 2,50,000.

   (b) Yes; since the value of contract is more than ₹ 2,50,000.

   (c) Yes; since TDS is mandatorily to be deducted for any supplies made to a local authority irrespective of the value of supply.

   (d) No; since it is an exempt supply.

CASE SCENARIO 33

M/s Harimukund Hardwares, a partnership firm registered under GST in the State of Uttar Pradesh, is engaged in the supply of door and window fittings across India. In the month of October, it made following outward supplies:

Name of receiver (State)	Taxable value (₹)	Date of invoice	Date of receipt of payment	Date of removal of goods
M/s Nand Kishore Traders (Haryana)	5,75,000	10th October	25th October	10th October
M/s Charanjot Hardwares & Fitters (Punjab)	3,25,000	12th October	10th November	10th October
M/s Rana Singh Ji Hardware Products (Rajasthan)	2,70,000	17th October	12th October	20th October
M/s Annapurai Hardwares (Karnataka)	3,75,000	18th October	29th November	19th October

The applicable tax rates of GST on supply of above goods is 18% IGST, 9% CGST and 9% SGST. Goods are generally received by parties in Punjab, Haryana & Rajasthan on 2nd day from the date of removal whereas it takes 5 days to reach Karnataka.

M/s Harimukund Hardwares gives 2% cash discount to its customers wherever the payment is received in advance or within 15 days of the date of removal of goods and the respective credit note is also issued immediately. The buyer also takes the necessary legal action (required under GST law) with respect to such credit note immediately.

To supply such goods, as aforesaid, it received services from a local GTA, namely, M/s Khatushyam Transporters (unregistered), who raised a consolidated invoice for ₹ 1,00,000 on 22nd October for which payment was made on 27th December along with payment for the month of November.

Applicable tax rate on services of transportation of goods is CGST @ 2.5% and SGST @ 2.5%.

Based on the facts of the case scenario given above, choose the most appropriate answer to Q. Nos. 1 to 5 below:-

MULTIPLE CHOICE QUESTIONS

1. What is the time of supply of goods in case of goods supplied to M/s Charanjot Hardwares & Fitters?

   (a) 12th October

   (b) 10th October

   (c) 10th November

   (d) 14th October

2. What is the time of supply of goods in case of goods supplied to M/s Rana Singh Ji Hardware Products?

   (a) 17th October

   (b) 12th October

   (c) 20th October

   (d) 22nd October

3. What is the time of supply in case of services supplied by M/s Khatushyam Transporters?

   (a) 22nd October

   (b) 27th December

   (c) 10th October, 19th October and 20th October

   (d) 22nd December

4. What is the gross tax liability attributable to outward supplies of M/s Harimukund Hardwares for the month of October?

   (a) IGST = ₹ 2,75,060, CGST = Nil, SGST= Nil

   (b) IGST = ₹ 2,78,100, CGST = ₹ 2,500, SGST= ₹ 2,500

(c) IGST = ₹ 2,75,058, CGST = Nil, SGST= Nil

(d) IGST = ₹ 2,75,058, CGST = ₹ 2,500, SGST= ₹ 2,500

5. The total value of all the supplies involved in the above case scenario on which M/s Harimukund Hardwares is liable to pay tax is __________.

(a) ₹ 16,28,100

(b) ₹ 16,39,100

(c) ₹ 15,45,000

(d) ₹ 15,39,600

CASE SCENARIO 34

ABC Pvt. Ltd., a company registered under GST in the State of Uttar Pradesh, manufactures products which are used in laboratories. The products are manufactured in the company's factory located in Lucknow, Uttar Pradesh and sold in various parts of Uttar Pradesh. The company also provides intra-State repair and maintenance services for its products. The details of turnover of the company for preceding two financial years are as under:

Particulars	F.Y.-1 (₹)	F.Y.-2 (₹)
Turnover from supply of goods	75,00,000	1,02,00,000
Turnover from supply of services	7,10,000	9,25,000
Interest income from extending loans to others (not included in aforesaid turnover of services)	5,25,000	6,26,000

The company procures the service of M/s Ram Enterprises, a Goods Transport Agency, having its place of business in Lucknow, Uttar Pradesh, for transport of goods from its factory to customers' location in April. M/s Ram Enterprises has not exercised the option to itself pay GST on the services supplied by it. M/s Ram Enterprises prepares a regular consignment note containing the details of consignor and consignee and other prescribed details. The services provided by M/s Ram Enterprises are chargeable to tax @ 5%.

Following details are provided by ABC Pvt. Ltd. for April-June quarter of FY-3 (current FY):

S. No.	Particulars	Amount (₹)
(i)	Turnover of supply of goods	10,20,000
(ii)	Turnover of supply of services	92,550
(iii)	Interest income from extending deposit to others	5,000
(iv)	Amount paid for services received from M/s Ram Enterprises	50,000
(v)	Raw material received from other States	5,26,000
(vi)	Input services received	7,80,900

Following additional information is also provided:

(1) The raw material mentioned in point (v) above received by ABC Pvt. Ltd. in April in its factory located in Lucknow, Uttar Pradesh, includes goods amounting to ₹ 2,26,000 received from M/s Aakash Enterprises on the instructions received from M/s Abhijaat Enterprises. M/s Aakash Enterprises has its principal place of business in Uttar Pradesh whereas M/s Abhijaat Enterprises has its principal place of business in Gujarat.

(2) Vidhata Foundation, a Charitable Trust, registered under section 12AB of the Income Tax Act, 1961 has been set up by the founders of ABC Pvt. Ltd. for conducting charitable activities, in the State of Uttar Pradesh. The Trust organises sessions on yoga and spirituality in the State of Uttar Pradesh and charges participation fees for the same. The total fees collected from participants for the month of April of current FY is ₹ 2,50,000. The input services received by the Trust during the said month amount to ₹ 1,25,260. The Trust is also analysing the proposal of granting rights to ABC Pvt. Ltd. to advertise on its premises.

All the above amounts are exclusive of GST. Following GST rates are applicable on the inward and outward supplies unless otherwise specified:

Particulars	**CGST**	**SGST**	**IGST**
Outward supply	9%	9%	18%
Inward supply	2.5%	2.5%	5%

Based on the facts of the case scenario given above, choose the most appropriate answer to Q. Nos. 1 to 5 below: -

MULTIPLE CHOICE QUESTIONS

1. Whether the service provided by M/s Ram Enterprises to ABC Pvt. Ltd. is chargeable to tax. If yes, who will discharge the tax liability?

   (a) The service is chargeable to tax and M/s Ram Enterprises will discharge the tax liability.

   (b) The service is chargeable to tax and ABC Pvt. Ltd. will discharge the tax liability.

(c) The service is exempt under the CGST Act, 2017.

(d) The service is chargeable to tax and M/s Ram Enterprises and ABC Pvt. Ltd. will discharge the tax liability in the ratio of 1:1.

2. Whether ABC Pvt. Ltd. could have opted for composition levy under sub-sections (1) and (2) of section 10 of the CGST Act, 2017 for current financial year (F.Y.-3)?

(a) Yes. However, it could have provided services up to a value of ₹ 11,12,500 under composition levy during the current financial year.

(b) No, it could not have opted for composition levy.

(c) Yes. However, it could have provided services up to ₹ 5,00,000 under composition levy during the current financial year.

(d) Yes. However, it could have provided services up to ₹ 11,75,100 under composition levy during the current financial year.

3. Assuming ABC Pvt. Ltd. has opted for composition scheme under sub-sections (1) and (2) of section 10 of the CGST Act, 2017 at the beginning of the current financial year (F.Y.-3), what shall be the total GST liability of ABC Pvt. Ltd. in the State of Uttar Pradesh for April-June quarter?

(a) No liability, ITC of 1,56,828 will be carried forward.

(b) ₹ 45,931

(c) ₹ 13,626

(d) ₹ 2,02,759

4. Which of the following statements is incorrect in case of Vidhata Foundation?

i. Services provided to charitable or religious trusts are not outside the ambit of GST. Unless specifically exempt, they are chargeable under GST.

ii. All the activities of Vidhata Foundation are exempt from GST since it is a charitable trust registered under section 12AB of the Income-tax Act, 1961.

iii. Fees charged by any registered person for sessions on yoga and spirituality are exempt since the objective of such programmes is advancement of yoga and spirituality.

(a) i & ii

(b) i

(c) ii

(d) ii & iii

5. What shall be the place of supply (POS) for the supply transaction(s) between ABC Pvt. Ltd., M/s Abhijaat Enterprises and M/s Aakash Enterprises and the nature of tax leviable thereon?

(a) POS for transaction between M/s Abhijaat Enterprises and M/s Akash Enterprises is the location of principal place of business of M/s Abhijaat Enterprises, i.e. Gujarat and IGST is leviable on such supply. POS for transaction between M/s Abhijaat Enterprises and ABC Pvt. Ltd. is the location at which the movement of goods terminates i.e. at the factory of ABC Pvt. Ltd. in Lucknow, Uttar Pradesh and IGST is leviable on such supply.

(b) POS for transaction between M/s Abhijaat Enterprises and M/s Akash Enterprises is the location of principal place of business of M/s Akash Enterprises, i.e. Uttar Pradesh and IGST is leviable on such supply. POS for transaction between M/s Abhijaat Enterprises and ABC Pvt. Ltd. is the location of principal place of business of M/s Abhijaat Enterprises, i.e Gujarat and CGST and SGST are leviable on such supply.

(c) POS for transaction between M/s Abhijaat Enterprises, ABC Pvt. Ltd. and M/s Akash Enterprises is the location of principal place of business of ABC Pvt. Ltd., i.e. Uttar Pradesh since goods are delivered there and CGST and SGST are leviable on such supply.

(d) POS for transaction between M/s Abhijaat Enterprises, ABC Pvt. Ltd. and M/s Akash Enterprises is the location of principal place of business of ABC Pvt. Ltd., i.e. Uttar Pradesh since goods are delivered there and IGST is leviable on such supply.

CASE SCENARIO 35

GQF Private Limited, registered under GST in the State of Maharashtra, is engaged in manufacturing of goods which are used for further production in automobile industry. The company sends some semi-finished inputs to job workers, M/s Yamuna Enterprises and M/s Jamuna Enterprises, for necessary processing. The processed goods are sent back by the job workers to the company where they are used for manufacturing the finished products.

M/s Yamuna Enterprises has its place of business in Maharashtra. M/s Jamuna Enterprises has its place of business in the State of Madhya Pradesh viz. 35 km away from the place of business of GQF Private Limited.

The company imports some raw material and stores the same for few months in the warehouse operated by M/s Gajanan Enterprises in the State of Tamil Nadu. Later on, it is transported to the company's factory in Maharashtra. M/s Gajanan Enterprises is not registered under GST. The aggregate turnover of M/s Gajanan Enterprises in the current financial year till date is ₹ 18,25,000.

The company maintains all the records, documents and books of accounts at its place of business in Maharashtra.

Following are the relevant details of GQF Private Limited for the month of August.

Particulars	**Amount (₹)**
Total turnover	36,00,000
Total inputs received during the month	21,12,000
Total input services received during the month	8,99,000
Goods sent to M/s Yamuna Enterprises during the month for job work purpose by motor vehicle	75,000
Goods sent to M/s Jamuna Enterprises during the month for job work purpose by motor vehicle	46,800

Note: All aforementioned amounts are exclusive of GST, wherever applicable.

GQF Private Limited procures the service of M/s Speedofast Enterprises, a goods transport agency, having its places of business in Maharashtra, Gujarat and

Kerela. M/s Speedofast Enterprises is registered in all these States with same PAN. GQF Private Limited transports its finished goods to different customers located within Maharashtra through M/s Speedofast Enterprises. M/s Speedofast Enterprises prepares a consignment note containing the details of consignor and consignee, value of consignment, vehicle number, details of party paying the taxes etc.

Based on the facts of the case scenario given above, choose the most appropriate answer to Q. Nos. 1 to 4 below:-

MULTIPLE CHOICE QUESTIONS

1. M/s Gajanan Enterprises, owner of warehouse in Tamil Nadu, wishes to know as to whether it is required to obtain registration under GST to conduct its business. Which of the following statements is true in this regard?

   (a) Yes, being a warehouse operator, M/s Gajanan Enterprises has to compulsorily take GST registration to conduct the business irrespective of the quantum of aggregate turnover.

   (b) No, M/s Gajanan Enterprises is not required to take registration under GST as its aggregate turnover is below the threshold limit for registration. However, it is required to obtain a unique enrolment number under GST.

   (c) M/s Gajanan Enterprises is neither required to obtain registration nor unique enrolment number under GST to conduct business.

   (d) Yes, M/s Gajanan Enterprises is required to take registration compulsorily under GST. Further, it is also required to obtain a unique enrolment number under GST as its aggregate turnover is more than ₹ 10 lakh.

2. M/s Speedofast Enterprises wishes to obtain a unique common enrolment number (referred hereafter as CEN) for generating e-way bills. Which of the following statements is true in this regard?

   (a) M/s Speedofast Enterprises is not eligible for obtaining CEN as a transporter registered only in a single State is eligible for the same.

(b) M/s Speedofast Enterprises is eligible for obtaining CEN as a transporter registered in multiple States with same PAN is eligible for the same. After obtaining CEN, it can use either CEN or its GSTIN for generating e-way bills throughout the country.

(c) M/s Speedofast Enterprises is not eligible obtaining the CEN as only unregistered transporters are eligible for the same.

(d) M/s Speedofast Enterprises is eligible for obtaining the CEN as it is registered in multiple States with same PAN. After obtaining CEN, it can use it for generating e-way bills and updating Part-B throughout the country.

3. Whether GQF Private Limited is required to generate e-way bill in case of transfer of goods to M/s Jamuna Enterprises?

(a) No, as the value of the consignment is within the prescribed limit of ₹ 50,000.

(b) No, as the movement of goods is within the distance limit of 50 kms.

(c) Yes, e-way bill is required to be generated mandatorily in case of inter-State transfer of goods by principal to job worker irrespective of value of consignment.

(d) Yes, a registered person has to generate e-way bill mandatorily for every inter-State movement of goods irrespective of the value of the consignment.

4. M/s Speedofast Enterprises wants to transport multiple consignments of GQF Private Limited in a single conveyance. These consignments are of different consignees and individual e-way bills (EWBs) with different validity periods have been generated for these consignments. Can M/s Speedofast Enterprises generate one consolidated e-way bill for such multiple consignments?

(a) No, M/s Speedofast Enterprises cannot generate a consolidated e-way bill containing the details of different EWBs since all the EWBs have different validity periods.

(b) Yes, M/s Speedofast Enterprises can generate a consolidated e-way bill containing the details of different EWBs even if all the EWBs have different validity periods and even if it is transporting consignments of different consignees in a single conveyance.

(c) No, M/s Speedofast Enterprises cannot generate a consolidated e-way bill since it is transporting consignments of different consignees.

(d) There are no provisions to generate a consolidated e-way bill under the GST law.

CASE SCENARIO 36

'Galgotia Travels Ltd.' (GTL) is established on 3rd April in the city of Bangalore (Karnataka) and the primary objective of the company is to provide air-conditioned contract-based passenger transportation services at affordable fares. The company obtains voluntary registration under GST from 1st May. On 1st July, the company purchased motor vehicles (omnibus) of various seating capacities as follows:

Seating capacity (including driver)	No. of vehicles	Purchase price (per vehicle-exclusive of taxes)	Rate of GST
8 persons	4	10,00,000	CGST-9%; SGST - 9%
9 persons	3	12,00,000	CGST-9%; SGST - 9%
11 persons	2	14,00,000	CGST-9%; SGST - 9%
13 persons	1	15,00,000	IGST-18%

From the month of July, GTL associated with POKO Ltd. to enhance the business operations. POKO Ltd. owns/operates an electronic platform for supply of passenger transportation services in Bangalore. The company developed an application called 'POKO' through which the customers can access the nearest available motor vehicles (cabs) and avail the services. POKO Ltd. collects the consideration for the services from the customers and remits the same to the service provider (GTL) after retaining the commission charged by it for using its electronic platform.

The details of few bookings of GTL in the month of July are as follows:

(These bookings are obtained by GTL on its own account and not through POKO Ltd.)

Order No.	Date of travel	Starting city	Ending city	Residence of the customer	Date of payment/ booking	Status of customer
CA-234	5th July	Bangalore	Chennai	Bangalore	3rd July	Registered*
CA-435	11th July	Bangalore	Chennai	Chennai	9th July	Unregistered
PH-534	16th July	Chennai	Bangalore	Hyderabad	14th July	Registered*

GK-987	19th July	Hyderabad	Bangalore	Delhi	17th July	Unregistered
UV-777	22nd July	Bangalore	Hyderabad	Mumbai	20th July	Registered*
XE-001	25th July	Chennai	Bangalore	Kolkata	23rd July	Unregistered

*Registered in the State in which they reside

In all the above cases, journey is a single-day journey and invoice is issued electronically on the date of travel immediately after the completion of journey.

The details of the passenger transportation services supplied by GTL through POKO Ltd. & GST liability on the supply is as follows:-

Particulars	July (₹)	August (₹)	September (₹)
Value of services	1,30,00,000	1,25,00,000	1,40,00,000
CGST	9,00,000	8,00,000	8,50,000
SGST	9,00,000	8,00,000	8,50,000
IGST	4,00,000	3,50,000	4,50,000

Note:

1. All amounts are exclusive of CGST/SGST or IGST, as the case may be.
2. Booking is confirmed only after paying total fare for the journey.
3. There is no other inward or outward supply transaction for GTL in the relevant period apart from the aforementioned transactions.
4. Subject to the information given above, assume that all the other conditions necessary for availing ITC have been fulfilled.

Based on the case scenario given above, choose the most appropriate answer to Q. nos. 1 to 5 below:

MULTIPLE CHOICE QUESTIONS

1. Amount of blocked credit in respect of motor vehicles purchased by GTL on 1st July is__________.

   (a) CGST= ₹ 9,36,000; SGST=₹ 9,36,000 & IGST = ₹ 2,70,000

   (b) CGST=₹ 3,24,000; SGST=₹ 3,24,000 & IGST=₹ 2,70,000

(c) CGST = Nil; SGST = Nil & IGST = ₹ 2,70,000

(d) CGST = Nil; SGST = Nil & IGST = Nil

2. Amount of GST payable through electronic cash ledger by GTL on the services supplied by it through POKO Ltd. during the month of July, ignoring the provisions of rule 86B of the CGST Rules, 2017, is____________.

(a) CGST=₹ 9,00,000; SGST=₹ 9,00,000 & IGST=₹ 4,00,000

(b) CGST = Nil; SGST = Nil & IGST = ₹ 58,000

(c) CGST = Nil; SGST = Nil & IGST = ₹ 1,30,000

(d) CGST = Nil; SGST = Nil & IGST = Nil

3. Amount of tax to be collected at source (ignore bifurcation under the CGST, SGST and IGST) by POKO Ltd. on the taxable supplies made through it during the months of A) July, B) August and C) September is ____________.

(a) A) ₹ 65,000; B) ₹ 62,500 and C) ₹ 70,000

(b) A) ₹ 1,30,000; B) ₹ 1,25,000 and C) ₹ 1,40,000

(c) A) ₹ 1,30,000; B) Nil and C) ₹ 70,000

(d) A) Nil; B) Nil and C) Nil

4. Place of supply for order numbers 1) CA-435, 2) PH-534 & 3) GK-987 is______________.

(a) 1) Bangalore, 2) Hyderabad & 3) Hyderabad

(b) 1) Chennai, 2) Hyderabad & 3) Hyderabad

(c) 1) Chennai, 2) Chennai & 3) Delhi

(d) 1) Bangalore, 2) Chennai & 3) Hyderabad

5. Time of supply for order numbers 1) CA-234, 2) UV-777 & 3) XE-001 is____________.

(a) 1) 5th July, 2) 20th July & 3) 23rd July

(b) 1) 5th July, 2) 22nd July & 3) 23rd July

(c) 1) 3rd July, 2) 20th July & 3) 23rd July

(d) 1) 5th July, 2) 20th July & 3) 23rd July

CASE SCENARIO 37

Mr. A, registered under GST, is a practicing Chartered Accountant who is supplying the service in the field of auditing and assurance. His earnings during the current financial year are as follows-

1. Income from the auditing and assurance service provided during the year- ₹ 1,86,00,000
2. Income for acting as an examiner from the ICAI and ICSI (not on their rolls) in the month of June - ₹ 2,50,000
3. Rental income from a commercial property, during the year- ₹ 13,90,000

Further, in the month of April, Mr. A purchased 10 computers at a price of ₹ 25,000 each, for his office as new staff has been recruited by his HR team and had availed and utilized ITC on the same.

On 31st October, out of these 10 computers, Mr. A donated 2 computers to a blind school within the State. Open market value of each of these computers, on 31st October, is ₹ 10,000.

Mr. A belatedly filed GSTR-3B for the month of December, by 5 days. Net tax liability for the month of December was ₹ 1,80,000 and gross tax liability for the month was ₹ 2,00,000. Applicable rate of tax on all supplies was 18%.

Note:

1. All the above amounts are exclusive of taxes, wherever applicable.
2. The opening balance of input tax credit of Mr. A for the relevant tax period(s) is nil. Subject to the information given above, assume that all the other conditions necessary for availing ITC have been fulfilled.
3. Mr. A furnishes return on a monthly basis.

Based on the facts of the case scenario given above, choose the most appropriate answer to Q. Nos. 1 to 5 below:-

MULTIPLE CHOICE QUESTIONS

1. Assuming that the current financial year is the financial year 2024-25, Mr. A is required to maintain and retain the books of accounts for said financial year under the GST law up to_____.

   (a) 31st December 2030

   (b) 31st December 2031

   (c) 31st December 2032

   (d) 31st December 2033

2. Aggregate turnover of Mr. A for the current financial year is________.

   (a) ₹ 2,02,50,000

   (b) ₹ 2,02,90,000

   (c) ₹ 2,02,65,000

   (d) ₹ 2,02,60,000

3. Total taxable turnover of Mr. A for the current financial year is __________.

   (a) ₹ 2,00,10,000

   (b) ₹ 2,00,40,000

   (c) ₹ 2,02,60,000

   (d) ₹ 2,02,50,000

4. Which of the following transactions/activities are considered as supply under GST law?

   (i) Service provided as an examiner to ICAI and ICSI

   (ii) Rental income

   (iii) Donation of computers to blind school without consideration

   (a) (i) and (ii)

   (b) (ii) and (iii)

(c) (i) and (iii)

(d) (i), (ii) and (iii)

5. Which of the following statement(s) is correct with respect to interest liability of Mr. A, for the month of December? Consider the year to be of 365 days.

(a) Interest liability of Mr. A is ₹ 444 and he can pay the same either from input tax credit available in electronic credit ledger or in cash.

(b) Interest liability of Mr. A is ₹ 444 and he cannot utilize the input tax credit for the payment of interest. He needs to pay the interest in cash.

(c) Interest liability of Mr. A is ₹ 493 and he can pay the same from input tax credit available in electronic credit ledger or in cash.

(d) Interest liability of Mr. A is ₹ 493 and he cannot utilize the input tax credit for the payment of interest. He needs to pay the interest in cash.

CASE SCENARIO 38

Dhairya Ltd., a supplier registered under GST in Gujarat, is exclusively engaged in manufacturing textile products. It. has opted to pay tax under composition scheme under sub-sections (1) and (2) of section 10 of the CGST Act, 2017.

The following information is available in relation to Dhairya Ltd. for the current financial year:

1. Total turnover during the quarter April-June is ₹ 1,50,00,000.

2. The option to pay tax under composition scheme lapses from 1st July and it switches to regular scheme as a monthly return filer.

3. Tax paid on inputs lying in stock as on 30th June (Invoice dated 4th May) - CGST ₹ 10,000 and SGST ₹ 10,000.

4. Tax paid on inputs contained in semi-finished goods held in stock as on 30th June- CGST ₹ 5,000 and SGST ₹ 5,000 (Invoice was dated 31st December of preceding financial year).

5. A machinery was purchased on 15th March of preceding financial year for ₹ 10,00,000 (taxable value). Applicable GST rate was 12%.

6. On 10th August, Dhairya Ltd. sold goods worth ₹ 2,40,000 to Ahmedabad Municipal Corporation (AMC). The contract with AMC was to supply only goods and not any services.

7. On 15th August, Dhairya Ltd. sold goods worth ₹ 10,00,000 to Fishing Department of Gujarat Government.

8. Apart from the information provided above, sales and purchases worth ₹ 15,00,000 and ₹ 12,00,000 respectively were also reported during the period of July to February.

9. During the month of March of the current financial year, Dhairya Ltd. manufactured 2,500 meters of fabric (Sales value of the fabric is ₹ 200 per meter). ITC pertaining to such output was CGST - ₹ 27,500 and SGST - ₹ 27,500. Dhairya Ltd. exported 1,500 meters of fabric under bond and sold the balance 1,000 meters of fabric in Gujarat, India.

Notes:

1. There is no other outward or inward supply transaction apart from the aforesaid transactions, in the relevant period.

2. Subject to the information given above, assume that all the other conditions necessary for availing ITC have been fulfilled.

2. It is also assumed that due date for any return required to be filed by the taxpayer has not been extended by the Government.

3. Rate of GST applicable on goods manufactured by Dhairya Ltd. under regular scheme is 18%. GST rate applicable on inward supplies is also 18% unless otherwise specified.

4. All the purchases and sales are intra-State except the export sales.

5. All the amounts given above are exclusive of taxes, wherever applicable.

Based on the facts of the case scenario given above, choose the most appropriate answer to Q. Nos. 1 to 4 below:

MULTIPLE CHOICE QUESTIONS

1. The net GST payable in cash (after setting off TDS credit, if any) by Dhairya Ltd. during the period from April to February is ____________.

   (a) ₹ 1,99,000

   (b) ₹ 3,46,800

   (c) ₹ 18,26,800

   (d) ₹ 18,46,800

2. Input Tax Credit (ITC) available to Dhairya Ltd. during the period from April to February is ___________.

   (a) ₹ 2,72,000

   (b) ₹ 4,24,200

   (c) ₹ 2,02,800

   (d) ₹ 3,02,000

3. The amount of GST refund available to Dhairya Ltd. for the month of March in the current financial year is ________.

   (a) ₹ 24,000

   (b) ₹ 33,000

   (c) ₹ 19,000

   (d) ₹ 22,000

4. Assuming that goods have been sold by Dhairya Ltd. to Fishing Department of Gujarat Government for a value of ₹ 1,00,000 instead of ₹ 10,00,000, net GST payable by Dhairya Ltd. in cash during the period from July to February will be ______________.

   (a) ₹ 15,88,800

   (b) ₹ 83,800

   (c) ₹ 82,800

   (d) nil

CASE SCENARIO 39

Aviant Ltd., registered in Noida (Uttar Pradesh), is a supplier of machinery used for making bottle caps. The supply of machinery is effected as under:

– The wholesale price of the machinery (excluding all taxes and other expenses) at which it is supplied in the ordinary course of the business to various customers is ₹ 42,00,000.

  However, the actual price at which the machinery is supplied to an individual customer varies within a range of ± 10% depending upon the terms of contract of supply with the particular customer.

– Apart from the price of the machinery, Aviant Ltd. charges from the customer the following incidental expenses:

  ♦ associated handling and loading charges of ₹ 10,000

  ♦ installation and commissioning charges of ₹ 1,00,000

– The machinery can be dismantled and erected at another site, if required. The above charges are compulsorily levied in case of each supply of machinery.

– Transportation of machinery to the customer's premises is arranged by Aviant Ltd. through a third-party service provider [Goods Transport Agency (GTA)].

  The customer enters into a separate service contract with the GTA and pays the freight directly to it.

– A cash discount of 2% on the price of the machinery charged from customer is offered at the time of supply, if the customer agrees to make the payment within 15 days of the receipt of the machinery at his premises.

  In the event of failure to make the payment within the stipulated time, the company-

  ♦ recovers the discount given at the time of receiving payment from the customer (no separate amount of GST is recovered); and

- ♦ charges simple interest @ 1% per month or part of the month (no separate amount of GST is recovered) on the total amount due from the customer (towards the machinery supplied) from the date of making the supply till the date of payment. However, no interest is charged on the tax dues.

– For every machinery supplied, Aviant Ltd. receives a price linked subsidy of ₹ 2,00,000 from its holding company Diligent Ltd.

Aviant Ltd. has supplied a machinery to an unrelated party, Daffodil Pvt. Ltd. on 29th August at a price of ₹ 40,00,000 (excluding all taxes). Invoice was issued on 29th August by Aviant Ltd.

The corporate office of Daffodil Ltd., which is at New Delhi, has entered into contract with Aviant Ltd. for supply of machinery. However, the machinery has been installed at Daffodil Pvt. Ltd's registered manufacturing unit located in Gurugram (Haryana). Daffodil Pvt. Ltd. has paid the freight directly to the GTA.

Discount @ 2% on the price of machinery excluding taxes was given to Daffodil Pvt. Ltd. as it agreed to make the payment within 15 days. However, Daffodil Pvt. Ltd. paid the consideration on 30th September.

Note:

1. Assume the rates of taxes to be as under:

Bottle cap making machine		
CGST – 6%	SGST – 6%	IGST – 12%
Service of transportation of goods		
CGST – 2.5%	SGST – 2.5%	IGST – 5%
Other services involved in the above supply		
CGST – 9%	SGST – 9%	IGST – 18%

2. All the above transactions are exclusive of GST, wherever applicable.

3. The opening balance of input tax credit of DEPL for the relevant tax period is Nil. Further, subject to the information given above, assume that all the other conditions necessary for availing ITC have been fulfilled.

Based on the facts of the case scenario given above, choose the most appropriate answer to Q. Nos. 1 to 4 below:

MULTIPLE CHOICE QUESTIONS

1. The place of supply of the machinery supplied by Aviant Ltd. is ______________ and the nature of supply is _____________.

   (a) New Delhi, intra-State supply

   (b) Haryana, inter-State supply

   (c) New Delhi, inter-State supply

   (d) Uttar Pradesh, intra-State supply

2. The GST liability of Aviant Ltd. for the month of August is ______________ (approx.).

   (a) ₹ 5,17,200

   (b) ₹ 5,07,600

   (c) ₹ 4,83,600

   (d) ₹ 4,95,600

3. Supply of machinery and supply of installation and commissioning services is _____________ supply. Time of supply of interest received by Aviant Ltd. and cash discount recovered on account of delayed payment of consideration is _________.

   (a) composite, 30th September

   (b) composite, 29th August

   (c) mixed, 29th August

   (d) mixed, 30th September

4. The GST liability of Aviant Ltd. for the month of September is ______________(approx.).

   (a) ₹ 17,379

   (b) ₹ 19,464

(c) ₹ 8,571

(d) nil

CASE SCENARIO 40

Starkart Limited owns and operates a web portal in the name of "Starkart" and is registered with the jurisdictional GST authorities in Delhi as an electronic commerce operator and is liable to collect tax at source under section 52. Starkart provides listing service to various sellers for selling the goods to ultimate customers. Besides this, Starkart also sells its own products through the same web portal.

For the listing services provided to sellers, Starkart charges a listing fee at the rate of 10% of turnover of goods sold by the seller in a particular month. Such listing fee is recovered from the seller irrespective of any return of goods sold through Starkart. The customers can choose from wide range of goods listed on the web portal and place an online order for goods.

The payment is made by the customers through the payment gateway in online mode only. At the time of monthly settlement, Starkart makes the payment to the sellers after adjusting the tax collection at source at the applicable rates.

The invoice for goods sold on Starkart is issued by the seller in the name of customers and tax is charged on the basis of location of seller and customer. The goods are shipped directly by the seller to the customer and there is no responsibility of shipping the goods on Starkart for such third-party sellers.

In case of return of goods by the customer, the shipping is arranged by Starkart. It charges a fee equivalent to 20% of the value of goods returned as cancellation charges and refunds the balance amount to the customer.

Further, 10% of the value of goods returned is collected from the seller by Starkart as handling charges for return of goods.

In the month of January, Pulkit, a resident of Rajasthan, purchased following goods from Starkart:

a. Laptop having a value of ₹ 50,000 and a printer having a value of ₹ 10,000. Both the products are sold by Infocom Limited, a seller listed on Starkart and registered under GST in the State of Uttar Pradesh.

b. Mobile phone having a value of ₹ 30,000 sold by Starkart in its own capacity.

c. CCTV camera system having a value of ₹ 1,00,000 sold by Secure World, listed on Starkart and registered under GST in the State of Gujarat.

All the amounts given above are exclusive of GST, wherever applicable.

The opening balance of input tax credit for the relevant tax period for Starkart, Infocom Limited and Secure World is nil. Further, there is no other inward or outward supply transaction for Starkart, Infocom Limited and Secure World in January apart from the aforementioned transactions. Subject to the information given above, assume that all the other conditions necessary for availing ITC have been fulfilled.

GST is applicable on all inward and outward supplies at the following rates unless otherwise specified:

CGST - 9%, SGST - 9%, IGST - 18%

Based on the facts of the case scenario given above, choose the most appropriate answer to Q. Nos. 1 to 3 below:-

MULTIPLE CHOICE QUESTIONS

1. The net tax liability (including amount collected as TCS) of Starkart Limited for the month of January is:

   (a) IGST - ₹ 9,880

   (b) IGST - ₹ 5,400

   (c) CGST - ₹ 3,500 and SGST - ₹ 3,500

   (d) IGST - ₹ 9,080

2. The net GST payable in cash (after set-off of credits, if any) of Infocom Limited and Secure World for the month of January is:

   (a) IGST - ₹ 10,800 and IGST - ₹ 18,000 respectively

   (b) IGST - ₹ 9,720 and IGST - ₹ 16,200 respectively

   (c) IGST - ₹ 9,420 and IGST - ₹ 15,700 respectively

   (d) IGST - ₹ 9,120 and IGST - ₹ 15,200 respectively

3. Assuming that Pulkit returns the printer purchased from Infocom Limited in the month of January, as per the return policy, Starkart charges 20% of the value of the printer as cancellation charges from Pulkit and 10% of the value of the printer as handling charges from Infocom Limited.

   The net tax liability (including amount payable as tax collection at source and after set- off of credits, if any) of Starkart in such scenario for the month of January would be:

   (a) ₹ 6,900 payable as IGST.

   (b) ₹ 3,450 payable as CGST and ₹ 3,450 payable as SGST.

   (c) ₹ 9,570 payable as IGST.

   (d) ₹ 10,320 payable as IGST.

CASE SCENARIO 41

Advance Traders is a partnership firm in Jaipur, Rajasthan. The firm has obtained GST registration at its Head Office (HO) in Jaipur and is a monthly return filer. Further, the firm is having its depot for storage of goods in other districts in Rajasthan. The depots are added as additional place of business in the GST registration obtained at HO. Following details are provided about the firm for the month of July:

a. Advance Traders received goods worth ₹ 5,00,000 for which GST is payable on reverse charge basis. The goods were received on 25th July. The supplier issued an invoice dated 24th July and payment for the same was debited in the bank account of Advance Traders on 30th July. Due to the absence of accountant, the transaction was recorded in the books of accounts on 1st August.

b. Mr. X, a partner in the firm, booked a Hotel in Udaipur, Rajasthan for the wedding of his daughter in the month of October. An advance of ₹ 5,00,000 for booking the hotel was paid by way of online payment from the current account of Advance Traders in July. The hotel charged GST on such booking at the rate of 28% (CGST @ 14% and SGST @ 14% or IGST @ 28%, as the case may be) on the amount received as advance and issued a receipt voucher.

c. Advance Traders made a supply of goods worth ₹ 25,00,000 during the month of July. Out of the aforesaid supply, goods worth ₹ 5,00,000 were not liable to GST. However, Advance Traders inadvertently charged GST on such goods and collected the same from the customers.

The opening balance of input tax credit for all registrations is nil for the relevant tax period. Further, subject to the information given above, assume that all the other conditions necessary for availing ITC have been fulfilled. All the above transactions are exclusive of GST, wherever applicable.

GST is applicable on all inward and outward supplies @ 18%.

Based on the facts of the case scenario given above, choose the most appropriate answer to Q. Nos. 1 to 3 below:-

CASE SCENARIO 42

William & Sons (WS) is a partnership firm, registered under GST, engaged in manufacturing activity in the State of Rajasthan under GST and files return on a monthly basis. In the month of July, following transactions were undertaken by WS:

(a) Intra-State sale of goods worth ₹ 10,00,000. Out of such sale, ₹ 5,00,000 worth of goods were liable to GST at 28% and balance were liable to GST at 18%.

(b) Intra-State purchase of goods worth ₹ 10,00,000 which is liable to GST at 28%.

(c) WS intended to transfer the business as going concern to Morgan & Sons (MS) on 31st July. As per the terms of transfer, WS will transfer all the business assets worth ₹ 50,00,000 and all the liabilities valued at ₹ 20,00,000.

(d) WS, on account of such transfer, paid gift worth ₹ 50,000 to its 3 employees as a reward towards their services to the firm.

During the month of September, MS received the notice from the GST Department for the outstanding liability of GST for ₹ 5,00,000 pertaining to the period before transfer of business by WS. Such liability was determined after the transfer of business. For this purpose, assume that all the assets and liabilities were transferred by WS to MS.

The balance of input tax credit at the beginning of the relevant period for WS is nil. Further, subject to the information given above, assume that all the other conditions necessary for availing ITC have been fulfilled.

GST is applicable on all inward and outward supplies @ 18% unless otherwise specified. (Ignore CGST, SGST and IGST bifurcation for the sake of simplicity.)

All the amounts given above are exclusive of GST, wherever applicable.

Based on the facts of the case scenario given above, choose the most appropriate answer to Q. Nos. 1 to 4 below:-

MULTIPLE CHOICE QUESTIONS

1. The gross GST liability (without set off of input tax credit) of WS for the month of July is ________.

   (a) ₹ 2,32,000

   (b) ₹ 2,80,000

   (c) ₹ 25,000

   (d) ₹ 2,30,000

2. In case of transfer of business to MS, what is the amount of input tax credit which shall stand transferred to MS?

   (a) ₹ 25,000

   (b) ₹ 50,000

   (c) Nil. In case of partnership firm input tax credit cannot be transferred on account of transfer of business.

   (d) Nil as the value of liabilities is more than the value of assets.

3. Who is liable to discharge the liability of ₹ 5,00,000 on account of notice received by MS in the month of September?

   (a) MS, as the business is transferred by WS in July and notice was received in September

   (b) WS, as the notice pertains to liability before transfer of business

   (c) Liability on MS only up to the amount of input tax credit transferred by WS

   (d) MS and WS shall be jointly and severally liable

4. As WS transfers the business as a going concern, let us suppose that it transfers all the assets and liabilities of such business for a lumpsum amount to MS, the transaction shall be:

   (a) treated as taxable supply liable to GST under forward charge as WS is a registered person under GST.

   (b) liable to GST in the hands of MS under reverse charge basis.

(c) exempted from GST.

(d) liable to GST only for assets on which input tax credit is availed.

CASE SCENARIO 43

KLM Ltd. is a large publishing and printing house registered under GST under a single GSTIN in Maharashtra. It is engaged in supply of books, letter cards, envelopes, guides and reference materials.

KLM Ltd. has front offices in Mumbai & Nagpur (Mumbai office being declared as principal place of business and Nagpur office and workshop located at Nagpur as additional place of business in Maharashtra) for receiving the orders; orders are supplied to front office or supplied to recipient directly, from the workshop located at Nagpur, depending on order. To save the time, workshop has in-house mess for the employees working in the workshop, where lunch is provided free of cost as per the employer-employee agreement.

During April, KLM Ltd. received a proposal for printing of 5,000 copies of taxation book from a renowned author where only content was to be supplied by the author. KLM Ltd. agreed to supply the books. As per the requirement of the author, 2500 copies were supplied from workshop to Nagpur front office and 2500 copies to Mumbai front office from where the author collected books.

Satisfied with the quality of books, the author placed another order of 10,000 pieces of letterhead during May, the design and logo was supplied by the author for printing. Due to these orders, KLM Ltd. earned a handsome amount of profit and decided to gift employees for their performance. Accordingly, KLM Ltd. gifted mobile phone worth ₹ 36,500 each to all its 45 employees.

Based on the facts of the case scenario given above, choose the most appropriate answer to Q. Nos. 1 to 4 below:-

MULTIPLE CHOICE QUESTIONS

1. Supply of taxation books by KLM Ltd. is:

   (a) composite supply, principal supply being “supply of service”.

   (b) composite supply, principal supply being “supply of goods”.

   (c) mixed supply.

(d) supply of goods or service or mixed supply, at the choice of the KLM Ltd. and it may pay the tax accordingly.

2. Supply of letterheads by KLM Ltd. will be treated as:

(a) composite supply, principal supply being "supply of service".

(b) composite supply, principal supply being "supply of goods".

(c) mixed supply.

(d) supply of goods or service or mixed supply, at the choice of the KLM Ltd. and it may pay the tax accordingly.

3. Distribution of mobile phones to employees free of cost by KLM Ltd. will:

(a) be treated as deemed supply as per para 2 of Schedule I of the CGST Act, 2017 because the aggregate value of mobile phones is more than ₹ 50,000.

(b) not to be treated as deemed supply as per para 2 of Schedule I of the CGST Act, 2017 because value of the mobile phone is less than ₹ 50,000 per employee.

(c) be treated as deemed supply as per para 2 of Schedule I of the CGST Act, 2017 because the value of mobile phone is more than ₹ 25,000 per employee.

(d) be treated as deemed supply as per para 2 of Schedule I of the CGST Act, 2017 because the value of mobile phone is more than ₹ 35,000 per employee.

4. In relation to taxability of supplies of copies from workshop to front office:

(a) transfer from workshop to Nagpur front office will be treated as inter-branch transfer, but is not liable to GST; however, transfer from workshop to the Mumbai front office will be treated as inter-branch transfer between distinct persons and is liable to GST.

(b) transfer from the workshop to Nagpur front office and Mumbai Front office will be treated as inter-branch transfer between distinct persons and are liable to GST.

(c) transfer from the workshop to Nagpur front office and Mumbai Front office will be treated as inter-branch transfer, but are not liable to GST.

(d) transfer from workshop to the Mumbai front office will be treated as inter-branch transfer, but is not liable to GST, however, transfer from workshop to the Nagpur front office will be treated as inter-branch transfer between distinct persons and is liable to GST.

CASE SCENARIO 44

Diwakar (P) Ltd., registered under GST in Delhi, is engaged in trading of cement as well as providing services by way of renting of commercial properties. On 2nd January, it received a contract for supply of 1,000 kg cement from Pakija (P) Ltd., registered under GST in Punjab. Pakija (P) Ltd. directed Diwakar (P) Ltd. to send the consignment to Gajab & Sons, registered under GST in Gujarat.

Diwakar (P) Ltd. prepared the consignment on 4th January and dispatched the same on the next day from its warehouse in Gurugram, Haryana. The invoice was also issued on 5th January. On 7th January, it received the cheque and accountant entered the payment in books of accounts. However, he presented the cheque in bank on 14th January which was credited in the bank account of the company on 15th January. In the meanwhile, on 10th January, the rate of tax on cement was reduced from 28% to 18%.

On the inspection of said goods, it was found that there is some deficiency in the quality of goods and therefore, the defective goods were returned to Diwakar (P) Ltd. Diwakar (P) Ltd. issued credit note for the same on 20th January.

Diwakar (P) Ltd. let out its property located in Delhi for a year in lieu of monthly rental income and received rent for the month of January from Pakija (P) Ltd. on 10th February. Pakija (P) Ltd. will establish its sales outlet on the same. However, as per the contract entered, the rent for a month should have been received by 7th of the following month.

Based on the facts of the case scenario given above, choose the most appropriate answer to Q. Nos. 1 to 3 below:-

MULTIPLE CHOICE QUESTIONS

1. What will be the time of supply and rate of tax to be charged in respect of supply of 1,000 kg of cement?

   (a) 5th January; 28%

   (b) 7th January; 28%

(c) 14^{th} January; 18%

(d) 15^{th} January; 18%

2. What is the place of supply in respect of transaction between Diwakar (P) Ltd. and Pakija (P) Ltd., and Pakija (P) Ltd. and Gajab & Sons, respectively?

(a) Delhi, Punjab

(b) Punjab, Gujarat

(c) Haryana, Punjab

(d) Haryana, Gujarat

3. Diwakar (P) Ltd. has not issued any invoice in respect of the services provided by way of renting of commercial properties in the month of January. What is the last date for issuance of invoice?

(a) 10^{th} February

(b) 7^{th} February

(c) Either (a) or (b), whichever is earlier.

(d) Either (a) or (b), whichever is later.

CASE SCENARIO 45

Jain Bhagwan (P) Ltd. deals in supply of air conditioners (ACs). It also undertakes installation of ACs at the premises of the client. The company has provided the following details for the month of February:

Date	Transaction
2nd February	Suppled and installed 10 ACs at the newly established office of M/s Ram Mohan & Associates, a CA firm, registered under GST in New Delhi under the cover of an invoice. The company charged ₹ 21,000 per AC from the CA firm. Payment for the same was received on 28th February.
15th February	Provided service of installation of 15 ACs at Mr. Varun's Mansion in Chandigarh. Mr. Varun is an individual and is unregistered. The company charged 2,000 per installation. The company forgot to issue the invoice for the service in the February month. However, payment was received in advance on 13th February.
20th February	Received advance of ₹ 2,00,000 from Sunshine Ltd. for service of installation of AC at its factory in Bawana, Delhi. AC is installed on 28th February and the invoice is also issued on the date of provision of service, i.e., on 28th February. The client is registered under GST in New Delhi.

Other relevant information:

1. Standard price charged:

   Air Conditioner: ₹ 20,000 per piece

   Service of installation of air conditioner: ₹ 2,000 per installation

   AC + Installation: ₹ 21,000 per piece

2. Applicable rate of taxes:

Date of transaction	Applicable rate of GST on supply of air conditioner	Applicable rate of GST on supply of service of installation of air conditioner
Before 22nd February	18%	5%
On or after 22nd February	12%	12%

3. Jain Bhagwan (P) Ltd. is registered under GST in Delhi.

4. One order for supply of 100 ACs in Hongkong has been received by the company. The company is unable to determine the time and value for this supply.

Based on the facts of the case scenario given above, choose the most appropriate answer to Q. Nos. 1 to 4 below:-

MULTIPLE CHOICE QUESTIONS

1. What rate of tax should the company charge on supply made to M/s Ram Mohan & Associates?

   (a) 18%

   (b) 5%

   (c) 18% on AC value and 5% on installation value

   (d) 12%

2. What is the time of supply of service provided to Mr. Varun?

   (a) 15th February

   (b) 16th February

   (c) 13th February

   (d) 14th February

3. Sunshine Ltd. contended that GST should be charged @ 12% since supply is made after change in rate of tax. Advise whether the contention of Sunshine Ltd. is valid as per the GST law.

   (a) No. Since payment has been received before the change in rate of tax, old rate shall be applicable.

   (b) Yes. Since provision of service and issue of invoice is after the change in rate of tax, new rate shall be applicable.

   (c) No. Since time of supply shall be earlier of date of receipt of payment and date of issue of invoice, old rate shall be applicable.

   (d) Yes. Since provision of service is after change in rate of tax, new rate shall be applicable. Date of invoice is not relevant.

4. Since Jain Bhagwan (P) Ltd. is unable to determine the time and value of supply of air conditioners to be supplied in Hongkong, it decides to seek the advance ruling in the given case. Which of the following statements are true in this regard?

   (a) Jain Bhagwan (P) Ltd. can seek advance ruling to determine the time and value of supply of air conditioners. After seeking advance ruling, if it is aggrieved with the finding of the Authority for Advance Ruling (AAR), it can also file an appeal with Appellate Authority for Advance Ruling (AAAR).

   (b) Jain Bhagwan (P) Ltd. can seek advance ruling to determine the time of supply of air conditioners, but advance ruling cannot be sought for determining the value of supply of air conditioners. Order of AAR is final and cannot be appealed against.

   (c) Jain Bhagwan (P) Ltd. cannot seek advance ruling to determine the time and value of supply of air conditioners.

   (d) Jain Bhagwan (P) Ltd. can seek advance ruling to determine the time and value of supply of air conditioners. Order of AAR is final and cannot be appealed against.

CASE SCENARIO 46

Bright Public School, New Delhi, under the aegis of Bright Minds Society, has provided/received following services/supplies in the month of March:

1. Provided transportation services to its students, teachers and other staff for commuting to and from school. Such transportation services are provided to Bright Public School by Ambaji Transporters.

   An amount of ₹ 1,500 per month is charged from students whereas such services are provided free of cost to teachers and other staff, being part of their employment contract. Consolidated amount of ₹ 2 lakh per month is paid to Ambaji Transporters.

2. It conducted entrance examination for students of Class XI for upcoming academic year. It charged entrance fee of ₹ 1,000 from external students and nominal entrance fee of ₹ 200 was charged from internal students at school. A total of 2000 students gave entrance exam out of which 1000 were internal students.

3. Bright Public School also provides boarding and lodging facilities to its students belonging to other cities of India. A consolidated amount of ₹ 1,75,000 per annum is charged per student as a consideration for educational services as well as for services of boarding and lodging provided to them.

Note: The above amounts are exclusive of GST, wherever applicable. All the transactions are intra-State.

Based on the facts of the case scenario given above, choose the most appropriate answer to Q. Nos. 1 to 4 below:-

MULTIPLE CHOICE QUESTIONS

1. Choose the most appropriate option in relation to service of transportation of students, teachers and other staff provided by Bright Public School:

(a) Services provided for the amount of ₹ 1,500 charged per student is supply in terms of section 7 of the CGST Act, 2017 and GST is payable on the said amount.

(b) The transportation services provided by Bright Public School to students, teachers and other staff are exempt from GST.

(c) The transportation services provided to students is specifically exempted from GST under section 11 of the CGST Act, 2017 whereas transportation services provided to teachers and other staff is not a supply as it is provided in course of employment.

(d) Transportation services provided to teachers and staff are exempt from GST. However, since ₹ 1,500 is being charged from students for their transportation, it is not an exempt supply and GST is payable on the same.

2. Choose the most appropriate option in relation to entrance fee charged by Bright Public School from the students:

(a) No GST is leviable on entrance fee charged from internal students. However, GST is payable by school on entrance fee charged from outside students as it is a service in relation to entrance examination provided to outsiders who are not the students of the school and therefore, supply is not eligible for exemption.

(b) GST is payable on whole of the consideration received from students (internal and external both) as only services provided to educational institution relating to admission or conduct of examination are exempt and not the services provided by educational institution for conduct of entrance examination.

(c) No GST is payable on consideration of ₹ 12,00,000 received from students in the form of entrance exam fee as such amount is exempt from GST. However, it still qualifies to be a supply as per the CGST Act, 2017 and needs to be reported in the return for the month of May as exempt supply.

(d) Since entrance exam fee is received for admission to the upcoming academic session, the amount of consideration needs to be amortized over the year and value of such supply would be reported in the respective month as nil rated supply.

3. Choose the most appropriate option in relation to boarding and lodging facilities provided by Bright Public School in addition to educational services and consideration charged thereto:

   (a) It is a composite supply where the principal supply is educational services. Since the principal supply is exempt, the entire consideration of ₹ 1,75,000 is also exempt from tax.

   (b) It is a composite supply where the principal supply is that of boarding and lodging services; educational services are incidental to boarding and lodging services. Therefore, the tax is payable at the rate applicable to principal supply, i.e., boarding and lodging services.

   (c) It is a mixed supply where educational services and boarding and lodging services are independent of each other. Therefore, the tax is payable at the highest rate of tax applicable among these supplies.

   (d) It is a mixed supply where educational services and boarding and lodging services are independent of each other. Therefore, the tax is payable at the lowest rate of tax applicable among these supplies.

4. Choose the most appropriate option in relation to supply of service by Ambaji Transporters to Bright Public School:

   (a) GST is payable by the school on the services provided by Ambaji Transporters as they are covered under section 9(3) of the CGST Act, 2017 which includes services by a transporter.

   (b) GST is not payable on the services provided by Ambaji Transporters as services provided by it do not qualify as supply under the CGST Act, 2017.

   (c) GST is payable on the services provided by Ambaji Transporters as Ambaji Transporters is not an educational institution and said services are exempt only when provided by an educational institution.

(d) GST is not payable at all on the services provided by Ambaji Transporters as services provided to an educational institution by way of transportation of students, faculty and staff are exempt from GST.

CASE SCENARIO 47

Zoom Air is an airline company operating domestic as well as international flights. The head office of Zoom Air is in Mumbai and the company has also obtained registration under GST in each of the States from where the flight operations are being conducted.

During the month of January, following transactions were undertaken by it:

(i) Zoom Air sold air tickets worth ₹ 5,00,000 during the month from its head office and the breakup of air fare is as follows:

Basic fare excluding GST – ₹ 4,00,000

Passenger Service Fee (PSF) and User Development Fee[12] (UDF) [inclusive of GST] – ₹ 1,00,000

PSF and UDF are remitted by Zoom Air to the airport authority. Further, the amount of PSF and UDF is separately disclosed in the invoice issued to customers by Zoom Air along with applicable GST. The airport authority pays an amount of 5% of PSF and UDF (inclusive of GST amount) collected as collection charges to Zoom Air on which GST is applicable. There is no levy of PSF and UDF on the tickets booked by Zoom Air for its own crew or other employees.

(ii) Zoom Air (Head Office) has collaborated with Supertrip India, an online travel portal, providing services to the customers by way of booking air tickets through its electronic commerce platform and registered under GST in the State of Maharashtra. During the month, Supertrip India booked tickets for ₹ 2,00,000 (base fare excluding GST, PSF and UDF) for the customers of Zoom Air. The amount was remitted by Supertrip India to Zoom Air after adjusting the amount of tax collected at source under section 52. In addition to the aforesaid amount, Supertrip India charged commission from Zoom Air at the rate of 5% of the base fare of air tickets booked.

(iii) Zoom Air (Head Office) charged 100% cancellation fee from the customers for bookings made in prior months. The amount of

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[12] Both PSF and UDF are statutory fees which are required to be collected by the airlines as per Government directions and authorization given to airlines.

cancellation fee charged was ₹ 1,00,000 inclusive of GST. Instead of actually collecting the cancellation fee from the customers, such amount was adjusted against the booking amount and GST discharged at the time of initial bookings. However, the PSF and UDF amounting to ₹ 10,000 (inclusive of GST) charged from the customers against such bookings were refunded.

(iv) Zoom Air (Head Office) provided gifts in the form of air tickets to 10 of its employees based at its head office for an amount equivalent to ₹ 60,000 each. No amount was recovered from the employees for such air tickets.

(v) Zoom Air has a corporate tie-up with Welcome Hotel, located in Rajasthan, for stay of its crew members. For January, the hotel issued an invoice of ₹ 5,00,000 in the name of Zoom Air, Head office, Mumbai.

Haryana office of Zoom Air has provided services by way of sale of online advertisement space to Amazing Pvt. Ltd. (a company registered in the State of Haryana) for promotion of Amazing Pvt. Ltd.'s products. The amount charged for such service by Haryana office of Zoom Air is ₹ 5,00,000.

All the amounts given above are exclusive of GST unless otherwise provided. The opening balance of Electronic Credit Ledger of Zoom Air and Supertrip India for the relevant tax period is nil. Subject to the information given above, assume that all the other conditions necessary for availing ITC have been fulfilled. Assume that there is no other outward or inward supply transaction apart from aforesaid transactions, in the month of January.

GST is applicable on all inward and outward supplies unless otherwise specified @ 18%. (Ignore CGST, SGST and IGST bifurcation for the sake of simplicity.)

In case of cancellation of tickets, the airport authority and Zoom Air had an agreement that PSF and UDF related adjustment shall be finalized at the end of financial year, i.e., during the month of March. Further, separate GST invoice shall be issued to carry out such adjustment in books of accounts.

Based on the facts of the case scenario given above, choose the most appropriate answer to Q. Nos. 1 to 5 below:

MULTIPLE CHOICE QUESTIONS

1. The gross GST liability of Mumbai Head Office of Zoom Air for the month of January is:

(a) ₹ 1,08,000

(b) ₹ 72,000

(c) ₹ 1,80,000

(d) ₹ 2,16,900

2. Determine all kinds of credits available to Mumbai Head Office of Zoom Air for setting off against its GST liability for the month of January is:

(a) ₹ 2,800

(b) ₹ 93,800

(c) ₹ 3,800

(d) ₹ 96,800

3. Assuming that the customers, in point (i) of the case scenario above, are registered customers and all other conditions for availment of input tax credit are complied with, the amount of input tax credit available to such customers would be:

(a) ₹ 90,000

(b) ₹ 72,000

(c) ₹ 87,254

(d) ₹ 76,272

4. Choose the most appropriate answer in relation to the transaction between Haryana office of Zoom Air and Amazing Pvt. Ltd.:

(a) The service is in the nature of online information and database access or retrieval services and Amazing Pvt. Ltd. is liable to pay IGST of ₹ 90,000.

(b) The sale of advertisement space is deemed sale of services as per Schedule II of CGST Act, 2017 and liable to CGST of ₹ 45,000 and SGST of ₹ 45,000.

(c) Zoom Air is required to pay IGST of ₹ 90,000 and Amazing Pvt. Ltd. is required to collect tax at source on consideration paid to Zoom Air.

(d) Zoom Air is required to pay CGST of ₹ 45,000 and SGST of ₹ 45,000 and full credit shall be allowed to Amazing Pvt. Ltd.

5. Supertrip India purchases 1,000 air tickets in bulk for an amount of ₹ 1,000 per ticket from Zoom Air and made these tickets available for sale at its electronic portal to the customers on its own account. Supertrip India was able to sell only 800 air tickets for which the total amount collected from customers was ₹ 15,00,000. As per the agreement, the remaining 200 air tickets purchased by Supertrip India from Zoom Air lapsed, and amount was forfeited by Zoom Air.

Choose the most appropriate statement.

(a) Supertrip India shall be liable to pay net GST of ₹ 90,000 and collect TCS of ₹ 10,000.

(b) Supertrip India is acting as an agent of Zoom Air and shall be liable to pay net GST of ₹ 1,26,000 and no GST will be payable by Zoom Air separately.

(c) Supertrip India shall be liable to pay net GST of ₹ 90,000 and Zoom Air shall be liable to pay GST of ₹ 1,80,000.

(d) Supertrip India shall be liable to pay net GST of ₹ 1,57,500 and Zoom Air shall be liable to pay GST of ₹ 1,80,000.

CASE SCENARIO 48

Infotel Ltd. (hereinafter referred to as Infotel) is a telecommunication company operating in India. The company has obtained registration in all the States in India and has its head office in Haryana. The invoice for telecommunication services in India is issued to the customer by head office located in Haryana for all the services.

During the month of January, following transactions were undertaken:

1. Receipts from post-paid mobile customers are ₹ 25,00,000 (₹ 5,00,000 is from customers located in Haryana and remaining amount is from customers located in rest of India).

   Apart from this, Infotel collected an amount of ₹ 20,00,000 as subscription income (identifiable separately on the post-paid bill) from the customers (this amount is not included in the collection at point No. 1). The same was collected for payment to Cloudzone Ltd. (hereinafter referred to as Cloudzone), an online content provider located in Maharashtra. Full amount was remitted to Cloudzone by Infotel on behalf of the post-paid customers. Cloudzone issues invoice to the customers in its own name. As per the agreement, Infotel is not involved in any sort of facilitation or arrangement of supply from Cloudzone to the customers. The customers on their own availed the facility to pay for the services provided by Cloudzone by way of payment through Infotel. Subscription income is charged from the cutomers on actual basis and no fee is charged by Infotel from the customers for such payment facility.

   Infotel receives an amount equivalent to 10% of the total amount collected from the customers as collection charges from Cloudzone.

2. Direct receipts from prepaid mobile customers are ₹ 50,00,000 (Entire payment is received from customers located outside Haryana)

3. Mobile telecommunication revenue received from Paykwik Ltd. (hereinafter referred to as Paykwik), a reseller/ selling agent of Infotel, is ₹ 30,00,000. The location of Paykwik is in Maharashtra. Commission paid to Paykwik is 10% of the revenue received.

4. Infotel collected an amount of ₹ 5,00,000 from the customers located in Haryana against the direct to home (DTH) service provided in Haryana. This amount includes a one-time installation charges of ₹ 50,000.

5. Infotel purchased certain equipment for installation of its towers in the State of Rajasthan. The goods were delivered and installed by the supplier (based in Rajasthan) at Infotel's site in Rajasthan and invoice was issued to Infotel at Haryana Head Office. Total amount charged was ₹ 75,00,000.

6. Infotel collaborated with Amaze Inc., a company based in USA, for technological support in relation to provision of cloud storage services to its customers. The amount paid by Infotel to Amaze Inc. is ₹ 5,00,00,000 for technology support. Further, the cloud storage services were provided by Infotel to its unrelated premium customers on free of cost basis for the trial period. The open market value of such services is ₹ 75,00,000.

7. As per the agreement with Amaze Inc., in case of any failure in provision of cloud storage services to the customers by Infotel, Amaze Inc. shall provide the backup server access to Infotel's customers for data storage. The customer is not aware of the fact that data is being stored on Amaze Inc.'s server in case of failure at Infotel's end. Amaze Inc. charged an amount of ₹ 50,00,000 from Infotel for such instance in the month of January.

All the amounts given above are exclusive of GST unless otherwise provided. The opening balance of input tax credit for the relevant tax period of Infotel is Nil for all the registrations.

GST is applicable in the aforesaid case scenario @ 18%, unless otherwise specified. Ignore CGST, SGST and IGST bifurcation for the sake of simplicity.

Assume that there is no other outward or inward supply transaction apart from aforesaid transactions, in the month of January.

Based on the facts of the case scenario given above, choose the most appropriate answer to Q. Nos. 1 to 4 below:

MULTIPLE CHOICE QUESTIONS

1. The GST payable in cash for the month of January by the Head Office of Infotel in Haryana (assuming that no ITC is utilised by it) is ________________.

   (a) ₹ 20,16,000

   (b) ₹ 1,22,76,000

   (c) ₹ 29,16,000

   (d) ₹ 1,19,16,000

2. The input tax credit available to Infotel in the month of January at its Head Office in Haryana is ______________.

   (a) ₹ 99,54,000

   (b) ₹ 1,13,04,000

   (c) ₹ 54,000

   (d) ₹ 14,04,000

3. Select the correct statement for transaction between Infotel, Cloudzone and the subscribing customer, in terms of the GST Law:

   (a) Infotel is an agent of Cloudzone.

   (b) Infotel is a pure agent of Cloudzone.

   (c) Infotel is a pure agent of the subscribing customer.

   (d) Infotel is an intermediary of Cloudzone.

4. For the direct to home services, Infotel is exploring the possibility of providing equipment like dish antenna and cables (liable to GST at 28%) to the customers at an additional charge of ₹ 2,000. Currently, the company collects ₹ 1,000 from new customers as installation and one-month charges for services (liable to GST at 18%). In case the dish antenna and cables are also provided, the combined charge would be ₹ 3,000. Please select the most appropriate statement.

   (a) GST on amount of ₹ 2,000 shall be charged at the rate of 28% and balance amount of ₹ 1,000 to be charged at 18%.

(b) GST on amount of ₹ 3,000 shall be charged at the rate of 28%.

(c) GST on amount of ₹ 3,000 shall be charged at the rate of 18%.

(d) No GST on ₹ 2,000 and GST at the rate of 18% on ₹ 1,000.

CASE SCENARIO 49

Dhairya Limited, India, a registered supplier under GST in the State of Kerala, is engaged in supplying goods and services. Dhairya Inc., San Francisco, USA, is a subsidiary of Dhairya Limited, India and is engaged in supply of information technology services to customers in USA. Dhairya Limited, India has undertaken following transactions during the month of April:

Particulars	Amount (₹)
Supplied large paper rolls to Ford Mount School, Bengaluru (Karnataka), for printing of question papers. As directed by the school, Dhairya Limited delivered the paper rolls at a printing press located in Trivandrum, Kerala.	15,00,000
Bond amount recovered from the outgoing Managing Director (residing in Kerala) of Dhairya Limited since he had left the employment before contracted period.	2,50,000
Supplied steel sheets in the territorial waters* to Dhruvank Builders. *Located at a distance of 12 nautical miles from the baseline of Kerala and 15 nautical miles from the baseline of Tamil Nadu.	6,00,000
Received an advance for future supplies of goods from a customer based in Kerala	2,10,000
Received an advance for future supplies of services from a customer based in Kerala	4,90,000
Computer (used for business purpose & on which no ITC has been taken yet) given free of cost to unrelated person based in Kerala [Purchased 2 years' back at a price of ₹ 1,12,100 (including GST). Open market value is ₹ 75,000.]	Nil

Dhairya Limited provided the following additional information for the month of April:

(i) The company paid the sitting fee of ₹ 6,00,000 to an independent director, based at Cochin, Kerala, for attending meetings.

(ii) The company availed the services of an Arbitral Tribunal in Cochin, Kerala to settle a business dispute and paid ₹ 7,00,000.

Further, Dhoom Events Ltd., an event management company, located and registered at Karnataka, had organized a cultural event in the month of May for Dhairya Limited, in Dubai. Dhariya Limited paid a sum of ₹ 10,00,000 to Dhoom Events Ltd. for the same.

Notes –

(A) Rates of CGST, SGST and IGST are 9%, 9% and 18% respectively for both inward and outward supply of goods and services, wherever applicable.

(B) All the amounts given above are exclusive of taxes, wherever applicable.

(C) The opening balance of input tax credit for the relevant tax periods of Dhairya Limited, India is Nil.

(D) Assume that there is no other outward or inward transaction apart from aforesaid transactions, in the months of April and May.

Based on the facts of the case scenario given above, choose the most appropriate answer to Q. Nos. 1 to 4 below:-

MULTIPLE CHOICE QUESTIONS

1. Which of the following activities/transactions undertaken by Dhairya Limited do not amount to supply?

    (i) Supply of steel sheets in territorial waters

    (ii) Computer being used for business purpose given free of cost to unrelated person

    (iii) Supply of paper rolls for printing of question papers to Ford Mount Senior Secondary School

    (iv) Recovery of bond amount from the outgoing Managing Director

    Choose the most appropriate option.

    (a) (ii) and (iv)

    (b) (ii), (iii) and (iv)

(c) (i), (iii) and (iv)

(d) (i), (ii) and (iii)

2. Which of the inward supplies received by Dhairya Limited in the month of April are taxable under reverse charge?

(i) Services received from the independent director

(ii) Accommodation services received from Hillwoods Hotel, Mumbai

(iii) Services of the Arbitral Tribunal

(iv) New machinery purchased from the dealer based in Cochin

(v) Salary paid to employees on payroll

Choose the most appropriate option.

(a) (ii) and (v)

(b) (ii), (iii) and (iv)

(c) (i), (iii) and (v)

(d) (i) and (iii)

3. Compute the total GST payable on outward supplies before setting off of ITC for the month of April by Dhairya Limited.

(a) CGST - ₹ 1,03,050, SGST - ₹ 1,03,050 and IGST - ₹ 2,70,000

(b) CGST - ₹ 98,100, SGST - ₹ 98,100 and IGST - ₹ 2,70,000

(c) CGST - ₹ 1,35,000, SGST - ₹ 1,35,000

(d) CGST - ₹ 98,100, SGST - ₹ 98,100

4. Whether GST is applicable on the event organized by Dhoom Events Ltd., Karnataka for Dhairya Limited, India, in Dubai and what is the place of supply in such case?

(a) GST is applicable and the place of supply is Karnataka.

(b) GST is applicable and the place of supply is Kerala.

(c) GST is not applicable and the place of supply is Dubai.

(d) GST is applicable and the place of supply is Dubai.

CASE SCENARIO 50

Shreyans Ltd. (hereinafter referred as "company") is a conglomerate having diversified businesses including hotels, FMCG (Fast-Moving Consumer Goods), information technology etc. It has its corporate office in Delhi and operations across multiple States in India. As an internal policy, the company has obtained single GST registration in each State irrespective of the diversified business operations being undertaken in the State. During the month of April, the company undertook the following transactions:

(a) The FMCG division of the company in Jaipur, Rajasthan agreed to use the vacant godown within the premises of Hotel Division in Udaipur, Rajasthan for storage of its goods. The value of such an arrangement was agreed at ₹ 5 lakh per month. Said amount was agreed to be adjusted by way of intra-division book adjustment on a monthly basis.

(b) The Hotel Division of the company in Maharashtra used the IT platform owned and managed by the IT Division of the company in Delhi. The value of such services was determined as ₹ 12 lakh per month. The IT division treated the same as deemed supply liable to GST as per Schedule I of the CGST Act, 2017 and charged GST on such deemed supply in the invoice issued to Hotel Division on 25th April. The Hotel Division availed the input tax credit of such deemed supplies from its Maharashtra Office in April itself. However, no payment was made for such services by the Hotel Division to the IT Division.

(c) The Hotel Division provided accommodation services to a US citizen and resident for a wedding ceremony organized at its hotel in Udaipur, Rajasthan. The total amount of ₹ 2 crores for such services was paid by an Indian individual residing in Delhi on behalf of the US resident in Indian currency. The amount was received by the Mumbai, Maharashtra Office of Hotel Division.

(d) The company received long term lease of an industrial plot from Maharashtra Industrial Development Corporation (MIDC) in auction against payment of an upfront amount as lease premium of ₹ 20 crores for a period of 50 years. The company paid location charges of ₹ 5 crores in addition to the said premium.

The rate of GST in case of intra-State supplies, unless otherwise provided shall be 9% CGST and 9% SGST) and for inter-State supplies shall be 18% IGST. All the divisions of the Company are eligible for 100% input tax credit unless otherwise specified.

Based on the facts of the case scenario given above, choose the most appropriate answer to Q. Nos. 1 to 5 below:-

MULTIPLE CHOICE QUESTIONS

1. Which of the following statements is correct in respect of the services related to usage of vacant godown?

   (a) The Hotel Division shall charge CGST and SGST amounting to ₹ 45,000 each in the tax invoice issued to FMCG Division.

   (b) No GST is chargeable on usage of vacant godown of Hotel Division.

   (c) The Hotel Division shall charge IGST amounting to ₹ 90,000 in the tax invoice issued to FMCG Division.

   (d) The Hotel Division, Rajasthan shall charge IGST amounting to ₹ 90,000 in the tax invoice issued to Corporate Office in Delhi.

2. Assuming that the payment for utilization of IT platform has not been made by the Hotel Division to the IT Division till the end of October month of the current financial year, the Hotel Division:

   (a) should reverse the input tax credit so availed while filing Form GSTR-3B of the October month.

   (b) need not reverse the input tax credit so availed in Form GSTR-3B of the October month.

   (c) should have availed the input tax credit only after the end of the current financial year and not in April.

   (d) should not have availed the input tax credit in respect of said transaction as the same is deemed supply under Schedule I of the CGST Act, 2017.

3. For the accommodation services provided to the US resident and citizen, the place of supply shall be:

   (a) Udaipur

   (b) Delhi

   (c) Mumbai

   (d) USA

4. In respect of the long-term lease of the industrial plot received from Maharashtra Industrial Development Corporation (MIDC),

   (a) upfront lease premium of ₹ 20 crores is exempt. However, the location charges of ₹ 5 crore are liable to GST.

   (b) GST is payable on the upfront lease premium of ₹ 20 crores. No GST is payable on the location charges.

   (c) GST is exempt on the entire premium of ₹ 25 crores including location charges.

   (d) GST is payable on the entire upfront premium of ₹ 25 crores including location charges.

CASE SCENARIO 51

Vlook Smart Ltd. (hereinafter referred as "company") is a leading retail chain of India. It has retail stores in multiple States with its corporate office located in Mumbai, Maharashtra. The company has GST registrations across all States from where it operates its retail stores. The company undertook following transactions during the month of April:

(a) Supplied goods worth ₹ 100 crore through its retail store in Jaipur, Rajasthan and offered a cash discount of ₹ 2 crore to the customers in the State of Rajasthan during the month.

(b) Ghanshyam Das, a retailer in Gujarat, purchased goods worth ₹ 5 lakh in the month of January of the preceding financial year. Subsequently, the company offered an incentive (discount) on such purchases to Ghanshyam Das by issuing a commercial credit note of ₹ 50,000 in the month of April.

(c) The company received an amount of ₹ 2 crore in April as penalty for delayed receipt of consideration from its customers for sale of goods made in the month of January of the preceding financial year in the retail store of Jaipur, Rajasthan.

(d) The company incurred an expense of ₹ 50 lakh in transportation of empty cargo containers to its centralized warehouse in Mumbai from all the States through a Goods Transport Agency.

The rates of GST, unless otherwise specified, shall be 9% CGST, 9% SGST and 18% IGST. All the divisions of the company are eligible for 100% input tax credit unless otherwise specified.

Based on the facts of the case scenario given above, choose the most appropriate answer to Q. Nos. 1 to 4 below:-

MULTIPLE CHOICE QUESTIONS

1. The value of supply on which GST is payable for the month of April for the Rajasthan State is:

   (a) ₹ 96 crore

   (b) ₹ 100 crore

(c) ₹ 98 crore

(d) ₹ 102 crore

2. In relation to the incentive paid to Ghanshyam Das in Gujarat,

(a) the company shall reverse proportionate input tax credit.

(b) there is no GST implication on the company and Ghanshyam Das.

(c) Ghanshyam Das shall reverse the input tax credit availed on the purchase.

(d) the company shall reduce the tax liability and Ghanshyam Das shall increase the tax liability for the month of April.

3. The tax on penalty received on account of delayed payment of consideration of ₹ 2 crore is payable at the time of filing return of __________.

(a) April

(b) January

(c) Either April or January at the option of the company

(d) No tax is payable on the penalty received on account of delayed payment of consideration.

4. For the empty cargo containers transported to Mumbai warehouse,:

(a) e-way bill shall be issued by respective dispatch locations of the company.

(b) e-way bill shall be issued by the warehouse location in Mumbai.

(c) no e-way bill is required to be issued.

(d) e-way bill shall be issued by the Goods Transport Agency.

CASE SCENARIO 52

SR Associates is a partnership firm registered under GST in the State of Rajasthan. In the month of July, the following transactions were made by SR Associates:

(a) Purchase of commodity X on 1st July from a registered person for an amount of ₹ 5,00,000 at the rate of ₹ 1000 per tonne from the open market. The said commodity was deposited in the warehouse of NCDEX Ltd. (an agricultural commodity exchange) in Rajasthan as a security against transactions entered by SR Associates on the same day. Commodities of other vendors are also being kept in said warehouse.

(b) In order to hedge the aforesaid transaction, on 1st July, SR Associates undertook a derivative sale transaction in futures contract for the month of August at NCDEX at the rate of ₹ 1,100 per tonne.

(c) SR Associates took subscription for an AI (Artificial Intelligence) based platform from an unrelated party, ABC Inc (a company based in US) to get real time updates on the pricing of commodity X in the international market. ABC Inc charged ₹ 50,000 for such subscription. The invoice was issued to SR Associates on 1st July, but the payment was made to ABC Inc on 20th August.

(d) NCDEX (registered under GST) charges rent from SR Associates at the rate of ₹ 10,000 per month and service charges at the rate of ₹ 20,000 per month.

(e) On the date of expiry of future contract of the month of August, i.e. 31st August for commodity X, the rate of commodity X was ₹ 900 per tonne. SR Associates squared off the contract (without physical delivery) for the month of August at the same rate.

(f) NCDEX charged brokerage on the transactions (both purchase and sale of derivative contract separately) at the rate of ₹ 5,000 per contract from SR Associates in the month when such transaction was entered and when such transaction was squared off.

(g) On the purchase of commodity X, additional levy in form of Mandi Tax was applicable at the rate of ₹ 10 per tonne which is not included in the rate per tonne mentioned at point (a) above.

All the amounts given above are exclusive of GST, wherever applicable, unless otherwise mentioned. The opening balance of input tax credit for the relevant tax period of SR Associates is Nil. Subject to the information given above, assume that all the other conditions necessary for availing ITC have been fulfilled.

Assume that there is no other outward or inward supply transaction apart from aforesaid transactions, in the months of July and August.

GST is applicable in the aforesaid case scenario at the following rates unless otherwise specified:

I. Intra-State supply – 9% CGST and 9% SGST

II. Inter-State supply – 18% IGST

Based on the facts of the case scenario given above, choose the most appropriate answer to Q. Nos. 1 to 4 below:-

MULTIPLE CHOICE QUESTIONS

1. Compute the taxable value of inward supply of commodity X for SR Associates in the month of July.

   (a) ₹ 5,00,000

   (b) ₹ 5,50,000

   (c) ₹ 5,55,000

   (d) ₹ 5,05,000

2. Compute the value of outward supply made by SR Associates in the month of August.

   (a) Nil

   (b) ₹ 5,55,000

   (c) ₹ 5,60,000

   (d) ₹ 5,00,000

3. What is the time of supply for subscription of AI based platform by SR Associates?

   (a) July 1

   (b) August 31

(c) August 20

(d) July 31

4. Compute the net GST payable in cash by SR Associates for the month of August.

(a) Nil

(b) ₹ 2,700

(c) ₹ 81,000

(d) ₹ 9,000

CASE SCENARIOS 53

Disha Enterprise Pvt Ltd. is a financial service company having its offices in Kolkata, West Bengal and Mumbai, Maharashtra. The company is registered under GST in both the States. The company operates through two segments (a) banking services and (b) advisory & consulting services. The aggregate turnover of the company during the previous year was (i) ₹ 80 lakh in West Bengal & (ii) ₹ 60 lakh in Maharashtra.

The bouquet of services provided under each of the two segments are as follows:

Banking services	Advisory & consulting services
Recovery agent services	Company/LLP/Society formation
	Return filing
Direct Selling Agent (DSA) services (sale of banking products)	Detailed Project Report (DPR) preparation
	Business promotion/ product marketing/ exhibition etc.

The company has carried out following transactions during the month of September:

(Amount in ₹ excluding GST)

Particulars	Kolkata office	Mumbai office
Sale and purchase of foreign currency in course of business	Refer Note 3	Refer Note 3
Amount received from Devidas Private Limited. It has sponsored the business exhibition organized by Disha Enterprise Pvt Ltd.	90,000	70,000
Commission received as DSA from ICIDI Bank for opening bank account/credit card & loan products.	48,000	50,000

Commission received from private banks for acting as recovery agent	1,20,000	1,50,000
Professional fee received for the formation of a company/ LLP/ society	80,000 [Refer Note 2]	40,000
Professional fee received for GST/ TDS return filing	65,000	75,000
Participation fee received from customers for the business exhibition organised by the company	50,00,000 (held in Russia) [Refer Note 1]	4,00,000 (held at Chennai) [Refer Note 1]
Legal fee paid to Mr. Sundaram - an advocate (Intra-State transaction)	10,000	15,000
Payment made for security services (by way of supply of security personnel) received (Intra-State transaction)	25,000 (Globe Security Pvt Ltd.)	25,000 (M/s X & Co, a partnership firm, registered under GST)

Notes:

1. The participation fee of ₹ 50,00,000 received by the company's Kolkata office is in respect of a business exhibition organized at St. Petersburg, Russia under the theme "Indian Traditional Fair" in which 10 Indian companies (all registered under GST) had participated. A participation fee of ₹ 5 lakh from each Indian company was collected for providing them a stall, furniture & other amenities at St. Petersburg, Russia.

   The participation fee of ₹ 4,00,000 is in respect of a business exhibition organized by the company's Mumbai office at Chennai, in which 100 Indian companies had participated.

2. Out of the professional fee of ₹ 80,000 received by Kolkata office for the formation of a company/ LLP/ society, ₹ 15,000 was towards reimbursement claimed from client. It was separately mentioned in the invoice indicating that it was deposited with registrar of companies (ROC).

3. Following purchase & sale of foreign currency was made by the company during the month of September:

   (a) Kolkata office had purchased USD 10,000 from M/s Moneywise (a FOREX dealer) @ ₹ 73 per USD on 10th September. The RBI reference rate on that day was ₹ 74 per USD.

   (b) Mumbai office had sold USD 5,000 to M/s Money Matters (a FOREX dealer) on 15th September @ ₹ 73.20 per USD. RBI reference rate for USD on that day is not available.

4. In an order dated 14th September issued to Disha Enterprise Pvt Ltd., the Joint Commissioner of CGST, Mumbai has raised a demand of IGST of ₹ 600 crore on Mumbai office in respect of an inter-State supply transaction. The company is disputing the entire demand & wants to file an appeal before the Appellate Authority against the order of Joint Commissioner.

All the amounts given above are exclusive of GST wherever applicable (unless otherwise specified). There is no other outward or inward supply transaction apart from the aforesaid transactions in the relevant period. Disha Enterprise Pvt Ltd. is not an authorised FOREX dealer.

GST is applicable in the aforesaid case scenario at the following rates unless otherwise specified:

I. Intra-State supply – 9% CGST and 9% SGST

II. Inter-State supply – 18% IGST

Based on the facts of the case scenario given above, choose the most appropriate answer to Q. Nos. 1 to 4 below:

MULTIPLE CHOICE QUESTIONS

1. Determine the value of taxable supply in respect of sale and purchase of foreign currency by Kolkata office and Mumbai office of the company as per rule 32(2)(a) of the CGST Rules, 2017.

   (a) Kolkata office ₹ 7200, Mumbai office ₹ 3,660

   (b) Kolkata office ₹ 10,000, Mumbai office ₹ 3,660

(c) Kolkata office ₹ 7,20,000, Mumbai office ₹ 3,66,000

(d) Kolkata office ₹ 7,30,000, Mumbai office ₹ 3,66,000

2. The value of taxable inward supply received by Mumbai office in the month of September on which tax is payable under reverse charge is ____________.

(a) ₹ 15,000

(b) ₹ 25,000

(c) ₹ 40,000

(d) ₹ 2,70,000

3. Compute the value of taxable outward supply made by Kolkata office in the month of September on which Disha Enterprise Pvt Ltd. is liable to pay tax under forward charge is _______________.

(a) ₹2,68,000

(b) ₹ 2,78,000

(c) ₹ 2,65,000

(d) ₹ 1,13,000

4. The amount of pre-deposit that Disha Enterprise Pvt. Ltd. has to deposit under the IGST Act, 2017 for filing of an appeal before the Appellate Authority is ____________.

(a) ₹ 30 crores

(b) ₹ 60 crores

(c) ₹ 25 crores

(d) ₹ 50 crores

CASE SCENARIO 54

Aspire Solutions Private Limited (hereinafter referred to as 'Aspire Solutions') is engaged in providing multidimensional services to its clients through its office in Haryana, registered under GST. During the month of July, the following transactions were undertaken by Aspire Solutions:

(i) Import of certain cloud services from Bizcart.com for an amount of ₹ 51,00,000.

(ii) Aspire Solutions pays sitting fee of ₹ 25,000 each to its 4 directors per month. Further, there are two directors who are in the executive roles and are withdrawing ₹ 2,00,000 each per month as salary from the company and the applicable TDS amount, under section 192 of the Income-tax Act, 1961, is deducted from such salary.

(iii) Aspire Solutions paid for life insurance of its employees in compliance of its internal policy. The total amount of premium paid for 20 employees was ₹ 5,00,000.

(iv) Aspire Solutions provided consultancy services to its client, Zoom Corp. based in Bangalore and issued an invoice of ₹ 30,00,000.

(v) Empowering India is a Non-Government Organisation located in Haryana. It aims at empowering the eligible companies to grow their business in India. Aspire Solutions, being one of the eligible companies, received a subsidy of ₹ 5,00,000 in lumpsum from Empowering India for the month of July.

(vi) Aspire Solutions provided sponsorship services to Mr. X, an individual, for an event organised by it in the State of Haryana. The amount agreed for such sponsorship services is ₹ 5,00,000.

All the amounts given above are exclusive of GST unless otherwise provided. There is no other outward or inward supply transaction apart from aforesaid transactions in the month of July.

The opening balance of input tax credit for the relevant tax period for the company is nil. Subject to the information given above, assume that all the other conditions necessary for availing ITC have been fulfilled.

GST is applicable on all inward and outward supplies in the aforesaid case scenario @ 18%, unless otherwise specified. Ignore CGST, SGST and IGST bifurcation for the sake of simplicity.

Based on the facts of the case scenario given above, choose the most appropriate answer to Q. Nos 1 to 5 below:

MULTIPLE CHOICE QUESTIONS

1. The liability to pay GST for cloud services procured by Aspire Solutions from Bizcart.com shall be:

   (a) on Bizcart.com since the services are online information and database access or retrieval services and GST of ₹ 9,00,000 shall be paid by Bizcart.com.

   (b) nil. There will not be any GST liability on the transaction since Bizcart.com is located outside India and services are provided electronically.

   (c) on Bizcart.com under forward charge and GST of ₹ 9,18,000 shall be paid by Bizcart.com.

   (d) on Aspire Solutions under reverse charge and GST of ₹ 9,18,000 shall be paid by Aspire Solutions.

2. Aspire Solutions seeks your advice on the taxability of the sitting fee payable to directors and salary payable to the executive directors. The correct advice is:

   (a) Sitting fees paid to the directors is liable to GST under reverse charge and the salary paid to executive directors shall not be liable to GST.

   (b) Total amount payable to directors (sitting fees as well as salary) is exempt from GST.

   (c) Total amount payable to directors (sitting fees as well as salary) is liable to GST under reverse charge in hands of Aspire Solutions.

   (d) Total amount payable to directors (sitting fees as well as salary) is liable to GST under forward charge in the hands of the directors as professional income.

3. What shall be the amount of input tax credit available with Aspire Solutions for the month of July?

   (a) ₹ 10,26,000

   (b) ₹ 11,16,000

   (c) ₹ 9,36,000

   (d) ₹ 1,96,000

4. Compute the value of outward supplies made by Aspire Solutions in the month of July.

   (a) ₹ 30,00,000

   (b) ₹ 25,00,000

   (c) ₹ 35,00,000

   (d) ₹ 40,00,000

5. Compute the amount of net GST to be deposited in cash by Aspire Solutions for the month of July.

   (a) Nil

   (b) ₹ 7,20,000

   (c) ₹ 9,36,000

   (d) ₹ 14,76,000

CASE SCENARIO 55

Rishi is a registered supplier of goods and services under GST in the State of Karnataka. During the month of April, Rishi provided the following outward supplies:

Particulars	Amount (₹)
Taxable supply of goods	4,00,000
Insurance agent service to TrustGuard Insurance Company, registered under GST	30,000
Interest received for late payment from various customers	10,000
Recovery agent service to ABC Limited, a trader of goods	40,000
Security and housekeeping service provided to Bachpan School (upto higher secondary), an unregistered person under GST, at its Annual Day function held at Vallabh Convention centre being outside the school campus.	50,000
Renting of motor vehicle designed to carry passengers provided to CoverCrest Limited wherein cost of fuel is included (applicable rate of tax - CGST @ 2.50% and SGST 2.50%)	80,000
Amount received for a contract for taxable supplies of goods awarded by a public sector undertaking (PSU), registered under section 51 in the State of Tamil Nadu. PSU instructed Rishi to make the supply in the State of Karnataka. Value of contract is ₹ 5,00,000	1,50,000

All the amounts mentioned above are excluding GST, wherever applicable (unless otherwise specified).

Based on the facts of the case scenario given above, choose the most appropriate answer to Q. Nos. 1 to 3 below:

MULTIPLE CHOICE QUESTIONS

1. What is the taxable value of supply for the month of April on which tax is payable by Rishi?

(a) ₹ 6,50,000

(b) ₹ 6,10,000

(c) ₹ 6 00,000

(d) ₹ 5,60,000

2. Amount of TDS require to be deducted under section 51 by the PSU is __________.

(a) CGST ₹ 750 and SGST ₹ 750

(b) IGST ₹ 3,000

(c) GST ₹ 1,500 and SGST ₹ 1,500

(d) No TDS required to be deducted under section 51.

3. Which of following outward supplies provided by Mr. Rishi are NOT subject to payment of tax under reverse charge?

(i) Insurance agent service

(ii) Recovery agent service

(iii) Renting of motor vehicle service

Choose the most appropriate answer.

(a) Only (ii) and (iii)

(b) Only (ii)

(c) Only (i) and (iii)

(d) Only (iii)